

Indegene (INDGN)

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Call: Jun 2024

Indegene Limited (Formerly Indegene Private Limited),
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777 www.indegene.com
CIN: U73100KA1998PLC102040
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BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001, India.

Scrip Code: 544172 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400 051, India.

Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the Q4FY24 earnings call on financial results for the quarter and financial year ended March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find

enclosed the transcript of the Q4FY24 earnings call held on May 30, 2024 for the quarter and financial year ended

March 31, 2024, conducted after the meeting of the Board of Directors held on May 29, 2024.

The above information will be made available on the website of the Company : <https://www.indegene.com/>

This is for your information and records.

For Indegene Limited

(Formerly known as Indegene Private Limited)

Srishti Ramesh K aushik

Company Secretary and Compliance officer

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"Indegene Limited

Q4 FY '24 and FY 24 Earnings Conference Call"

May 30, 2024

MANAGEMENT : M R. MANISH GUPTA - CHAIRMAN AND CHIEF

EXECUTIVE OFFICER - INDEGENE LIMITED

MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER -

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Moderator: Ladies and gentlemen, good day and welcome to Indegene Limited Q4 FY '24 Earnings

Conference Call . As a reminder, all participant lines will be in the listen -only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing star then zero on a touch- tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you. And over to you, sir.

Abhishek: Thank you, Zico. A very good morning to all of you and thank you for joining us today for

Indegene's Earnings Conference Call for the fourth quarter and fully ended financial year 2024.

Today we have with us Manish Gupta, Indegene's Chairman and CEO and Suhas Prabhu, CFO,

to share the highlights of the business and financials for the quarter.

I hope you have gone through our results release and the quarterly investor presentation which

have been uploaded on our website as well as the Stock Exchange website. The transcript for this call will be available in a

week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risk pertaining to our business.

After the end of this call, in case you have any further questions, please feel free to reach out to the investor relations team. I hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone and thank you for joining our first analyst call as a listed company. We listed on 13th of May, and this is our first call. Once again, thanks a lot for joining us. Given this is our first call post-listing, today I have planned to do the following.

Do a quick recap of the company, especially for those of you who we didn't get an opportunity to meet during our roadshows. We'll talk about the company; we'll talk about the opportunity we

are addressing and talk about the industry a bit and how we see the next few years. Don't worry, we'll also talk about the previous year as well as the previous quarter numbers and our performance. Now, let me get started with the company and again this is more for you - those of you who we could not get an opportunity to meet during the roadshows prior to the IPO.

Indegene is a fairly unique company. Unique definitely in the Indian context and I can confidently say there's no one like us in the market. A few of us started this company more than 25 years back based on the thesis that by bringing deep medical and healthcare expertise together with deep technology expertise, we can solve various problems in the healthcare industry.

All these years, we have stayed true to that purpose. We define our purpose as helping healthcare organizations be future ready. Today in the marketplace, we are known as a digital-first commercialization partner to the global life science industry.

By the global life science industry, we mean the pharmaceutical industry, large and mid-size, medical device industry and the biotech industry. We have 63 active clients and work with all the top 20 global pharmaceutical companies. Our revenues for FY '24 were INR 2,589 crores, which is a 12.3% growth over FY '23. We have around 5,081 employees, out of which 4,422 are delivery employees. Now, out of the delivery employees, 21.5% are from a life science

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background. These are medical doctors, PhDs and pharmacologists working hand-in-hand with data scientists, data engineers, analytics professionals, software engineers on one hand and omnichannel strategists, brand strategists, creative directors and other very specialized profiles on the other hand.

So, as you can see, there is multiple skill sets, multiple functions coming together to

deliver

solutions for our clients. We have 17 offices across the world where we have people with very specialized skill sets - some of the skill sets I alluded to earlier and we need these offices and specialized people working out of these offices because most of our engagements with our clients are global in nature, which means we are helping them across their products, across markets and for a long period of time. I'm going to come back and revisit this later during my talk.

Now, let me just spend some time talking about what I mean by digital-first commercialization partner. I said that we are a digital-first commercialization partner. What does that mean? Now, this means all processes like sales and marketing, pharmacovigilance and drug safety, medical affairs, regulatory and clinical. So, think about all the processes that are required to bring a drug from the lab to the market. Once the company has worked in the lab to come up with a new product, for this new product, there will be a patent filed, FDA approval, let's say, is granted, right, to do clinical trials.

So, all the processes subsequent to that is where we play in as Indegene and add value to our customers. Now, these processes have been done by the industry for a long period of time. What we as Indegene are doing is coming and saying that we can help companies design, execute and run these processes the way they should be in this age of digital and AI.

So, we bring those digital-first and AI-driven approaches to the things we do. We as Indegene engage and work with the business owners, sales and marketing teams, P&L owners, brand teams, global commercial ops, chief medical officers, head of regulatory and safety or clinical operations. Those are the target segments which we address and work inside these companies. So, that's very different from what you've been used to, especially those of you coming from the IT side, where the focus is more on the CIO organization.

Now, we have been reporting and will continue to report our revenues in four segments, Enterprise Commercial Solutions, Enterprise Medical Solutions, Omnichannel Activation Solutions and there's a segment called Others.

Now, Enterprise Commercial Solutions and Omnichannel Activation, these two put together are the segments through which we are addressing the sales and marketing budgets in pharmaceutical companies.

And today, those constitute more than 70% of our revenues. Whereas EMS is a segment where

we are addressing medical affairs, safety and regulatory functions inside in a pharma company. So, they are much more medical in nature, as you can imagine. Within sales and marketing spend, the reason we split it in two parts, Enterprise Commercial Solutions and Omnichannel Activation, is because in Enterprise Commercial Solutions, which Indegene Limited
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is the largest segment for us, we engage with customers globally, regionally, across all their brands. Our engagements are not at a one brand or two brand level, right, or two product level or a very specific geography level. Our engagements cut across many, many countries and pretty much all the brands for a pharmaceutical company. Whereas in Omnichannel Activation, which today is a smaller percentage of our revenue, we engage at an individual brand or a therapeutic area in a particular country. And primarily, when I say a particular country, for this part of our business, the focus is more on US and a few Western European countries. Our revenues very closely follow the life science industry spend on operations. This is the life science industry. Most of the revenues come from the United States, followed by Europe and then the rest of the world. 65% of our revenues come from the United States, 32% from Europe and the remaining is the rest of the world, which is very close to the life science industry.
The only difference is that we are

slightly more indexed on Europe than what Europe contributes to the global life science industry. Now, 69% of our revenues come from the top 20 global pharma companies. Our customers, as you can imagine, these top 20 global pharmaceutical companies are very large companies. I would reckon most of them will be in the Fortune 500 list and that's our predominant revenue base. This number used to be higher a few years back. If I look at the FY21 numbers, this number used to be 78% because we were much more indexed on the big pharma industry. Over time, as we increased our footprint in sales and marketing, as we made more investments in sales and marketing outreach with scale, while we continued to grow in these top 20 companies, we also acquired new customers. And hence the percentage coming from the top 20 pharma companies has come down from 78% in FY21 to 69% right now. Again, I want to reemphasize that we have grown and continue to grow in all the top 20 pharma companies while increasing our footprint. This also reflects in the number of active customers we have, which went up from 44 in 2020 to 63 in 2024. Now, that's broadly the geographical footprint and the large pharma footprint and midsize pharma footprint we have. I want to spend some more time talking about some of the segments. I spoke about enterprise commercial solutions being enterprise engagement solutions. These are across brands and across many countries. Enterprise medical solutions is approximately 23% of our business. If you think about it, enterprise commercial plus enterprise medical becomes 82% of our business. Both these businesses are across the portfolio products across countries. We don't have the variability of one brand or two brands. There's a significant portfolio. At one level, you can think about these two segments being a proxy to the entire industry we are playing in, given our client footprint across the world. The reason we as Indegene are excited about the opportunity in front of us is because this is a very large market. Let me focus on our position in the market today.
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The global life science industry is north of \$1.8 trillion in size. Approximately \$10 trillion market cap. The operation spends in the areas which are addressable to us, as we highlighted in the report in our RHP, is more than \$156 billion. Sales and marketing - the place where we have the largest footprint, contributes to 35% of the spend. Spends in these areas are increasing at a rate of 6% to 7% annually. Outsourcing is growing at a much faster rate, around 9% to 14%, depending on the segment. It's higher on the sales and marketing side. Apart from this increase in spend and outsourcing, there's also a shift to digital. More and more from the traditional channels of reps or more people-oriented way of doing things, there's a shift to digital and AI-driven ways of doing things, which increases our addressable market. If you think - global life science companies spend more than 25% of their revenues, on average, on SG&A. And by the way, in that SG&A, sales and marketing is the predominant spend. More than half of the top 30 pharma companies are spending more than 25% in SG&A. They spend approximately 15% on R&D. All this presents an opportunity to use digital solutions to drive better physician and patient engagement while at reduced cost by deploying digital rather than the physical channels or having an omnichannel approach to engagement.

The ROI on R&D investments has been declining year on year and that's no secret. There have been so many articles written on that. Last year, U.S. introduced the Inflation Detection Act. While that's still getting developed, the signs are very clear that it's going to put pressure on the R&D spends and timelines. And again, that presents an opportunity for us to use digital and AI to bring down the cost

and timelines for trials, regulatory submissions and things like that.

Now, those are some of the trends which excite us, and we believe there is a large opportunity in front of us. Given our size in this very large industry and our very strong position in this industry, the client base, capabilities, bunch of things, we believe there is a decadal opportunity to grow for us.

With that, I have to put a caveat. This is a highly regulated and highly conservative industry, so it takes time to adopt new methods.

Now, let me just talk to you about some of our historical performance and historical not necessarily only in context of last year, -- I'll talk about the last decade for us. The last decade, we have grown at a CAGR, revenue CAGR of 31.1%. Even if you exclude the last four years, because COVID was the accelerator for digital adoption and we benefited from that, our CAGR for the six years was 24.6%. So we have a very long track record of growing our revenues. While growing, we have also very early on taken on, what we call 'entrepreneurial spirit with prudence' as one of our core cultural themes.

We also maintain very high and healthy ROC E. Our ROC E have been always pretty much in the range of 34.5 over the last decade, in the broad range of that. And if you adjust for cash and interest income, it comes to pretty much 52.8% or so. Now, given this backdrop, we believe that over the next few years, we'll be creating a much larger and impact -creating company.

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Now the growth will not be linear. So there will be years and quarters of high growth. There will be some quarters and years of lower growth. But nevertheless, we will continue to grow. And while growing, will maintain our profitability and cash flows, which we have done well in this industry.

Given we are very strongly positioned in this area, it's a large industry, but we still are, relative to the size of the industry, small. We want to have some flexibility for ourselves, and we will not be pegging ourselves to specific numbers. We have cash on our balance sheet, which we intend to use for strategic tuck-in acquisitions. And that's something, again, we have done very well.

We've identified acquisitions. We have gone ahead and done those acquisitions at the right prices, integrated the companies, used them to expand our client footprint and solution footprint. We will continue to do that in the future. Right now, we have cash on our balance sheet. So I would suggest that you look at our ROEs, ROC Es, after adjusting for cash and cash equivalents. We feel confident to be able to deploy our funds prudently. That said, even if not, our Board will be more than willing to return our cash to shareholders in the most efficient way.

One of our key focuses ... some of the few key focus areas for us are going to be deepening our client footprints. We have client categories of active clients, more than USD1 million, USD1 to USD10 million, USD10 to USD25 and USD25 million plus. Now moving the clients who are more than USD25 million to USD 50 million plus, USD75 million plus, the ones who are in USD10 million to USD25 million to USD 25 million plus and the USD1 million to USD10 million to USD 10 million to USD 25 million and so on and so forth will be the main driver of growth and focus area for us.

Along with that, we will continue to expand our capabilities, strengthen our capabilities, invest in them, continue to keep them relevant and of course focus on operational efficiency as we have always been doing.

Now, before I pass it on to Suhas, some key highlights for the year gone by.

Revenues : INR2,589.6 crores, up 12.3%. Both our established business segments, ECS and EMS, which constitute 82% of our revenues, grew 11% year-on-year. This has been all organic. Omnichannel activations grew 13%. This includes some revenues from Cult, which was ac

quired in the second half of FY '23.

The segment others grew at 30%, again, all organically. While all our segments are driven by a combination of outsourcing and adoption of digital, our larger segments of ECS and EMS are also driven by level of centralization at customer organizations. We had already spoken about outsourcing, growing at 9% to 14%.

We believe shift to digital and centralization, as themes, will continue to play out and continue to play out given the pressures on compliance, costs and complexities of skill sets required in

EBITDA was INR584.1 crores this year, representing a margin of 22.6%, which is up 28.6% year-on-year. We are focused on improving and getting back our EBITDA levels to where they used to be, and this resulted in good margin expansion.

Net profit was INR 336.7 crores, which is up by 26.5% year -on-year. And this includes some interest costs, we'll be paying down the loan which we have, using the IPO proceeds.

EPS was INR15.07, which is up from INR 11.97 in the previous year.

These are some of the high -level financial stuff. I'll pass it on to Suhas to get into some level of details around the financials. On to you, Suhas.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone and thank you for your interest in Indegene and your participation on this call today. Before I get into the details of the financial performance for the year and the quarter, I wanted to talk briefly about our historical performance. Over the past many years now, we have not only achieved a robust revenue growth but have done so in a profitable manner. As Manish mentioned already, our revenue CAGR in the last 10 years was a robust 31.1% and during the same period, our EBITDA CAGR has been a higher 41.2%. Even if we dial back to the period prior to COVID, the six -year track record through to March 2020 again remained a healthy 41.4% EBITDA CAGR. This is a testimony to our core belief of entrepreneurship with prudence.

Over these years, we have also made strategic investments and taken calculated buy versus build calls, which has reflected in an ROCE of 34.6% and an ROE of 36% in the 10-year period prior to March '24. Through these years, we have also demonstrated strong corporate governance

practices, thanks to our distinguished board, early investors and advisors.

With that, I'll move to the FY '24 financial highlights. Manish already spoke about the full -year results. Therefore, let me provide a quick snapshot of the fourth quarter of the fiscal year '24.

We clocked revenues of INR 673 crores, which was up 6.5% year -on-year. EBITDA of INR164.3 crores, representing a margin rate of 24.4% and a net profit of INR94.9 crores, up by 90% over the same quarter in the prior year.

Moving on to further details on the margin and revenue for FY '24.

We grew our revenue for the year by 12.3% and, more specifically, the quarter by 6.5%. This was despite the certain challenges faced by our emerging biotech segment customers. Further, towards the end of March 2024, we acquired 100% interest in a medical writing business in the regulatory affairs space called Trilogy, which is headquartered in Germany, Europe.

While we have factored the assets acquired through this transaction in our balance sheet, the size of the business and operations of Trilogy being non-material, there are no accretions to the revenue and margin. And therefore the business performance and the financial performance that

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we have declared for Q4 represents only the organic performance of the business and therefore no impact due to the acquisition of Trilogy.

Further, moving to the margin, our margin expansion for the full year was about 286 bps. This was driven mainly by operational efficiencies and certain productivity initiatives, which

have

favourably contributed to this growth. We believe the changes are systemic and we will continue to drive these initiatives in the days to come. We delivered a healthy net profit margin of 13% for FY '24 and more specifically 14.1% for the quarter ending March 24. And this reflects our focus on both cost optimization and value -driven serviceability.

Now moving on to the segment -wise performance, enterprise commercial solutions and enterprise medical solutions, together these segments contribute to a revenue of INR 2,129.2 crores and has grown 11% year -on-year. The margins in these segments are stable and growing and together this contributes more than 82% of our revenue. Here, we have focused our initiatives on driving operating efficiencies through productivity measures coming out of automation and various people and process improvement activities over the past many quarters. And that also has positively impacted the margin profile of these businesses.

Moving to the next segment of our business, Omnichannel Activation and others, these two combined contributed to INR 460.2 crores of revenue, which is up 18% year -over -year. As I already mentioned, we faced certain difficulties in this segment, largely due to the impact of the tough external environment on the emerging biotech segment, which degrew during the year. And more specifically impacted the Omnichannel Activation business of our business.

And however, this was offset due to the inorganic growth coming from an acquisition that we did back in October 2022 called

CultHealth, which is integrated with the business segment

Omnichannel Activation. These two segments, both Omnichannel Activation and others, are relatively still in the nascency compared to our Enterprise business segments and are not margin accretive as yet. As you would understand, with scale, operating leverage would be the driver for margin expansion in this segment in the future. And having said that, we continue to invest to grow these businesses in the future as well.

Moving to the geographical and industry segments here, from a geographical standpoint, 97% of our business comes from the Americas and Europe region and this reflects the pattern of spends from the global life science industry in these geographies. And this continues to be fairly consistent with our geographical split of revenues, even in the past periods.

Moving on to the industry segments, given the challenges faced by the emerging biotech industry that I have already mentioned, our efforts last year were predominantly focused on expanding our footprint in the existing large and mid-sized biopharma clients. And this segment has grown from 91.3% to 93.8%. The emerging biotech segment has declined from 4.1% to 2.7%. While we remain cautious in our approach today we continue to invest in this segment with a longer-term more focus.

Now coming to the balance sheet our balance sheet has always been strong. More specifically, today as of March 31st, 2024, cash equivalents combined with bank balances were a total of

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INR191 crores, which along with the investments in liquid instruments such as mutual funds, US treasuries etc., which are reflected in the current investments in the balance sheet, constituting INR 796.5 crores, combined provides with ample liquidity.

The debt position ... the debt outstanding as of March 24 was USD47.2 million or approximately INR400 crores. And with the impending repayment of the debt using the proceeds from the IPO soon we will be a zero-debt company. And with that, the interest costs that we are currently incurring should go down to zero and this should have a favourable impact on the earnings going forward.

Finally, the operating cash flows for the year were a very strong INR 514.9 crores again significantly up year-on-year and our free cash flows was north of INR450 c

rores for the year.

Overall, a very solid cash position and a strong balance sheet enables us to invest in strategic growth areas as we continue to grow in the future. We remain committed to delivering value to our clients, shareholders, through deep domain expertise, innovation and operational excellence.

With that, I will conclude the update on the financial performance and will open the floor for questions. Please raise your hands and we will address them one by one.

Moderator: Yes, sir. Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amresh Kumar from Geosphere Capital. Please go ahead.

Amresh Kumar: Thank you, Manish and Suhas. I hope I am audible. I have two questions. First is on revenue growth and margins. The second is on operations. On the revenue growth we have been growing at 25% plus for more than 10 years, 15 years. Last year growth has come down. I was wondering

if this is an – and similarly on the margins front the last year margins grew significantly by more than 200 basis points. So my question was is this an outcome of deliberate conscious choices or should we be looking at growth and margins in blocks of more than one year and why I am asking this question is that for the market participants the predictability of these numbers is equally important if not more important than the numbers themselves?

My second question would be on your operations front. If you can give a quick into your conversations with your counterparts at your customers, what convinces them to outsource activities that they have been doing in-house for so many years and what are the measures that they use to calculate their own returns on the expenses that they make on outsourcing? So these will be the two questions for the first-time understanding of your company?

Manish Gupta: Thank you so much for those questions. Let me take at least the first and third part which is the revenue growth and what makes our clients buy from us. I will pass on the margin thing to Suhas.

Let's start with growth. See the pharma industry is, I would say, reasonably stable industry. It is fairly resilient to economic cycles, but it has its own innovation cycles, and I will come to that in a while.

Before that one of the things which happened there was an event called COVID and during that point of time pharma industry which was fairly low and behind digital adoption for a very long period of time accelerated their digital adoption which benefited us because we are positioned very strongly as a digital-first partner.

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They did a lot of activity and 24 was one year of consolidation for them. So that's one thing which happened in 24. The other thing which happened is going back to what I said the pharma industry is resilient, but has its own economic cycles. This is an industry which has been growing if you take the last 15 years or so data the industry would have grown north of 6%.

I'm talking about dollar terms over here and pretty much all the years were growth years, apart from, let's say, a blip in 2012 where the industry had de-grown because of a bunch of patent expiries clubbing together in one year. Outside of that it grew. 23 was one more year of dip. The top 30 pharma companies declined revenues by 7.1%. So that was one year and as I said this happens every, call it, 10 years, 15 years or so and then again it picks up. So these are the two broad things which contributed to the revenues slowing down in 24. Nevertheless, we still grew and that's been a track record for a long period of time.

As far as why do our clients buy from us - first of all this industry is used to partnering with external people in a very significant way across the board. They have been working with CROs. It's a very large income. I'm talking about clinical research industries

. They're working

with agencies. They work with contract sales organizations. They work with contract research organizations, the CDMOs, which you are aware of. Even at a research level, they do partnerships with labs, biotech. This is an industry which is very open to partnerships, given the complexity of this industry. What we bring to the table for an industry and the reason we exist today in the form we do, is a

shift which happened to digital, which drove a lot of complexity in how things are done. When you are working, doing sales and marketing, just by a medical rep carrying a calendar type of a printed thing, that was one thing.

But now you're reaching out to your customers using iPads, e-mails, WeChat, integration with electronic medical records, being present on websites where doctors are presenting, I can go on and on. The complexity, the skill sets, technology, domain required and across, call it 40

countries, 50 countries, is nontrivial.

That's where a company like Indegene, which comes around with a combination of medical expertise and technology, skills and platforms, which we have invested for a very long period of time, just stands out. That's why companies partner more and more with us. I'll let Suhas talk about the margin piece.

Suhas Prabhu: Thanks, Manish. As I already mentioned, historically we have been growing and the EBITDA CAGR was a very healthy 41% plus in the last 10 years. We have, in the past, operated at margin levels or EBITDA, a level of more than 22% in the past as well.

In the years of high growth, if I dial back to March '22, March '23, our EBITDA margins fell below 20% on the back of our investments during a high growth period. As we embarked on this journey of high growth, seeing how the market was responding to what we bring to the table, we invested in market expansion activities. We invested in operations and technologies at a pace which needed us to dial down a bit on the margin front.

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This was also a temporary call, especially on the operational side. We had to take certain measures in terms of subcontracting and building capacity in the short term to cater to these requirements. Having said that, we continue to focus on initiatives which, over the period, have resulted in the margins continuing to expand from the 18% mark in March '22, going closer to 20% in March '23 and in March '24 today at 22.5%. Having said that, we will continue to reinvest in periods of high growth as we see the market responding to us, but in the longer run, we would strive to operate in the range of 22%-24% at EBITDA level.

Amresh Kumar: For the short term, can I ask you, if our employee count is close to 5100 today, what it would look like at the end of FY '25 or even FY '26?

Manish Gupta: We will not be able to give that number. All I can tell you is that we have made campus offers which are higher than what we did last year. Those people are going to be joining. We are gearing up for that.

Moderator: Thank you. The next question is from the line of Abhisar Jain from Monarch AIF. Please go ahead.

Abhisar Jain: Yes. Hi, Manish. Congratulations to you and the team for a good listing for Indegene. My question was on this very sharp revenue growth that we saw in the last 3-4 years. You, of course, alluded in your initial comments that post-COVID, there was a wave of, you know, focusing on digitalization for all the big biotech pharma companies but just wanted you to maybe dig deeper here and let us know whether we have been able to substantially gain wallet share and market share or whether the out-sourcing CAGR itself in those periods was equivalent to the growth that we showed.

Because it seems that we have almost increased the revenues by 150% in that 3-year period. So just wanted to understand this better whether we were able to gain some wallet share and we

sacrificed o

n the margins by investing also as Suhas also was mentioning during this period and this will hold us in good stead going ahead or in fact the industry CAGR itself was so high that we delivered those numbers.

Manish Gupta: Sure. That's a great question. Thank you for asking this. If I just break down how we get our revenues or growth. First of all, our revenue base is fairly stable, as I said, because it's not linked to product, therapeutic area. It's a very broad base, almost an index of, pretty much think about it, the pharma industry.

Hence, it's reasonably stable. Now, there are a few things which happen. One is the growth of the industry, growth in the spends of which we operate in, growth in outsourcing, but there are two other parameters.

One is shift to digital. If you are spending \$100 as a pharma company, how much of them were in traditional channels and ways of doing things, how much of that is in the new ways of doing things, digital AI driven and stuff like that. And the last but very important one is how much of your operations are you centralizing to bring in the best practices and being more careful on cost, compliance, factors like that.

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Now, those drive obviously growth for us. During the years of COVID, the shift towards centralization and digitization, shift to digital, accelerated. And they accelerated because the industry was way behind the curve. And Pharma industry was really one of the laggards in terms of digital adoption. So, they had to at least come to some level of respectability in terms of these adoption rates. And we, with our existing customers, were well positioned.

So, as the shift happened, we got a chunk of the shift towards the digital world. And new customers who are probably not moved in this direction, they realized that they just have to move. And given that we were well positioned in the industry, we could acquire new customers also.

That's what happened during this period. Having said that, typically what we have seen in our growth, we grow at a certain pace but there might be a year, in which a customer decides to do much more aggressively and you will have a bump up. So, that's how the typical pattern for growth in the last 15 years.

And trying to see there will be some years of growth, then all of a sudden some bump up will happen because two customers decided to do more activity versus the scale of our customers that matters. So, that's one piece. The second piece is that typically, as Suhas said, our margins are reasonably stable.

We have traded off a little bit of margins for high growth. For example, if my growth from a regular thing is going to be 10%-15% up, then we might drop, to enable that growth, drop the margins by, let's say, a percentage or so. This is exactly what happened until, let's say, 2022.

That we grew at 70% or so. Hence, our margins came down by 3 percentage points. And over time, obviously, we know the levers to press to get it back to the right level. That's what we have done in the past. That's what shows in the last three years' data as well.

Abhisar Jain: And just to follow -up on this and just to tie it up with the data that you mentioned in the fact sheet. So, Manish, just to understand this a little bit better, would you feel that some of that growth, that high growth that came in that period was also related to the environment and the adjustment which most of these companies are doing to digital?

And they may have now gone back to do some of that stuff internally also because I see a drop in the absolute employee count for us in FY '24. And also, FY '24 growth for us has slowed down. So, of course, I'm not sure but I'm just guessing at that point of time, of course, with our capabilities, we could have got a lot of work immediately. And now, is that the thing that some of that work, those companies are also doing themselves?

s?

Manish Gupta: No, absolutely not. Our revenues are not one-off projects. These are very deep-standing engagements, especially the 82% revenue, enterprise commercial and enterprise medical. These are engagements where setting up engagement requires a couple of months, by the way, right? Integration of processes, skill sets, training materials.

And most of our engagements are very longstanding. We have shared some of that in the DRHP. So, none of that has reversed. The other thing is that the nature of our construct in our contracts

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are hybrid contracts, F TEs, dedicated F TEs, but a significant portion being per-unit pricing, where we have the flex to develop tools, technologies, process optimization, to be more efficient. And those are the levers we pressed to drive our margin improvement and the headcount being what it is, which also shows in that we have delivered higher revenues by having a lower headcount, by pressing those models. Revenue -wise, it's fairly stable.

Abhisar Jain: Thank you so much. Those are my questions and best wishes.

Moderator: Thank you. The next question is from the line of Bhavik Mehta from J.P. Morgan. Please go ahead.

Bhavik Mehta: Thank you and congratulations on the listing. A couple of questions. Firstly, if I look at your top client and top five clients this quarter, it seems like a sharp drop over here. So, is this driven by one client or are there multiple clients which have faced issues during the quarter?

Suhas Prabhu: Top five customers have been fairly stable over the past many years and quarters. Having said that, given the scale at which we are operating with our top five customers versus the rest, the growth rate of – the rate of growth of the top five would obviously be slightly lower than the newer customers that we have added through the period and therefore, this would tend to be the case.

Having said that, it's just a marginal drop in terms of the revenue from our top five customers, which is today at 46% versus the 49%. And this has been the trend over the past many years. If you look at FY '20, this was 65%. And even with the high growth that we saw over the three years following that, this 65% came down to 49% last year and continues to be in the range at 46% now.

Bhavik Mehta: I was talking more from a quarter perspective that top five has come down from 46% to 42.5%. So, it seems like the revenues have also declined for the top five clients. So, was there a particular reason, especially in the March quarter?

Suhas Prabhu: No, nothing in particular there. The same, as I said, is reflective of the trend that we are seeing, wherein the growth in absolute percentage terms at the current scale that we are at in these customers versus the growth in the rest of the accounts, which are growing at a faster clip, is the major contribution.

Bhavik Mehta: The second question is, can you clarify what was the organic growth for FY '24?

Suhas Prabhu: So, while we don't break out our organic, inorganic growth numbers, just to give you a perspective, the acquisition of Trilogy has not contributed to any revenue or impact on the earnings in the quarter. The acquisition was closed as of the last week, I think, 22nd of March itself and this being a non-material acquisition would have no impact on our earnings and results that we have declared for March 24. This is not material and therefore, we don't anticipate that to be a major contributor to the growth in the future.

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The last acquisition prior to that was of Cult Health in October 2022 and this has contributed to the growth of our omnichannel activation business segment, which grew by 18%, largely driven from the acquisition of Cult Health. But 82% of our business, which is the enterprise commercial and enterprise medical, which grew at 11%, was entirely org

anic.

Bhavik Mehta: Okay, got it. The next question was, how should we think about FY25, given how FY '24 has spanned out? Have you seen any improvement in demand from clients, which can lead to acceleration in growth? And also, should we expect any headwinds from patent expiry or inflation reduction act next year?

Manish Gupta: So let me take that. So if you see, we'll point you towards pharma growth rate. I spoke about that - after a very secular CAGR of almost 6.3% or so over a 15-year period. Although it was 5.7% if you take out FY '23, where FY '23 was a year of decline and the top 20 pharma companies declined by 7% in FY '23.

24 calendar year, which will pretty much become FY25 for us, is expected to be a year of growth for pharma industry. Growth is going to be in that 4% to 5% range. That's the broad projection.

However, if we take FY25 to FY28, the projections of growth for the industry are in the order of 5% to 8%.

And patent expiries, which you're talking about, are short term. But pharma industry is also sitting on new product launches as never before, which will play out over the next few years, till FY28. And that's why you see that projection.

Bhavik Mehta: Okay and lastly if I may...

Moderator: Sorry to interrupt, sir. May I request you to return to the question queue for follow-up questions, please? Thank you. The next question is from the line of Pradyumna Choudhary from JM Financial. Please go ahead.

Pradyumna Choudhary: Hi, sir. I think the previous participant already asked you regarding the demand sentiments in the industry as such. But just wanted to get more on that itself. Is everything already accounted

for in the base year, in terms of there being no COVID -related one-time revenue? Is that already accounted for?

Manish Gupta: Actually, FY '24 has no COVID-related revenue. Till FY '23 , we had a little bit. FY '22 , FY '23 , these two had a little bit of COVID revenue, which has gone to zero in FY '24 itself.

Pradyumna Choudhary: All right. And secondly, was a slightly longer term related question. How do we see the impact of the generative AI on our business, considering Gen AI seems to be something which would have huge implications on the pharma industry? The more we are reading about it, the more we are realizing the importance of Gen AI in the pharma industry. So how do we expect to see the benefits or the disadvantage or probably the threat to our business from this?

Manish Gupta: See, from our perspective, our strategy was anchored on, as I said, medical expertise, healthcare expertise and technology expertise coming together. And the way we articulate technology

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expertise, it's not having 1,000, 2,000, 5,000 people. Our technology manifests in having platforms which we have developed, which encapsulate this healthcare medical expertise. And we've been investing in AI for the last six, seven years when AI was not AI or generative AI. It was machine learning, computer vision, NLP.

And that was one of the differentiators we had in the marketplace. So we are excited that Gen AI at one level gives us better tools and results. Having said that, we believe it's a source of competitive advantage. But having said that, again, I want to reemphasize, this is a very conservative industry. And rightfully so -- given the nature of work this industry does. And adoption will take its own time. That's what we have seen. That's why we've been at it for 25 years now.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will be taking two more questions.

The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil : Good morning, sir. Thank you for the opportunity. So firstly, what sort of employees are hired apart from the earlier mentioned PhDs, medical doctors, pharmacologists? Are they usually from the IT

services background or do they come in with an expertise in what we do?

Manish Gupta: So here is how it pans out, if you think about it. There are different sets of employees. One is that 21.5% of those medical doctors, PhDs, pharmacologists. We go to M . Pharm colleges where we hire M . Pharm 's, PhDs. Doctors , there's no campus thing, so we obviously visit various websites. And again, we've been doing this for the last 25 years, so we have a lot of inbound from doctors as well. So that's one source of hiring. The other source, of course, is the engineering talent, engineering, math.

Now, these are people who could finally, from a career path perspective, become software engineers, could be analysts, could be data scientists, data engineers. That's the second set of profiles. We also hire people from a creative background. Although numbers are small, but still, that's another profile we have. Especially a few in India, but definitely in the United States, we'll have some people like creative directors, art directors and all that stuff.

We hire people who have MBA, marketing kind of backgrounds, as digital strategists, omnichannel strategists and various roles like those. The IT part, when I said people like data scientists, data engineers, software engineers, those are the profiles which could, at a lateral level, come from the IT industry. In our developed markets, US and Europe, where we are customer facing, people will typically come from a life science domain, agencies, CROs, CSOs .

That will be the larger profile.

Sarang Sanil : Got it, sir. So second, we wanted to know if segment mix has a role to play on the margin side.

If any segment is margin -accurate or dilutive ?

Suhas Prabhu: Yes. So, as I mentioned, the Omnichannel Activation and the smaller segments, which are clubbed under others, which are consulting and clinical solutions today and these constitute about 18% of our revenues. These, at the segment al level, are not margin -accretive. And these,

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as we scale, could potentially be margin -accretive as the operating leverage scale would play out.

For enterprise medical and enterprise commercial solutions, we are operating at a healthy segmental margin rate in the mid to high 20s.

Sarang Sanil : Sure. Thank you and all the best.

Moderator: Thank you. The last question is from the line of Naman, who is an I nvestor. Please go ahead.

Naman: Thank you for the opportunity, sir. I have two questions. First is, could you please help us explain how is your business model different from the healthcare and life sciences division of any large IT service company like Infosys or TCS? And second would be that a typical CRAMS or CDMO company like Syngene talks about an asset turn of one time, while our asset turns look much higher than them.

So, compared to a CRAMS business, how does Indegene 's business model stack up and what sort of peak asset turns that we see in our business?

Manish Gupta: Sure. So, as far as, I alluded to this in my initial discussion that , these are the IT companies who are primarily focused on, let's say, we call it a sales force implementation or cloud implementation . More on the CIO side of the business. Here, opportunistically, they will be working on the business side. As Indegene , we are working primarily on the business side, with the P&L owners, brand heads, therapeutic heads, global commercial ops, chief medical officers, head of regulatory safety, head of clinical operations.

That's our predominant thing right now . Opportunistically , probably we'll be on the CIO side.

It's completely reversed. So, to that extent, what we do is non-discretionary in nature. You've got to file your things with FDA. You need to reach out to your customers. So, it's pretty much non-discretionary on the business side. That's one part. Just before this, I spoke about the mix o

f

talent we have. It's very different than what IT companies will have. It's multiple skills and multiple skills spread across multiple geographies . So, that complexity is much higher. Now, coming to the CDMO industry. Now, while I'm no expert on the CDMO industry, the CDMOs obviously are servicing a very different value chain . I spoke about the lab part subsequent to which we come in as Indegene .

CDMOs are primarily in the lab and, of course, on the manufacturing side - segments we don't operate in. From our perspective, we are happy because the segments we operate in from a TAM perspective are much larger. Having said that, even from a capex and fixed investment perspective, we are very asset light. We don't need large facilities, build whatever it is and investments. To that extent, our ROEs , ROEs are typically much higher than the CDMO industry and that you'll see in the financials. Suhas, do you want to add anything to that?

Suhas Prabhu: As Manish mentioned, we are very asset light. We have operated with our capex typically being in the vicinity of 1% of revenues, which, again, just emphasizes the low capex requirement for the business . And we anticipate that to be in that vicinity even in the near future.

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Naman: Okay. Thank you. That's it from my side .

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question -and-answer session.

I would now like to hand the conference over to the management for closing comments.

Manish Gupta: Thanks so much for joining the call today and your continued support and interest in Indegene .

We look forward to speaking with you again next quarter. Have a great day. Thank you so much.

Moderator: Thank you. On behalf of Indegene Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Indegene Limited (Formerly Indegene Private Limited),
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara,
Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: U73100KA1998PLC102040
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August 8, 2024

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended June 30, 2024, conducted after the meeting of the Board of Directors held on August 1, 2024.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

For Indegene Limited
(Formerly known as Indegene Private Limited)

Srishti Ramesh Kaushik
Company Secretary and Compliance officer

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"Indegene Limited
Q1 FY '25 Earnings Conference Call "
August 02, 2024

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER –
INDEGENE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Indegene Limited Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Abhishek. Thank you and over to you, sir.

Abhishek: Thank you, Sejal. A very good morning to all of you and thank you for joining us today for Indegene's Earnings Conference Call for the first quarter-ended financial year 2025. Today we have with us Mr. Manish Gupta, Indegene's Chairman and CEO, and Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter. I hope you have gone through our results release and the quarterly investor presentation which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to risks pertaining to our business.

After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone and thank you so much for joining this call this morning.

In our last earnings call, I had mentioned that Indegene is a fairly unique company. Unique definitely in the Indian context, and I can confidently say there's no one like us in the market. And it's something I'm going to double click on later again. Our thesis when we started 25 years back was that by bringing deep medical expertise and healthcare expertise along with deep technology expertise, we can solve various problems in the healthcare industry. That remains our thesis today also. We are known in the market as a digital first commercialization partner to the global life science industry.

Now, after the last earnings call, we met a lot of you. We got a bunch of questions and also suggestions. A big thank you to all of you for the same. Based on the questions and suggestions we got from all of you, here is what I plan to do in my commentary today. First is a double click on growth drivers. And so I'm going to spend some time talking about those. Also describe the nature of our company a bit more. And of course, our Q1 results. So let's start and straight away dive into the growth drivers. Let me start off again with what I shared in the last call, which is more macro. The global life science industry is north of \$1.8 trillion in size. The operational spends in the areas that are addressable to us, as were highlighted in our RHP, is more than \$135 billion. Now, you might have seen a number of 156 billion.

What we have done is taken out \$21 billion, which is essentially the spend on manufacturing, which is not really addressable by us. Now, out of these spends, sales and marketing, where we have our largest footprint, contributes to 40 % of the spend. Spend in all the areas we operate in, Indegene Limited

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which is essentially regulatory and medical affairs, sales and marketing, pharmacovigilance, are increasing at a rate of 6 % to 7% annually.

Outsourcing is growing much faster, around 9 % to 14 %, depending on the segments I just alluded to. Outsourcing in the sales and marketing side is on the higher side. Apart from the increase in spend and outsourcing, there's also a shift to digital, which we again had alluded to in our last call and many of the discussions before that.

More and

more from the traditional channels of Reps or more people-oriented ways of doing things, there's a shift to digital and AI way of doing things, which increases and continues to increase our addressable market. If we think about it, global life science companies spend more than 25 percent of their revenues on average on SG&A. And by the way, in the SG&A line item, sales and marketing is the predominant spend.

More than half of the top 30 pharma companies are spending more than 25 % in SG&A. They also spend approximately 15 % on R&D. So if you think about the SG&A and R&D spent together, it's around 40 %.

All this presents an opportunity to use digital solutions to drive better physician and patient engagement at reduced cost by deploying digital rather than physical channels or having an omni-channel approach to engagement rather than some of the traditional channels. Given that we are a relatively small company in a very large market, when we plan our execution, this large market opportunity which I just spoke about, of course, gives us comfort. But when we plan our execution on the ground, that is planned from the perspective of clients, accounts, customer segments.

And when I say customer segments, I'm talking about big pharma, big top 20 pharma, mid-sized pharma, biotech and devices. Our business segments become important because they represent different buying groups and different capability sets in our client organizations. Now when I speak about growth from a ground-up perspective, the way we think about it, for simplicity today I'm going to just focus on one customer segment, the top 20 pharma companies.

That's an important segment because top 20 pharma companies constitute approximately two-thirds or 66% of the global life science revenues. And for Indegene also, 68% of our revenues comes from these top 20 pharma companies. So if you think about it again, we are pretty much mirroring the global pharma industry and even in the last call I had spoken about our 65% of revenues coming from Europe, which is very close to the industry spends and split globally as 65% from US, 32% from Europe; that was our spend, and that's broadly how the spend is distributed globally.

Now again, let me go down into some of the facts. We report the following numbers and facts. We work with all top 20 global pharma companies. We have 65 active clients, which are a bit more than what we had reported in the last quarter. We have 36 clients more than USD \$1 million in revenue, again a tad higher than what we had reported last quarter.

Now if you double-click a bit more on this, our largest client today is around \$42 million. And we have two more clients that are more than \$25 million in revenue. All three of them, the \$42 Indegene Limited

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million and these two other companies, are top three pharma companies. All these companies, we believe, have headroom to grow to \$75 million to \$100 million in the medium to long term. In our top 20 clients right now, Indegene's top 20 clients, 14 are top 20 pharma companies. So you think about those three, which I just spoke about, which are more than \$25 million. There are another five top 20 pharma companies where we have revenues in the \$10 million to \$25 million range, which makes it eight companies. There are another 10 companies with revenues in the range of \$1 million to \$10 million, and two of them are less than \$1 million. So we are talking about 12 companies of the top 20 pharma companies where revenues are less than \$10 million.

On one hand, we have a largest client being at \$42 million and headroom to become a \$100 million account. And on the other hand, you have 12 of the top 20 pharma companies being less than \$10 million revenue. Now this essentially means that just with these 20 customers or 20 clients of ours, we can continue to be quite busy for

for a pretty long period of time growing these clients.

In the medium term, we believe we can move many of our clients that are in the \$1 million to \$10 million range or \$10 million to \$25 million range to be more than \$25 million, and the slightly larger ones into more than \$50 million in the medium term. And if I talk about the medium to long term to that \$75 million to \$100 million range, which I alluded to earlier.

Today, in many of our top 20 clients, we are having some very interesting conversations and pursuing some very interesting opportunities where we have the potential to partner with these companies at the next level of their either consolidation and execution of some of their more upstream marketing and medical activities or increase their digital footprint in a significant way for brands across their lifecycle. So that's in the top 20 pharma companies.

Beyond that, we also continue to get more and more traction in the midsize biopharmaceutical companies. Now the midsize we'll define as let's call it 20 to 100. Six of these anyway are our top 20 clients. This is a very dynamic segment where we continue to invest. These companies view us as end-to-end partners. Towards the end of Q1, we closed some interesting deals again with this segment, which I'll allude to later in the discussion.

Now, having spoken about opportunities from a client perspective, let me delve deeper into the segmental view of things. If we dive into our top 20 clients, a significant percentage of revenues comes from enterprise commercial segment, indicating a potential for further expansion into other segments like enterprise medical. Within Enterprise medical itself, the operational spends are approximately \$40 billion. This essentially includes the regulatory and medical affairs and the safety and pharmacovigilance segment, which have been called out in our RHP earlier.

In the enterprise medical segment today, we have two clients that are more than \$10 million. There are 14 clients in the \$1 million to \$10 million category, which means of the 36 \$1 million plus clients, which I spoke about earlier and as reported in our KPIs, only 16 significant clients are in the enterprise medical segment and that presents an opportunity to expand not only these

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16 clients, but also expand our enterprise medical capabilities and offerings to the remaining 20

clients who are sub \$1 million or not even present today. That's one segment.

Now, if you look at Omnichannel Activation, which is our third segment, we again have two clients that are more than \$10 million. Outside of that, we have another three clients that are in the \$1 million to \$10 million range. This essentially means that, again, out of our top 36 clients who are more than \$1 million in revenue, our omni-channel orchestration footprint is in five, again, presenting the headroom to expand into this segment over the medium to long term. Outside of this, clinical is a very large spend without sourcing in excess of \$50 billion per annum. Our foray here is nascent. And given the impact of technology and pressure of regulation, especially IRA, we believe it presents a large and interesting opportunity for us, and we continue to invest in this.

Given our presence across the commercialization value chain, we are poised to increase penetration with each of the accounts by leveraging cross-sell potential. We have seen our land and expand strategy yield results consistently in the past. So that's a broad kind of a breakdown from ground up.

Now, again, let me come back to some of the macro part of the industry. We have spoken about some of this in the last call, but I would like to reiterate that despite facing a challenging last year, which is calendar year '23, with the top pharma companies seeing a downturn or a negative growth rate or degrowth of 7.1% for these top 20

pharma companies, the outlook for the industry remains positive now.

2024 is anticipated to be a year of growth, though a modest one, setting the stage for recovering to 2022 levels for the industry. However, by FY '28, which is essentially FY '25 to '28, the industry is expected to grow at a CAGR of 5% to 8%.

This higher growth rate and the bump in growth rate is mainly attributed to upsurge in drug launches, which is always favorable to outsourcing opportunities. We are well positioned to capitalize on this expansion to increase penetration in market share. Now, that's broadly about the industry. Some of it is what we had spoken about last time.

Let me come back to talking about the uniqueness of our company. We are neither a traditional IT company nor a BPO company. We operate in crucial business segments within the Life Science domain, leveraging our expertise in medical, commercial, and technology areas. We're likely to be one of the first business services companies from India doing this, focused on a very large, specialized, and important industry, helping to solve for problems of future of sales and marketing for the Life Science industry. This essentially means how does this industry engage with their end customers, which are physicians, patients, and payers, how to drive better regulatory medical compliance far more efficiently and effectively; and also reducing the time taken and cost involved.

These are very important and significant problems the industry is dealing with, and we are helping them get much more effective and efficient in some of these areas. In our business, our engagements with our clients is for work which is of a very critical nature and involves a business

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transformation in some of these very mission-critical and business-critical areas at the end for the clients. Clients take some time in the initial phases to get their act right, and of course, in our partnership. But once that is set, we see rapid scaling, and that's been the trend in the past. Now, in that context, we remain bullish about our mid- to long-term growth prospects, given the opportunity size I just alluded to, and our unique positioning in this industry. We continue to remain committed to executing with a mid- to long-term focus, aligned with the nature of our industry and business.

Again, as I had spoken about in the last earnings call, there will be quarters and years of high growth. There will be quarters and years of low growth, but we will nevertheless continue to grow. Over a three- to five-year period, we believe we're going to be a much larger company. Now, in that context, we would believe it's going to be much more appropriate to evaluate our performance over the medium-term, let's say over three years or at least annually, rather than on a quarterly basis.

To support our growth in the medium- to long-term and the large opportunity size we spoke about earlier, we continue to invest in enhancing our go-to-market capabilities, continue to invest in specialized domain expertise, therapeutic expertise, area expertise in areas such as sales and marketing or pharma commercialization, regulatory affairs, clinical operations, medical affairs, and in developing advanced technology tools and platforms, many of which incorporate Gen-AI.

Now, coming to our results for Q1, we recorded revenues of INR6,765 million, which is an 11.4% growth vis-à-vis Q1 last year, and our EBITDA is INR1,328 million, which is a higher 14.5% growth compared to last year Q1. Our PAT for the quarter is INR877 million, which is 28.4% higher than Q1 last year. We have fully paid off our loan of USD 48 million, which was

one of the objects of capital raised from the IPO. This was the largest component of the fund raised from the IPO, and that has been utilized now.

From a quarter-on-quarter perspective, the performance

will appear a bit underwhelming.

However, we continue to remain bullish about growth in the medium term, given not only the market opportunity I just explained, but also some of the market engagement we see right now, which I'll talk about in a bit. But before that, let's just talk about the current quarter. We had a few headwinds from a growth standpoint.

One of our top five clients, which faced certain challenges in 2023, continues to make effort in overcoming these challenges, impacting our revenues from the client adversely. We believe from all the conversations we have with this client, given that we are deeply embedded, this should stabilize and get better towards the end of the calendar year. On top of that, we had another of our top five clients undergoing restructuring and re-engineering of some of their processes, which impacted us adversely in Q1. We again understand from our conversations with them, that this is a near-term issue, which is unlikely to continue for more than a few months. Hence, activity and spend levels are anticipated to be back to earlier levels in H2.

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Now, coming back to medium term, compared to last year, same time, pipeline is much healthier than it was. Quality of conversations with clients are much better and much more strategic in nature, which gives us confidence about driving robust growth in the medium term. Towards the end of Q1, we had four strategic wins from mid-size pharma, which provide an impetus for growth in the coming quarter. These are very interesting deals.

We also have some very interesting deals shaping up, which will provide an impetus for growth in the coming quarters. Most of these deals and opportunities are with top 20 pharma companies, where they are looking at the next level of consolidation and aggregation of some of the upstream marketing and medical activities. I spoke about that earlier.

And we believe they will get initiated in our H2 as companies start budgeting for these at an enhanced scale in the next calendar year. And hence, would reflect starting our Q4. With these promising developments, we remain confident of steady growth in FY '25 and, as I mentioned earlier, in the medium term.

With this, I'll pass on the mic to Suhas for more details on the financial performance. Suhas, on to you.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone and we appreciate your participation on this call today. Let me start by getting into the details of the financial performance for the quarter, more particularly the margins. An important thing to note is we have made a change in the way we report EBITDA versus what we have been doing in the past, by excluding interest income.

This is relevant as we have more cash on the balance sheet, understandably with the INR7,600 million of IPO proceeds coming in which are invested in interest-bearing instruments. Hence excluding interest income from EBITDA would be a better representation of the operating performance of the business. This change is also based on the feedback from many of you that we interacted over the past couple of months and is consistent in the manner EBITDA is computed and disclosed by other companies.

Exclusion of interest income from EBITDA would result in reduction of margin by approximately 150 bps to 250 bps in each of the quarters of the past period against what we had reported. I would also request you all to refer Slide 12 of the investor presentation that has been filed with the exchanges and is also available on our website, for the revised EBITDA workings for the past years and quarter. Going forward, this is the manner in which we would continue to report EBITDA.

As Manish already mentioned, our revenue in Q1 is INR6,765 million which is 11.4% year-on-year growth and 0.5% quarter-on-quarter growth. Our margins came in stronger

with EBITDA

of INR 1,328 million at a 19.6% rate versus 19.1% in the corresponding quarter last year. This 50 bps increase in EBITDA combined with the interest income increase from the higher investable cash on the balance sheet and the lower depreciation amortization rate has further positively impacted our earnings with the PAT margin coming at 13% versus 11.3% in the Indegene Limited

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corresponding quarter last year. And therefore PAT of INR877 million is a growth of 28.3% year-on-year.

Manish already alluded to the impact on the sequential revenue growth with a couple of our top five clients having internal restructuring and other related issues impacting our revenue in our Q1 of the current fiscal. And this also impacted the margins as we continue to maintain capacity for higher volumes from these clients.

And hence our sequential EBITDA margin contracted by 230 bps to 19.6% versus 21.9% in Q4 of last year. As volumes from these clients ramp up in future, we expect this to get corrected. Further, we continue to strengthen our technology and automation initiatives which we believe will also have a positive impact on the margin in the future. We anticipate that the EBITDA margin would have a similar trajectory as the past fiscal year with a stronger H2 compared to H1 with the rate for the full year and even beyond being in the early 20s.

We are now a zero debt company and the resultant zero interest cost impacts PAT favorably going forward by approximately 100 bps. To sum up on the margins, our focus on maintaining and growing EBITDA margin continues and with the imminent interest cost reduction going forward, the PBT and PAT margins should also get impacted positively.

Finally, our return on equity post the primary raise in the IPO continues to be in the 20s, at a healthy 21% and return on capital employed net of cash is a very healthy 48%. With that, let me take a pause and move on to the questions that either me or Manish can answer for all of you.

Moderator: Sure sir. Thank you very much. We will now begin the question and answer session. The first question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Thank you for the opportunity. Manish, thank you for the very detailed opening remarks where you spoke in detail about your top accounts and your ambition in the medium to long term. I have one question over there. If you could share what are the timelines you're looking to grow from this 40 to 100 on your top and the next two from 25 to 100? In the context of what happened in the history, how long did it take you to scale up these accounts? How do you go about it in terms of cross-selling?

And what are the key impediments in achieving that? The place where I'm asking you from is while we look at the time it all looks very strong, but the growth rates that we currently have are just around 10%, 11% year-on-year, while the numbers you're talking about are much, much higher. So if you could give some path over there, that would be helpful?

Manish Gupta: Sure. Thank you for the question, Abhishek. Now, it's very difficult to call out exactly how many quarters because as you would imagine we are talking 68% of our revenues coming from the top 20 pharma companies and they have their own pace of doing things. Now, in the past again, I had spoken about in the last call that if you take a decadal view, we had grown in the order of 24%-25%. Now, of course, that was a smaller base. And in the past, also, we have seen that customers would continue to be at a certain level and probably go up. Once in a while they can be a bit down. We don't see significant downturns.

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And then as soon as they get one of their activities together, which is more of an internal transformation, we see a big surge happening.

And we believe some of that will continue to play out. Now, to get more specific as I had mentioned in the commentary earlier, today we are seeing a much stronger pipeline in general.

If I look at the numbers including even the Q1 closed deals the quality of conversations and opportunities we are pursuing are very strategic in nature. We have spoken about how we drive consolidation across a set of marketing activities. And I remember meeting many of you and saying, if you think about 1-10 processes, we would be doing, let's say, 5-8, 5-9 for our customers.

Now, for the first time in so many years, we are also seeing customers talk about processes 3-4, which are much more upstream. And the reason they are doing it is that they are gearing up for new launches as have never happened before. And they are seeing that how can I get more and more budgets lined up for those new launches.

So some of the pause which is happening is also happening because companies are right now trying to get prepared for the imminent launches over the next few years and rejigging their internal processes. So in that context, I would say that we expect some of these bump-ups to happen over the medium term.

Suhas Prabhu: And also, just to probably add there, with some of the larger pharma companies, we also see that the decision-making gets pushed towards the end of the calendar year, which is also a reflection of their planning cycles, which are Jan to December. And as Manish mentioned, we see typical ramp-ups take about 4-6 quarters post-initiation of a new engagement or expansion in the engagement.

Abhishek Bhandari: Got it. Thank you. So Manish, this was my second and last question. Sorry if I missed it in your opening remarks. But if you look at your top 5, top 10 account portfolio, top account has done well, whereas the remaining top 2-5 or call it 2-10 there is still a weakness. I think you mentioned

that you have some confidence on those growth -recovering paths. If you could tell us what kind of projects are these and by when do you think the ramp -up of these will happen in the course of Fiscal 25?

Manish Gupta: So it could be very client -specific, Abhishek. As I said, our largest client is growing and there's a very strong pipeline even after this growth. The remaining 2 in the top 25, that's where some of the weakness in the quarter 1 came in.

One of them we believe was a very short -term thing, which is where I said we believe it should get corrected in a few months. The other company is going through a bit of a churn so that might take a few quarters. Now if I think about other customers, let's call it outside of these 3 customers in general , apart from 1 or 2 companies, which are facing their own challenges, they're missing their earning guidelines and hence restructuring, reorg and all this stuff across the board, we see a much stronger pipeline.

And we are reasonably confident that again in the next few quarters we should start seeing all these companies ramp up. The whole pyramid of number of customers above 25 million, 10 to Indegene Limited

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25 number of million -dollar customers, we believe over the next let's call it 18 to 24 months, we should be in a much better shape from a KPI perspective.

Abhishek Bhandari: Got it. Thank you , Manish, thank you Suhas and all the best for Fiscal 25. Thank you , Abhishek.

Moderator: Thank you. The next question is from the line of Karan Surana from Monarch AI F. Please go ahead.

Karan Surana: Hello, good morning, sir. Thank you for your opening remarks. Am I audible?

Moderator: Yes, you are.

Karan Surana: Sir, I just want to probe a little bit on the demand environment. You said that we've seen some softness in the last couple of quarters . So when you are having conversations with them, what conversations are you having on the spends with the top clients?

Because as we see on your slide

18 sir, our client 3 and 4, like you already alluded, did see significant ramp downs, right? Our client 3 went from \$35 million to 29 in FY '24, right? So can you just help us understand the spending environment with these clients and what transpired to see this ramp down post three years of very strong growth in these accounts?

Manish Gupta: Yes, so this is one customer which has its own issues . In this customer also, I think we would have alluded that at least in FY '21 and even '22, we had some bit of COVID -related revenues as well . Actually, FY '22 and FY '23, there was some bit of COVID -related revenues. `Those are one -offs, right? Which had to go and we are very clear of that. We had stated that earlier. So that's one impact. Subsequent to that, this is a customer which is going through significant change and that's the customer I alluded to in the earlier question which we believe it's going to take a few more quarters probably for them to stabilize and then for things to pick up. They have their own revenue issues, big client reorganizations and things like that. Suhas , you want to add on anything?

Suhas Prabhu: Yes, and having said that, Karan, we continue to engage with them on looking at how to shape their commercial activities as they come out of their internal reorg and other priorities in the near future. We are deeply engaged on being the digital partner for this client and of course, the priority today for the client is to get their act together and then we see that opportunity likely to move forward.

Manish Gupta: And again, I'm going to just double -click on and probably reiterate some of the stuff which I mentioned earlier. Across these clients and in these top three and many more clients across the board today , we are seeing that after having gone through, let's call it a wave one of consolidation in digital activities , they are now gearing up for wave two. And thinking about reorganizing to drive consolidation across those sets of activities. And we believe we are very well positioned to help them do that.

Karan Surana: Got it, sir. So, sir, since our Q1 was kind of flat Q -o-Q for us to kind of replicate the last year's growth the ask rate from Q2 to Q4 on a CQGR is quite high. So, just to kind of understand is it naturally that our Q1 is usually soft and our growth picks up in the later half of the year or what

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makes us feel confident that at least we can replicate last year's growth rate? Or we might see this year, our year -on-year growth on a full -year basis might be a little bit lower than FY '24.

So, just getting some sense of post -Q1, what could transpire from Q2 to Q4?

Manish Gupta: I'll let Suhas double -click on some of the things. But again, as I did mention earlier that our pipeline deal closures in Q1 and the quality of opportunities we are pursuing at reasonable stages are much more healthier than what we had in Q1 last year. Q1 last calendar year was a tough

year for pharma in general . And companies were dealing with that. That was a year of slow growth. It was a year actually of degrowth for the pharma industry. It was a year of IRA being introduced as a regulation . And I think everybody now realizes what the external landscape is and things are looking better for them. And from a metric perspective, pipeline deals all the stuff is much healthier for us. And that's what makes us confident about this year as well. But Suhas, I'll pass it on to you for more details.

Suhas Prabhu: Yes. Manish already mentioned in his opening remarks about four opportunities that got converted. And this is what we are looking forward to from a future perspective given that those have already been bagged by Indegene. And of course, the pipeline and the kind of conversations, the quality of the conversations that we are having, we

see that impacting us

positively. The other thing that I would like to also highlight is that while our top five client concentration, if you look at got impacted adversely , Actually, when you extend that to top 20, you'll see that that has not been impacted as adversely, which indicates that there is growth in the rest of the clients in our top 20. And so it's business as usual in many of our accounts , more specifically outside of the two that Manish mentioned. And that also gives a fair indication of why we continue to remain bullish on our current year and beyond.

Karan Surana: So just to probe a little bit, however it's encouraging that the deal pipeline or the pipeline that you guys are seeing is very strong. But just from a CQGR basis, I just didn't really get a sense whether you feel confident that in the 2H or post Q2 that our growth trajectory could replicate last year or we could even do better than last year?

Suhas Prabhu: Again, Karan, I would say we have demonstrated in the past an ability to grow at significant rates whether you look at it on a yearly basis or even on a medium-term basis. And we therefore continue to emphasize that it's something that we have done in the past and given the quality of conversations, pipeline and even deal closures that we are seeing, we remain bullish about the current year and future.

Karan Surana: Okay, sir. Just squeezing in last one, sir ...

Moderator: Sorry to interrupt you, sir. May I request you to rejoin the queue for your follow-up question?

Karan Surana: Okay, I'll rejoin the queue.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Hi, good morning. Thanks for taking my question. First, when I see the segmental performance this quarter...

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Moderator: Sorry to interrupt you, sir. May I request you to please use your handset?

Abhishek Kumar: Yes, so my question is, if I look at the segmental performance on a sequential basis, apart from Enterprise Medical Solutions, which has grown by 17%, every other segment has declined, I was just curious if, Enterprise Medical Solution has any contribution from Trilogy acquisition, which we closed towards the end of Q4.

Suhas Prabhu: Yes, so thanks, Abhishek. So from a segmental performance perspective, yes, Trilogy has contributed to that, because Trilogy being a regulatory writing business rolls up into our medical segment. But having said that, it's a very non-material acquisition. And the two client engagements that Manish , spoke about where we had a decline in volumes has adversely impacted the commercial segment more specifically, the enterprise commercial segment, and that showcases the decline quarter-on-quarter in the commercial segment.

The other two segments, again, while it shows a decline, it's also on a very small base where we also have project by project kind of business being a little more significant than the two enterprise segments which contribute 80 % to 83% of our revenues. And therefore, on a quarter basis, there might be some impact, sometimes positive, negative, but I wouldn't read too much into that.

The recurring business and the longer business proportions are higher in the enterprise segments, which is enterprise commercial and enterprise medical. And your observation on Trilogy is accurate, but it's not a material contributor.

Abhishek Kumar: Sure. Next question, maybe to Manish. See, from what I understand, the work we do is a very non-discretionary sort of work, something which, pharmacovigilance or even S&M for drugs which are already in the market, they are, very critical for all the pharma companies for their operation.

So, in that context, such sharp decline by a few clients, what are they cutting? Because this, if this is non-discretionary important, is this, kind

of rate cuts that we are seeing or some closures

of the program? Just explain, what kind of impact we are seeing in terms of, our engagements with them?

Manish Gupta: So let me explain , and these are, that's a good question, Abhishek . And if I explain, it's client by client . One of our clients where I said they faced problems in 23 and continue to face problems, it's going to take some time. There, they're having a combination of a few things. One is in general, given the pressure they have on their financials across the board cuts . And significant reorganizations, which has resulted in general volumes dipping . So there are many things contributing to this client. Whereas the other one, it looks like that it's a very temporary thing. There is a model shift. What happens is a lot of our business, at least on the enterprise commercial segment, as I explained to many of you, that there are agencies across the world doing work for them, for the brand teams. Now they consolidated these activities . And said some of these activities will be done in a centralized way, get executed by Indegene . Now in some reorgs and all that stuff which has happened for this client , there has been leakage, and local markets have gone ahead and spent more on their own . Which is not a traditional thing.

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And of course, this company is committed to more centralized ways of doing things, is not only strengthening that , plugging the leakages, but also saying there are a bunch of other things which we had left to the market will also be centralized globally. And that's a thing which hit. Activities continued, of course.

Abhishek Kumar: All right, and this is the client where you think in a couple of months things can come?

Manish Gupta: Yes, absolutely.

Abhishek Kumar: Okay, great. That's very helpful. Thank you in all the best.

Moderator: Thank you. The next question is from the line of V.P. Rajesh from Banyan Capital. Please go ahead.

V.P. Rajesh: Just trying to understand your pricing model ...

Moderator: Sorry to interrupt you, sir. May I request you to please use your handset?

V.P. Rajesh: Yes, so my question was, I'm new to the company, so I'm just trying to understand your pricing model. Are you selling a product where you have a SaaS model or is it a typical IT service type of model? Just if you can comment on that?

Suhas Prabhu: Sure, sir. Yes , thanks, Rajesh. So, we are not a SaaS product or our engagement models are not similar to the SaaS and subscription or licensing kind of companies. It would be closer to the IT services kind of model with a bit of nuance. We typically engage with our customers on multi - year framework agreements or master service agreements with the rates contracted for the entire tenor. This could be 2 years, 3 years, even 5 year tenors.

These rate charts tend to be a combination of both time and material or FTE kind of billing and therefore per hour or per day or per month kind of rates, but also a set of predefined deliverables wherein there is a unit price which is already defined and even these could be having multi -level complexities or tiering, right?

And therefore, when we design a SOW, which is typically on an annual basis, where these rates and the volumes that are estimated get aggregated and converted into a value, there is a combination of time and material and fixed price construct in the SOW when we contract, and this is typical for both enterprise commercial and enterprise medical, which is about 82 %, 83% of our business. So that's our typical engagement and pricing.

V.P. Rajesh: Great, I appreciate that. And my second question is that, given what we are seeing in the U.S. market, there could be a potential recession or definitely a slowdown that the market is anticipating over there. So in that context, as you can make out, how do you see the sales

and

marketing piece of the business that you talked about getting impacted, meaning your customers, which are the top 20 pharma companies, especially your top clients, coming back on some of that spending? So any thoughts and how are you thinking about that?

Manish Gupta: So from our perspective, and I think I've alluded to that in the last call, we don't see healthcare and definitely pharma sector being correlated to economic cycles . This is a sector which is much

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more resilient, compared to other sectors in a downturn. This sector has its own innovation cycles .

There are a bunch, for example, I spoke about a bunch of launches which are coming up and hence growth will be stronger. Sometimes you have a bunch of patent expiries, which could cause slowness or like last year, what happened was a bit of a decline. But those declines are, by the way, really once in a while.

In 2023, they happened. Before that, they had happened in 2012 or so . Typically, it's a long secular growth followed by one year of patent expiries coming together and impacting things. But it's reasonably immune or resilient vis -a-vis economic cycles.

V.P. Rajesh: Okay, thank you. That's all for now.

Moderator: Thank you. The next question is from the line of Rohan Vora from Envision Capital. Please go ahead.

Rohan Vora: Yes, so first question was on the competitive landscape that you see today. So basically, as I understand, we also compete with the IT companies of the world in some part of the business and with the advancement of AI, their offerings on AI to the clients. How do you see that shaping up?

Also, another aspect to this is that the pharma companies, their own AI advancements impacting the business that we can garner from them. So how do you see that shaping up is the first question? And then probably I can ask the second one.

Manish Gupta: Sure. So before, I think I would again want to reiterate we are a very different company. You've got to not think about us as an IT services company over here. We are a business services company. We're helping pharma companies do sales and marketing more effectively, managing their regulatory compliances more effectively, or helping in clinical trials. It's an area which we continue to invest in.

These are super critical areas, business areas. 21% of our people are medical doctors, PhDs, pharmacologists, working with data engineers, data scientists. On one hand omnichannel orchestrators, digital experts, and therapeutic area experts, oncology experts, bunch of those kind of profiles on the other hand, where as you can imagine that's a very different profile set from any of the IT services companies.

Now, coming back from a competitive landscape perspective, the few large categories or the incumbents in this space, servicing the areas I spoke about are - one is CROs, the clinical research companies especially on the medical side of the business, there are agencies, specialized healthcare agencies and what are called contract sales organizations, servicing the remaining two segments which is enterprise commercial and omnichannel activation. Those are the incumbents.

Significant market share still remains with them and as a factor of more and more shift towards digital, shift towards centralization, driven by the needs of better compliance, better cost and

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obviously doing digital in a much more effective way, a company like us has the right to exist and win. So to that extent yes those are the competent sets. Now, of course, we see IT companies playing in some of these things and not so much Indian IT companies, but I would say some of the global ones which are more credible.

Outside of that as far as AI is concerned, our strategy as Indegene in many of the areas for a long period of time, has

been bringing specialized expertise in various areas and technology tools and platforms to deliver better outcomes. We started investing in these AI-based tools way back in 2016-17, when Gen AI was not launched, but we were using traditional machine learning, computer vision, NLP type of technologies and techniques to build tools which are delivering differentiated outcomes.

That enabled us to grow and win much more. Now, with Gen AI coming in we see that as an opportunity. There are a lot of processes which are being done in a traditional way. The level of accuracy and the benefit which can be driven by incorporating Gen AI in the solutions becomes much more. So net-net we believe in the medium to long term, that's going to be an opportunity for us.

Rohan Vora: Got it. And on the other piece about companies doing it themselves basically so reducing our share in the wallet, does that worry you?

Manish Gupta: Not really. Some of the things which we do, especially specialize in, these are very complex, multi-skill, multi-geography type of engagements. We will have people sitting in Bangalore and those are not going to be one set of skill sets. There will be digital experts, there will be technology experts, there will be content experts and just think about multiplying this complexity in 40 countries where we'll be executing these things and technology changing every day - that's not a pharma company internal thing.

Skill sets which are very homogenous and I would say so, those are the things which companies are trying to internalize with the advent of Gen AI, but ours is operationally much more complex.

Rohan Vora: Got it, understood. And my second question was on the four new wins that you said, mid-sized companies. So a bit more color on that would be helpful, the size of the companies, the area of offering probably and just one thing on the debt part, so the interest outflow going forward will be negligible?

Suhas Prabhu: Let me take the second question. Interest outflow is going to be zero. We repaid the debt pretty much just before the end of the quarter. So from Q2 onwards interest outflow would be zero.

And a bit more color on the wins that Manish mentioned. There are three of them in the commercial area and one in the medical area.

One out of the four is actually an expansion of an existing engagement in a significant way and these companies tend to be of a size, give or take, a little around USD 5 billion in revenue. Some might be a billion lower, some would be in the range of USD5 to USD 10 billion. So while these are mid-sized companies in the industry context, these are fairly large organizations, with global operations and multiple products.

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Rohan Vora : Understood. Thank you. I'll get back in the queue.

Moderator: Thank you. The next question is from the line of Harsh Chaurasia from Vallum Capital. . Please go ahead.

Harsh Chaurasia: Good morning, sir. Thanks for giving me this opportunity. So I have one question. So basically last two, three months we have seen the healthcare and pharma GCC getting set up in India. So I wanted to know what can be the potential revenue impact of healthcare GCC getting set up in India on us? And secondly, could you please help us understand what is the kind of work, that is getting done in GCC and what we are doing? Can you differentiate between two of them? So that's it.

Manish Gupta: Sure. So that's a good question. Now let me start with that one. Every GCC is pursuing different strategies over here. There are a few GCCs which are doing a lot of IT work. They realize they don't want to do, they want to take some of the external IT spend and do it internally, given it's a very homogeneous skill set required. We have seen some of those. Some of the high value, very high value added medical stuff which was being done,

we see some of them doing this part.

But net-net one of the big challenges we as Indegene have faced over the last 10, 15 years is that we are going and selling to companies that what we could do a lot of your very high end, super critical work of helping you reach out to your physicians, patients, regulators, payers, develop all the material required, run the analytics, campaigns, build technology in an integrated way with a significant portion of our teams being in India. Customers were slightly, I would say skeptical about that.

While IT services being done out of India was accepted, but some of these business services they were always worried about. The establishment of GCCs at one level actually from our perspective is an indication that customers are buying the ability that a lot of this work can be done out of India. So net-net from our perspective we believe it's a very positive thing.

We don't have to sell India anymore which we had to do a lot earlier. All the GCCs that are getting set up, all of them are our customers and while they are setting up some capabilities on their own, we are having conversations with them on what are the capabilities they would like to run with us.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question.

I would now like to hand the conference over to the management for closing comments.

Manish Gupta: Thank you so much for joining this call and for a lot of these questions. I know we couldn't answer all the questions. Please feel free to reach out to our investor relationship team and we would be happy to answer those questions offline.

Suhas Prabhu: And we look forward to meeting you all in the next earnings call as well and thanks again for your participation. Have a good day.

Moderator: On behalf of Indegene Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Indegene Limited (Formerly Indegene Private Limited),
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara,
Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: U73100KA1998PLC102040
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November 4 , 2024

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended September 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended September 30, 2024, conducted after the meeting of the Board of Directors held on October 28 , 2024.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

For Indegene Limited
(Formerly known as Indegene Private Limited)

Srishti Ramesh Kaushik
Company Secretary and Compliance officer

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"Indegene Limited
Q2 H1 FY '25 Earnings Conference Call "
October 29 , 2024

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER –
INDEGENE LIMITED

Indegene Limited
October 29 , 2024

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Moderator : Ladies and gentlemen, good day , and welcome to the Indegene Limited Q2 H1 FY '25 Earnings Conference Call . As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you , and over to you, sir.

Abhishek: Thank you, Sejal. A very good morning to all of you and thank you for joining us today for Indegene's earnings conference call for the second quarter and half year ended financial year 2025. Today we have with us Mr. Manish Gupta, Ind egene's Chairman and CEO ; and Mr. Suhas Prabhu, CFO , to share the highlights of the business and financial for the quarter.

I hope you have gone through our results release and the quarterly investor presentation which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek . Good morning all and thank you so much for joining our third earnings call as a listed company for our Q2 and H1 FY '25 performance. Now, in the two calls before this, we have spent time explaining our business to you all, the industry, the sub -industry segments, growth drivers, customer archetypes, our business segments, opportunity, etc. This, we believe, was important because, as I said in my two earlier earnings calls also, we are a very unique business operating in a very specialized domain and not many parallels to draw from. And hence, we thought this investment and explaining the business is going to be useful. This time, however, let me get straight to how we see the opportunity space shaping up and our performance in Q2 and H1.

As you are aware and I have alluded to earlier, the global life science industry is north of USD 1.8 trillion in size and the operational spends that are addressable to us are more than USD 135 billion. 40% of this is attributable to sales and marketing. This is a place where we have our largest footprint. Spend in all the areas we operate in, which is essentially regulatory, medical affairs, sales and marketing, pharmacovigilance, all these areas are increasing at a rate of 6 % to 7% percent annually from a spend perspective.

Outsourcing continues to grow much faster, around 9 % to 14 %, depending on the segments I just alluded to. Outsourcing in sales and marketing is on the higher side. Apart from the increase in spend and outsourcing, there's also a shift to digital. All the stuff which we have alluded to earlier in our call continues to stay relevant and we see the industry move in this direction.

Now coming to the top 35 global pharma companies which we have spoken about earlier, CY 2023 was a year of negative growth after very significant growth before in the COVID years. It

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was negative growth, degrowth, but these trends started reversing in 2024 and 2024 is anticipated to be a year of modest growth, setting the stage for recovery for the industry after a bit of lull .

The top 35 pharma companies are expected to grow at a CAGR of 5% to 8% from 2025 to 2028.

This higher growth rate is mainly attributed to upsurge in drug launches, which is always favourable to the growth of the industry

and from our perspective, outsourcing opportunities.

As companies are going to launch more products and they would be outsourcing more, and this presents an opportunity to use digital solutions to drive better physician and patient engagement at reduced cost while driving better customer experience. We are well positioned to capitalize on this anticipated increase in activities and hence increased outsourced spending while continuing to deepen our current capabilities, engagements, and relationships with these clients.

Given that we are a relatively small company in this very large market, when we plan our execution, a lot of these trends which I just spoke about give us comfort.

Now let's come to our performance. Q2 FY '25 revenues came in at INR6,868 million, a growth of 8% year-on-year and 1.5 % sequentially. For H1 FY '24-'25, our year-on-year revenue growth has been 9.7 %. The revenue growth is attributable to both the enterprise segment, enterprise commercial and enterprise medical segment. These are segments which constitute 85 % of our business and these are segments where our engagements are with the enterprise. These are recurring in nature and have been going on for a long period of time. Both these segments grew by a healthy 3.6 % sequentially.

Till recently, these segments for us were very heavily concentrated on the top 20 life science companies. While we continue to see interest in these segments, the top 20 life science companies, for expansion and deepening their footprint from a capability perspective with us, we also see interest even with a larger set of 20 to 100 life science companies who are setting themselves in the right way to adopt these models as more launches and the adoption of digital increases.

Now from the segment view, let me jump to the customer view. Our growth is largely driven by positive momentum in both big pharma and mid-size pharma. Our largest customer, which was approximately USD42 million in revenue last year, continues to grow. The revenue from top five accounts has grown 2.3 % sequentially. We had called out two of our top five customers where we had seen downward pressure in revenue. We have seen the revenue from these two accounts stabilizing and now we are engaged in discussions on expanding current engagements and also exploring new areas of expansion with them.

We believe engagements with these customers should start improving from next calendar year. I say next calendar year because our clients have calendar year budgeting cycles and hence impact is expected in the new planning cycle in CY, which is calendar year 2025. The customers outside of our top 20, specifically in the 20 to 30 brackets, grew at a much faster pace of 10.1 % sequentially, which brings me to the point I mentioned earlier that now in our enterprise segments also we are seeing a much broader set of customers engaging with us and trying to adopt new models.

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We continue to see traction here as well and we continue to expect these segments to grow in CY '25. Finally, the total number of active clients grew from 65 to 68 and USD 1 million clients grew from 36 to 37 in Q2. More than 95 % of our revenue continues to come from the US and EU regions, so that kind of remains stable and we expect that to remain stable. Our cash position remains strong, and we now have a tad below INR1,500 crores, INR1,467 to be more precise in cash and cash equivalents. We continue to actively scout for M&A opportunities and have a healthy pipeline of potential opportunities right now.

Before I pass this on to Suhas to talk a bit more about margins and dig deeper into some of the financials, I again want to reiterate that we are a very different business, focusing on core commercial sales and marketing, medical affairs, regulatory affairs, and clinical different functions of the global life science industry.

e industry.

This is an industry which has been behind in shaping their functions using technology, but now due to various imperatives is in the path of doing that. Albeit given the regulated nature of the industry in a guarded way, it is a very large spend and is a large opportunity in the long run. In that context, view this in a medium to long-term perspective.

With this, I will pass it on to Suhas to double click on some of the financials and of course the margins. Suhas, over to you.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone and we appreciate your participation on this call today. Let me get into the details of the financial performance for the quarter by starting with the segmental performance.

Manish already mentioned that the Q2 revenues grew by 8% year-on-year and 1.5% sequentially to INR6,868 million. Specifically, the Enterprise Commercial Solutions segment, which is our largest segment, has grown 3% sequentially and the Enterprise Medical segment, which constitutes around 29% of our revenues, has grown by 4.6% sequentially. Again, both these segments combined constitute 85% of our revenue and the growth in these two core segments reflects the positive momentum that Manish has already alluded to.

This growth was partially offset by the degrowth in the other two segments, omni-channel activation, and consulting, which is part of the others, which have a higher proportion of non-recurring project revenues of shorter tenure and the degrowth is a reflection of a portion of such projects concluding with a lower take-off revenues from new projects.

Now, let me move to the revenue by customer industry segment. The revenue from the biopharma segment of our business continues to be stable at 94%, followed by medical devices and emerging biotech, which together add to about 5%. This is marginally lower than the

previous quarter.

The revenue by customer geography continues to be 95% and between North America and Europe. I would like to highlight that we have restated our Q1 revenue mix by geographies. This largely impacts the North America and Europe part of the segmental revenue. We have now made it consistent basis location of the origination of the business rather than a combination of

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that combined with the delivery of consumption locations. This restatement has resulted in a shift of about 4% between Europe and North America.

And post this restatement, revenue from North America is 69.1% versus the 64.8% that we reported for Q1. And Europe, similarly, would be 27.9% versus 32.2% that we reported in quarter 1. The same has also been updated in our fact sheet for the current quarter. Coming to the geographical segmental revenues for the current quarter, this continues to be similar with North America being 70.2% and Europe at 27%.

With those details on the revenue by segment, let me now move to margins, starting with the EBITDA. The EBITDA for the quarter stood at 18.4%, a drop of 120 basis points sequentially. The annual wage hike was effective July 2024, and this has an adverse impact of approximately 220 bps on the margin. And this was offset partially by improved productivity through better capacity management and automation, resulting in a net impact of 120 bps. The exchange rate during the quarter had a non-material impact with the USD strengthening marginally against the rupee while weakening against euro and GBP.

Coming to the interest charge, our interest charge on the debt servicing for quarter 2 was zero versus INR73.9 million in Q1. And this was following the repayment of the outstanding debt in the last week of June of 2024 from the IPO proceeds. This, combined with a small reduction in the tax charge, has a favourable impact on the PAT for the quarter, which stands at 13.4%, an improvement of 0.4% sequentially. Our return on equity post the IP

O continues to be in the early

20s at a healthy 21%. And return on capital employed, net of cash, continues to be around 48%.

With that, let me summarize today's call. Our top five accounts continue to grow. And more specifically, the two accounts that Manish had mentioned in our last call, which are part of our top five, have stabilized and the core business segments, which is the enterprise business segments, have grown at almost 3.6% sequentially. And this is assuring to us a given sustainability of growth in these two segments.

And finally, the ramping up of revenue from the new logos, which has started in quarter two, and will continue to grow in the coming quarters, gives us confidence for a growth in support heading into H2. With that, I'll take a pause and move on to any questions and queries that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Thank you for the opportunity. Thank you, Manish, and Suhas for the presentation. I had a couple of questions. First, Manish, good to see growth coming to your top accounts. Given that there is stability happening here, should we expect the growth momentum on your side to improve from here? Where I'm coming from is, you know, in the opening comments you said the pharma industry is expected to stabilize and grow better compared to last year. Last year we grew around 8% year on year on revenue. So should we expect the growth improvement over the next couple of quarters to be less?

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Manish Gupta: I would say that all the parameters, the industry seems to be stabilizing, preparing for the next set of launches and in a slightly difficult situation given that there are expiries as well and they're looking for new operating models, which is where we are really uniquely placed. And the fact is that some of the challenges we face with a couple of clients, they seem to be behind us and we're having very positive conversations with them right now. So there are a lot of these positive things going on on Abhishek and we feel good about the next few quarters.

Abhishek Bhandari: Okay, Manish, the second question is on your omni-channel business. I think Suhas referred to certain project-related and consulted businesses over there.

Moderator: Sorry to interrupt you, Mr. Abhishek. I would request you to please use your handset.

Abhishek Bhandari: Is this better?

Moderator: Mr. Abhishek? due to no response from the current participant, we will move on to the next participant. The next question is from the line of Srivathsan Ramachandran from Avendus Park.

Please go ahead.

Srivathsan R.: Hi, I just wanted to get some sense on this ramp -down that you're talking about on the project - specific. How should we look at this? Is it we're more or less done at the end of the ramp -down cycle or is there more to go from it to a downward pressure?

And just following that, if this is a little bit more project -heavy business, is there any sense you can give us on pricing and sales cycle versus our larger piece of the business? Just wanted to get some sense on that.

Manish Gupta: I'm assuming you're talking about the two segments which Suhas spoke about, which de -grew, right? The omni -channel and consulting parts of the business. Yes. Okay. So as far as those segments, I'll again let Suhas chip in. As Suhas mentioned, there are some projects which winded down, right? And that's a typical nature of the business, long projects, get over. But typically you have other projects which kick in, right, from these customers.

While the projects winded down, the project kick-off has been slow, and that's what hit this quarter over here. But we have a healthy pipeline, right, from this perspective. So we're not worried. We b

elieve that the revenue ramp -up in these segments also, especially omni -channel, will pick up soon. Suhas, y ou want to add on?

Suhas Prabhu: Yes. Thanks, Manish. So the project part of the business here tends to be a tenor of between three to nine months, say an average of five to six months in duration. And, as these wind down, right, a lag in either newer projects coming in from the same logo s or new logos, right, causes a bit of perturbation here. Having said that, the pricing levels are not too different at a, I would say, contribution margin level. The units in economics of even revenues in these segments are pretty similar to the other segments.

But, of course, at a segmental performance level, when you look at our segmental results, given the current scale of operations of these two businesses, which are relatively much smaller than the rest of our business, the overheads at a division level, segment level, causes these to be at a

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break -even to marginally negative level. From a segmental perspective. But having said that, the pricing levels, especially at a contribution margin level, are quite similar to the rest of the business.

Srivathsan R.: [inaudible 0:22:00]

Moderator: Sorry to interrupt you sir. You're not very clear. I would request you to use your handphone.

Srivathsan R.: Sure. Is it better now?

Moderator: Yes, sir.

Srivathsan R.: Just wanted to get your sense on how you look at, well, you articulated medium -term growth ahead of industry growth. What would it take in your assessment to be mid - to late -teens in terms of revenue growth cycle? Is it just the broader outsourcing budget should grow or is there more something that we can do, gain more markets? I just want to get your thoughts on what would it, in your assessment, require for a mid - to late -teens revenue growth from our 2 -3 perspective.

Manish Gupta: As we indicated earlier, from our perspective, from a pure capability set, I think we are reasonably well covered. The few drivers for growth for us is going to be, the first one is mining our existing customers. We've always said that we are present in to p 20 pharma companies and a bunch of other customers.

Just getting deeper with them is going to be our priority one, which we continue to execute on.

That's the first set of, I would say, important thing. We will continue to also broaden our client base. Today, we have 37 USD 1 million plus customers. We believe the 37 USD 1 million plus customers should go much higher. Our highest segment right now is 25 million plus.

We are hoping that in the next few quarters, we will have a category which is going to be \$50 million plus. Those are going to be moving in the right direction as far as some of these metrics are concerned. Increasing the number of million -dollar customers, increasing the number of 10 million -plus customers, 25, moving customers into the 50 -plus category.

If I take medium -term, that will be one step. The total number of active customers right now is 68. They will also go higher. We are deploying resources to make that happen. In the medium -term, I don't think that will be a major growth driver. Along with that, we continue to do tuck -in acquisitions to expand our capability or round -off capabilities that we have to be able to offer much more integrated and robust solutions to our existing client base.

These are three or four things which we execute on, but we don't think that we have to do anything drastically different. Once this cycle of ups and downs with our customers gets a bit stabilized across the board, we believe we have most of the right piec es in place to be able to drive growth.

Srivathsan R.: Sure. I'll come back later. Thank you.

Manish Gupta: Thank you. The next question is from the line of Rohan Vohra from Envision Capital. Please go

Rohan Vohra: Hello. Thank you for the opportunity. The first question was a slightly broader question on what kind of discussions are you having with some of your top clients? You said that there's a new product launch pipeline and to offset that, there are some expir ies that are happening. What are the kinds of opportunities you see there? If you can just give us some color on that. Also, what are some risks you see with respect to the discussions that you're having? That would be my first question. Then I can probably have the next one.

Manish Gupta: Sure. We are obviously having multiple sets of customers given the segments we operate in across the board – commercial, omni -channel, regulatory, safety, medical affairs. But if I just talk about some of the broad themes, and these are themes which have t he potential for slightly larger engagement, the theme which we see is as companies are preparing for more drug launches and have budgetary pressures, they are now looking at the next set of operating model centralization and tweaking.

They were doing a bunch of activities with a company like us, like on content, campaigns, analytics, in an integrated way. And our enterprise solutions, a lot of our revenues came from those engagements. As they prepare for the next set of waves, they are now thinking about how to centralize some more upstream activities, which are typically right now done by agencies. So that's the discussions we are having with a bunch of our customers, and those are much larger and, from their perspective, strategic spend areas. And we are very excited about that opportunity. As far as risk is concerned, the risk we see, which is alw ays in this industry, is on timing.

How quickly will they ramp up at what pace, given that, as we said earlier, this is a very cautious industry. So risk is on timing rather than whether it's going to happen or not. The industry doesn't have too many options but to move into these more effi cient operating models. Suhas, do you want to double -click on this or add anything?

Suhas Prabhu: Maybe just from an engagement perspective, contracting perspective, Rohan, especially for the 85% of our business, which are the two enterprise segments, our contracts in most cases cover all products under the portfolio. And we tend to be a partner coveri ng all the products and, therefore, launches and launch products are typically naturally flowing into these engagements, while there would also be end -of-life products wherein the activities would come down to zero as our customers stop inves ting in those products and activities that we do as they lose exclusivity.

So this is a continuing cycle and, from a macro perspective, as the number of launches increase and there is growth in our customers' activities, which results in higher volumes for us and higher revenues for our customers, this tends to be a positive deve lopment, even for us. As we expand with our customers through this journey.

Rohan Vohra: Sure, sure. And anything specific that you've noticed? Because the big pharma companies generally go about their budget in November, December. So anything specific that is encouraging that you've noticed from the discussions you've had and anything that i s a cause of concern?

Suhas Prabhu: So, Rohan, it's a bit early. As you rightly said, most of our customers have a calendar year planning cycle, which is also their fiscal year. And as you rightly pointed out, this is the period, starting October, going on through till December, maybe early January, wherein the activities for the next year are going to be in December.

And the budgets for the next year get planned and locked in. Having said that, I would repeat what Manish already mentioned. With most of our customers, there will be, of course, customers where the pipeline is n

ot as robust as the rest or is trailing the industry, but with most of our customers the direction of the discussion is in terms of stable to increasing activity in the future as they prepare for more products, more launches going into 2025 and even beyond.

Rohan Vora: Understood. And just if I can squeeze one last question. So what I see is our enterprise medical solution business has done phenomenally well as compared to the other three divisions over the last three year, four years, if you see the numbers. So what is working for us in that division and how sustainable is this kind of growth rate?

Suhas Prabhu: Sure. So as you rightly pointed out the growth rate in the enterprise medical has been a tad higher

than the enterprise commercial. But having said that let me actually focus on enterprise commercial. The two customers that we had certain headwinds issues due to their restructuring and internal kind of issues that they also impacted us impacted almost entirely the enterprise commercial segment.

So if you keep that aside, we would say that both these segments continue to grow. And with those two accounts stabilizing we believe that going forward at an aggregate level also we would start seeing similar growth even in the enterprise commercial segment. But having said that, I wouldn't say there's any particular trend or any specific reason why one segment should be growing at a pace faster than the other. In the longer run, we believe both these have enough wheels and similar factors impacting both businesses where we stand today.

Rohan Vora: Thank you so much. I'll get back in with you.

Moderator: Thank you. The next question is from the line of Satish Kumar from Kotak Bank. Please go ahead.

Satish Kumar: Hi, thanks for the opportunity. A couple of questions from my side. Can you provide an outlook on revenue synergies from the Cult acquisition and the decline in omnichannel activation was related to Cult? And second is what gives you comfort that the digitization trend in license operations, especially in S&M is continuing to grow at a good pace given that there could have been some normalization post the COVID crisis?

Manish Gupta: So I'll pass it on to Suhas. Satish, good question. I guess some bit of normalization had to happen on the sales and marketing side because obviously COVID pretty much went 100% remote. That has already happened much earlier. Having that major reaction of doing more physical, the question again is going back to ROI spends, optimizing, seeing the effectiveness of these spends and what is the right operating model to deal with the fact that you have to launch multiple products which is super expensive.

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And you're losing patent, or your expiries are happening for patent for a bunch of others. And on the ground channel is expensive and very clearly not that effective. So companies are now getting back to the right model which is not going to be as aggressive as it was in COVID, but they're finding the right model. And we see that conversation across the board where we are actually now also having conversations with clients where they're talking about for at least a bunch of their mature portfolios, 100% digital kind of plans being made.

So if we see those conversations actually back on the table rather than the other way around. So that's one part. Again, as far as Cult is concerned, Cult has now got integrated and works along with the enterprise. On the omni-channel is where we report Cult, but interestingly we are also seeing a lot of synergies between Cult and enterprise commercial solutions.

Some of the stuff which I spoke about of moving upstream and aggregation, centralization of some of the agency spends as opportunities with our customers, we are standing out really in the marketplace pretty much without I would say no alternate because of the fact that

we can bring

these two sets of capabilities together, creative, planning, medical, along with global capabilities to do things at scale. And those are the kind of opportunities we are seeing because of the Cult acquisition. So Suhas you want to again add on anything to this?

Suhas Prabhu: Yes. So Satish the focus on the integration which Manish already mentioned the Cult and omni-channel are pre-Cult omni-channel activation which together today constitutes our omni-channel activation business has focused on the joint go-to-market operations as well as offerings. And our focus continues to remain so. There might be synergies on the cost and therefore margin side which is not the focus as we speak because we see a large market opportunity.

And as Manish already mentioned, we see emerging opportunities by integrating some of the capabilities that we acquired through Cult, combining that with our enterprise commercial segment and going a little more upstream in that offering. And some of the expansion opportunities, the large-deal pipeline actually incorporates this as we speak. And hopefully in the coming future, we will see an expansion from the capability set in enterprise commercial also coming from some of the capabilities that we have onboarded through the Cult acquisition.

Satish Kumar: Got it. Very helpful. And one final question from me. How should one look at the revenue decline in Europe, medical devices of India, and ROW? I mean, is this linked to the decline in omni-channel activation and others, is it more of a one-off nature?

Suhas Prabhu: So, Satish, some of the one-offs, of course, are from the emerging biotech or the med devices, given that the scale of business that we have with these segments would also be more a project-by-project or a brand-by-brand which is typically not what we do in the enterprise segment.

Enterprise segments, as we have mentioned in the past cut across the enterprises, cutting across multiple regions and multiple products or all products that our customers may have.

Whereas a product-level engagement tends to be more in the omni-channel activation or the

consulting or others segment of our business. So, there is a correlation. I would say there's not much of a correlation from a significance perspective, rest of the world or India. But having said that our focus continues to be North America, US and Europe which are the major markets for Indegene Limited
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the innovator pharma which is where we operate. And given that US, Europe is 92%, 93% of the global pharma outsourcing spend. We are a little bit more indexed on that today, but we continue to have presence in other markets such as China, Japan, India, and the like, but as of now the customer focus and therefore our focus tends to be Europe and US.

Satish Kumar: I got that, sir.

Moderator: Mr. Satish, does that answer your question?

Satish Kumar: Yes. Thanks a lot for your comprehensive answers. I'll get back into the queue for further questions.

Moderator: Thank you. The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil: Good morning, team. Thank you for the opportunity. I had two questions. Firstly, was there any material expense booked in other expenses that you'd like to call out and where would you like the margins to settle in FY25 and 26? I believe in Q4, you had mentioned that you'd like to be in the 22% to 24% bracket, but the computation of EBITDA was slightly different, and margins looked optically higher back then?

Suhas Prabhu: Yes. So, Sarang, let me take the second question first. As we had mentioned in the last earnings call, we have slightly revised the computation of EBITDA based on the feedback that we got from participants, investors in the market. And we now exclude the interest income part of the other income in the EBITDA computa

tion. And therefore the EBITDA including other income

which was in that range of 22% plus excluding that the same would be about 2% lower in the region of 20% to 21%. And so that's the first one.

Coming back to your first question on the other expenses, the other expenses and more specifically the constituents of the other expenses which have changed quarter-on-quarter basis have been largely the subcontracting and the freelancing kind of costs. These are costs that we incur when we onboard subject matter experts for certain specific engagements either from a technical, clinical competency that we get from external consultants and advisors or certain activation roles that are needed for new engagements especially in certain regions in Europe and maybe even in the US.

Sometimes it also includes onboarding of people through staffing agencies, but those would be minor, coming out of countries where we may not have our own physical presence to onboard the people directly. And this has marginally grown. You can read that in line with the growth of revenue, especially when we have onboarded the new logos that have contributed to revenue. Some of these costs kick in. Having said that, it's not a material change and we don't anticipate that to change drastically. These would vary depending on the phase of the project, but it's not a material move.

Sarang Sanil: Sure sir. So the 20% to 21% EBITDA margin that you had alluded too, is that your exit margin goal for this year or do you think you would have this next year?

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Suhas Prabhu: Yes, so we would want to – we are striving to operate in that 20% region and as you can see this quarter, we clocked EBITDA of 18.4% which was despite the 2.2% adverse impact of the annual wage bill hike. Our effort on productivity enhancements and other such initiatives continue to provide a positive impact on the margins which we believe should continue going forward. And therefore we should on a full year basis, try and get towards that 20% and in the medium term I would say in the next two to three years, go even beyond that.

Sarang Sanil: Sure sir. Secondly, with a lot of blockbusters going off date in the next one to two years, is there any spending behaviour change with your clients due to this and how differently are they planning to tackle this time compared to the patent cliffs that happened in the last decade?

Manish Gupta: The difference between the last decade and this time is that last decade the pipelines were pretty weak. Before the last patent expiry, most of the drug pipelines or actually the composition of products in the market were more primary care type of products. And when they expired, these are very large products. The pipeline was weak because of multiple reasons, financial, FDA being more stringent and hence they had to some extent quite a tough impact.

This time, when patent expiries are happening, the pipeline is pretty strong for most of the

companies. And hence the imperative is slightly different, that how do we really get prepared for these new set of launches. Nevertheless, there is financial pressure because as I said launches are expensive and if you're losing patents on existing drugs you have to optimize your operating models. And this is what we are seeing and hence they're taking time to get their operating models in place. So our sales team, solutioning teams have been super busy in working with these clients to get that right, I would say pretty much this entire year.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Corporations. Please go ahead.

Nikhil: Thank you for giving me this opportunity. Sir as I can see [inaudible 46:08].

Moderator: Mr. Nikhil, I would request you to please use your handset. Due to no response from the current participant, we will move on to the next participant. Due to time constraints,

we will take that as

the last question. I would now like to hand the conference over to the management for closing comments.

Suhas Prabhu: Again, thank you for your participation on this call today and your continued interest with our company Indegene. We look forward to this engagement and interacting with you again in our next earnings call. Thanks once again and have a good day.

Manish Gupta: Thank you, everyone. Happy Diwali to all of you.

Moderator: On behalf of Indegene Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Indegene Limited (Formerly Indegene Private Limited),
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara,
Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: U73100KA1998PLC102040
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February 06, 2025

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
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Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended December 31 , 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended December 31, 2024, conducted after the meeting of the Board of Directors held on January 30 , 2025.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

For Indegene Limited

Srishti Ramesh Kaushik
Company Secretary and Compliance officer

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"Indegene Limited Q3 & 9M FY-25 Earnings
Conference Call"

January 31, 2025

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN & CEO, INDEGENE LIMITED
MR. SUHAS PRABHU – CFO , INDEGENE LIMITED

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Moderator : Ladies and gentlemen, good morning and welcome to the Indegene Limited Q3 and 9M FY25 Conference Call .

As a reminder all participant s' lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Abhishek. Thank you and over to you sir.

Abhishek : Thank you. A very good morning and thank you for joining us today for Indegene's earnings conference call for the 3rd Quarter and Nine Months Ended Financial Year 2025.

Today we have with us Mr. Manish Gupta – Indegene's Chairman and CEO and Mr. Suhas Prabhu – CFO to share the highlights of the business and financials of the quarter.

I hope you have gone through our Results Release and the Quarterly Investor Presentation which have been uploaded on our website as well as the Stock Exchange Website .

The transcript for this call will be available in a week's time on the Company 's website. Please note that today's discussion may be forward looking in nature and must be viewed in relation to risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations Team .

I now handover the call to Manish to make his opening remarks.

Manish Gupta : Thank you, Abhishek . Good morning, all. Thank you for joining our Q3 Earnings Call .

Over the last few calls, we have taken time to explain the industry we operate in , business model, growth drivers, etc. We believe this was important because of our uniqueness. We are one of its kind in the Indian market. A very specialized Company bringing healthcare and medical expertise along with technology expertise. We use this expertise to help life science companies , bring their life saving products from labs to patients more effectively and efficiently. This is a very large industry and the spends in the areas we operate in are large and hence the headroom to grow is immense for us. We have shared details about this. We have spoken about this in many of our meetings with you all in our earlier calls and meetings .

Today, apart from our results, I intend to talk about the industry outlook and some commentary on our customer groups. The reason we are bringing this up in our Q3 Earnings Call is that most of our clients have a January to December fiscal year and planning cycle. Their outlook, key areas for focus and priorities are firming up and our renewals along with them and the potential future growth areas with existing clients start getting crystallized formed up during this time of the year.

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With that, let me get started with the industry. I will utilize this opportunity to talk a little bit about the industry macro , covering the year gone by and the future outlook of the industry.

Talking about the industry macro :

The continued push to cut drug prices will exert pressure on the biopharma business model and margins . Both in the US and the rest of the world , government policies, competitive dynamics and the very rapidly evolving technology landscape , we believe will force biopharma to reimagine how they do commercialization and R &D. This will provide a big impetus to digital first commercial services companies like Indegene in the next few years and we believe this is going to happen irrespective of what administration is in different countries. Although the current administration in the United States ' stance on this needs to emerge. We believe there will be a continuous pressure on drug pricing. Broadly speaking, while the pace of change may vary directionally, there

is unlikely to be significant change due to different administrations or even the steps taken by any given administration. The regulatory complexity continues to increase across clinical trials, manufacturing and safety , putting increased pressure on in house regulatory teams and driving greater outsourcing as well as adoption of technology. This provides another opportunity for players like Indegene to support the medical and regulatory

functions within our customer groups. Overall, we also believe that the integration of technology into both pharma and health care delivery will continue to increase and we are seeing trends of that happening and that is good news for us.

Now coming to the industry growth after a weak Calendar Year of '23 which we have spoken about to you earlier, where there was clear degrowth. Calendar year '24 was a period of low to modest growth for the industry. Most players reported a 0 % to 10% growth and industry growing at 4% to 5% . Heading into calendar year '25, this seems to be a year of cautious recovery for the industry. Many of you would have tracked the narrative from the biopharma companies in the JPM Healthcare Conference which happens every year in the early part of Jan and this time happened in SFO in mid Jan. The outlook of most of the top 20 pharma and many mid-tier and small biopharma companies is encouraging. They are looking forward to a slew of launches and success with new products with an increased optimism and better outlook. There continue to be a few of the top 20 pharma companies, call it 2 to 4 which are still trying to get over a weak pipeline of new products . With the exception of these, we believe there is momentum in the industry as a whole and we see that in our conversations with our customers as well.

Now coming to renewals :

All our major client engagements which were due to renew this quarter have been largely renewed with minor variance without anything being out of line and we enter the calendar year '25 with a net positive rate of renewal. Outside of the renewals, if I look at a pipeline compared to last year , it is clearly stronger. Again, this is in line with the macro industry outlook and also the fact that I think now after having consolidated, companies are stepping back and trying to evolve to the next level of progression on their commercial and R &D medical models . Other than the regular renewals and conversion of pipeline in the quarter gone by , I would also like to

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mention that we won five key deals on expansion into new regions, adjacent areas with existing and new customers with deal sizes of 2 million to 4 million ACV each, which will go live in the coming month or two and start contributing revenues in the upcoming quarters. Our pursuit for large scale expansion with few of our top 10 to 20 customers continue to make progress, though a bit slower than what we originally anticipated. But with the increased momentum in the industry as a whole and these customers in particular, we remain optimistic about closing these pursuits in the next few quarters.

With this broad commentary about the industry, let me now come to the regular commentary on our performance :

Q3 for us, Q3 FY25 revenues came in at 7,204 million, which is a growth of 4.9% sequentially quarter -on-quarter . Now this is driven by some of the wins we had earlier during the year. Q3 FY25 EBITDA came in at INR 1,501 million. That's a growth of 18.5% quarter -on-quarter . Total number of active clients grew from 68 to 75 and the USD1 million clients grew from 37 to 38 in Q3. More than 95% of our revenues continues to come from the US and EU regions.

Now let me drill a bit into the customer revenue breakup :

If you see our revenue from top five accounts has grown 3.1% sequentially. We see continued growth in our largest customer and we are doing a run rate of a tad b

elow USD50 million in this

account. In the two specific accounts which we had called out issues in the past, we are seeing stabilization of business and revenues . Overall, within this top five customer cohort , we are confident we'll continue to grow and our pipeline and customer conversations reflect this confidence as well. Though there might be some quarter -on-quarter and account specific variability . If I step back and look at outside of the top five and focus on the next 15 customers , we see good opportunities over here , basis our wins earlier in the year and pipeline, we believe we are going to continue to expand in this cohort also.

Now if I just step back and articulate our , let's call it GTM :

We pursue two predominant tracks for growth on the customer segments. Growth in top 20 pharma which we have spoken about earlier many times and then growth in the 20 to 100 pharma . As we have indicated earlier and mentioned to many of you in our one on one as that the second track which is the 20 to 100 is something which we pursued much more deliberately only a few years back. Otherwise used to be predominantly a big pharma Top 20 pharma focused Company . While we started pursuing it more recently , we continue to make investments in this and we are seeing encouraging results .

Now coming back to the top 20 :

We believe in the mid-to-long term this is a place where we will continue to grow and we will build USD100 million, 75 million and 50 million plus accounts. Something which we again spoken about earlier in our calls . Our conversations, opportunities we pursue with our clients ,

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their internal initiatives give us a lot of conviction in this direction. However, given that these are large companies and what we do for them is not standard business as usual but a shift in their operating models, the cycle times might vary. Hence, we are calling out this mid to long term. On the other hand, we see immediate opportunities for growth in the second track. This is 20 to 100 and our efforts are delivering results here. Already there's a large section of the industry which needs to modernize and drive more effectiveness and efficiency. Hence there is a need and shorter decision cycle. This track should continue to play out well for us even in the long term. Now if I just translate what it means over here. If you see our customers, we are seeing a lot of activity in our active clients. On clients which are in the USD 1 to 10 million category, we see more active clients, less than USD 1 million moving to the USD 1 million plus category. Clients in the 1 to 5 million category, moving into 5 to 10.

Now we don't break down 1 to 5 and 5 to 10. But if I just drill deeper, the 1 to 5 are moving more in that category and obviously moving into the 5 to 10 range. We see the 5 to 10 million customers growing within that range. And this is what has happened in Q3 as well and will be a likely driver of growth in the near term as well. Extending this trend of big pharma top 20 and this one into the medium term, we should see our customer pyramid, the way we report getting healthier across all levels as customers as we move up in terms of value and we keep adding new customers at the base as well.

I will also touch upon margins a bit :

Our margins remain stable. We are a very disciplined Company and hence have stable solid clients where we deliver high value solutions and hence managing margin for us has been a way of doing things at Indegene. Our cash position remains strong. We now have a tad above INR 1,500 crores in cash and cash equivalents. We continue to actively scout for M &A opportunities and have a good pipeline of M &A opportunities. Here again we continue to be disciplined. Pretty much that's what I had to cover.

With this I will pass it on to Suhas for a bit more deep dive on our financials

Suhas Prabhu : Thank you Manish. Once again, a very good morning to everyone on this call and we appreciate your participation here today.

Let me straightaway dive into the details of the Financial Performance for the Quarter :

Our revenues grew 7% year-on-year and 4.9% sequentially to Rs. 7,204 million. Our enterprise businesses which comprise the Enterprise Commercial Solutions and Enterprise Medical Solutions segments, grew at a healthy rate of 3.7% sequentially and most of this came in from growth in the mid-sized pharma clients which are beyond the top 20 globally ranked pharma as Manish already alluded to. Our other segments, omnichannel activation and others also grew 11.8% sequentially. And as you would recollect here, there is a higher proportion of project revenue, non-enterprise revenue and many of those kicking off this quarter has resulted in that growth.

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Our geographical split based on location of origination remained in line with the previous quarter. North America revenue came in at 69.3%, Europe revenue at 27.9%, both varying by just under 1% with shift from North America in favor of Europe.

Coming to the margins :

Our EBITDA for the quarter stood at 20.8%, an improvement of 240 basis points sequentially. Continued productivity improvement initiatives through better capacity management and automation helped absorb the impact of the wage bill hike which was effective July and which you saw reflected in our margins in the last quarter and that impact has been negated and we believe this will continue to play out as we continue these initiatives in the future.

I wanted to draw attention to two particular items in our income statement impacting other income and other expenses. In Q3 we entered into a final settlement of the earnout due to an acquisition that we had done in the past of CultHealth. Further, we also paid out the earnout for the first milestone related to the Trilogy acquisition that we had concluded in March of 2024.

These payouts cumulatively were lower than the liability that we were carrying in the books and hence there is a write back of USD1.87 million or INR157 million which is recognized in other income. With this all the payments related to Cult are now settled and also, we are not carrying any deferred liability in the books related to any of the past acquisitions.

Secondly, on the Trilogy acquisition, as part of that acquisition we had also invested in an early-stage technology business which was associate Company of Trilogy called Trilo Docs through a convertible loan instrument of €1.5 million or INR135 million. This was a business which complemented our regulatory writing business which is part of Enterprise Medical Solutions and had certain interesting tech-based solutions that was being worked upon by Tri loDocs. Nine

months into this investment with a review of the progress made thereat, we believe that there hasn't been sufficient progress both on the revenue side while the technology development is yet to play out in the market and conservatively, we have decided to take a charge in the books by writing off this loan which is reflected in the other expenses. The net impact of the write back which reflects in other income and write off which reflects in other expenses is a positive impact of INR22 million impacting positively both EBITDA and PBT margins. Excluding these items, the EBITDA margin would still be a healthy 20.5 %.

Coming to the PAT :

PAT for the quarter stood at INR1,097 million, an improvement of 19.6% sequentially and the PAT margins came in at 15.2%, an improvement of 190 basis points sequentially. This is largely in line with the growth of our EBITDA .

With that, let me conclude my commentary on the financial performance and move into the questions and queries that either me or Manish can answer for all of you.

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Moderator : Thank you . Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press '*' and '1' on the touchtone telephone. If you wish to remove yourself from the question queue you may press '*' and '2'. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Abhishek Kumar from JM Financials . Please go ahead.

Abhishek Kumar : Hi, good morning. Thanks for taking my question. You know, one of the IT services players recently indicated that there is kind of a tug of war between Veeva and Salesforce in the life sciences space. I just wanted to pick your brain on what you are seeing and if either of these end up getting higher share, does that impact us in any way?

Manish Gupta: That's a great question, Abhishek. We agree with that thing there is a tug of war between Veeva and Salesforce and from our perspective, actually there could be a net positive, right given this development for us. Because the opportunities play out at two levels. On the technology level, if somebody is changing the platform, then of course there's a lot of technology implementation work which requires your tech capabilities and domain expertise which where we could play in. But also, after that, if you're changing platform, there is a lot of work to be done in terms of triaging, getting the content right, operating model, a bunch of things where a Company like us comes in, right. So, there's a bolus of work which comes our way. We believe it's going to be net positive for us and we continue to engage with both these providers, Salesforce and Veeva as partners.

Abhishek Kumar: Got it. Second question is to Suhas, this earnout reversal . I just wanted to understand given that we keep looking for new acquisitions, etc. How do we ensure that the acquired entities due diligence is done, what is the risk governance framework, etc. ? So that we don't end up acquiring companies who don't perform as per the initial expectations and hence any earn out possibilities.

Manish Gupta: Abhishek, I will pass it on to Suhas. But let me take this. As far as the governance framework is concerned, I would say that we have a very strong governance framework, right. The way this works inside the Company is following, that a business will get an M &A opportunity. They got to build a business case; they got to defend it vis-à-vis Suhas and our strategy team which is putting a separate independent track. Let's say they are able to defend it internally within this internal committee, then it goes to investment committee which has a few independent directors, some part people who are on the board as well. And they have to defend it at that level holistically. And the people on these committees are people who know investing very well. So only after that we are able to make a non-binding offer also, forget the final offer. So that's how it is structured. Now coming to these particular things, I think one of the things to understand is that the acquisitions we have done, are companies, I would call it a smaller size. And these companies operate in a certain way. They are entrepreneurial driven and hence the way we structure the deal given their expectations, what is the best way to win the deal, is of a certain order that there are earnouts. And the only way to get out of that is that we pay higher upfront, which doesn't make commercial sense for us. So that's one of the ways we structure these deals .

Overall if you think about these over a 3-year period, I would call it, you realize that all these

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deals we would have done will be very sensible deals, what we have paid versus what we have got. Interim accounting treat

ments might be appearing this way. Let's say take Tril oDocs, the one which you're writing of also right now . We are very clear that we were having internal initiative. We saw this thing being developed, we did a holistic deal with Trilogy and Tril oDocs and we thought about the whole deal in totality. Now what we saw is our internal effort on technology which is much more GenAI based is yielding better results and we are convinced about that direction more than what Trilo Docs was doing and that we wanted to have as an option value. So instead of now investing in that which we could have continued over here we are seeing that doesn't make sense for us. We rather double down on our internal initiatives. So that's a broad approach. So Suhas, do you want to add on anything beyond this?

Suhas Prabhu: Yes. And more particularly Abhishek and the rest want to highlight while there is a write back , that is the nature of this business . We are very happy and satisfied with the performance of the acquisitions and more specifically not the standalone performance, but the integrated offering and go to market business which the deferred payouts get calculated and paid out. And this is just a small quantum of write back in relation to the overall payment. For instance, we are carrying little north of 6 million in deferred liability for Cult and the payout was about US\$5 million. We are carrying little north of €5.5 million for Trilogy and the payout was very close to €5 million. So don't read these write backs as significant difference from what the original assessment was. But the nature of deferred payouts with performance linkage will have minor variation. And I would still look at this as successful endeavors with minor variation which has impacted positively because we tend to be a little conservative when it comes to our future assessment .

Abhishek Kumar: Very helpful. Thank you. And all the best.

Manish Gupta: Thank you.

Moderator: Thank you. Ladies and gentlemen , if you wish to ask a question, please press '*' and '1'. The next question comes from the line of Shiwani from Monarch Network Capital. Please go ahead.

Shiwani: Hi. Thank you for the opportunity. I have two questions. One, with respect to the seven new clients that we have added, what are the nature of these clients and what is the revenue potential that we can expect going forward?

Suhas Prabhu: So, Shiwani, Manish had mentioned in his script that these customers are largely beyond what globally are ranked as the top 20 customers by revenue. So, you could classify them as mid-tier companies which would have revenues, I would say north of \$2 billion to \$4-\$5 billion each. And from a potential perspective, while as things stand today, if we were to look at a top 20 globally ranked customer becoming a \$75 -\$100 million account for us over period, I would say these kind of accounts for the same kind of nature of work would have a potential of becoming a \$25-\$35 and even \$50 million in relative terms. So, we believe that's a large potential and which is why over period we have expanded our coverage. We have from a sales perspective
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and today we have a significant part of our sales operations and dollars focused on accounts going beyond the top 20, say the next 50 and 75 and so on.

Shiwani: Sure, thank you, that was helpful. And secondly, on the segmental mix . I just wanted to understand, on the omnichannel, although QOQ we have seen some 10 %-11% of growth, but year-on-year the growth has been, I think (- 3%), (- 4%). So how do we see the segmental mix playing out? Specifically talking about the omnichannel, which is still premature in my opinion.

Suhas Prabhu: Yes, your observation is correct and valid, Shiwani. So, this is a segment which is growing, but as you would understand, this segment has a higher proportion of non-enterprise or you could

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say higher proportion of non-recurring kind of business as projects with a finite life, 6 months, 9 months, 12 months, and therefore quarter-on-quarter , you would see some variability. But having said that, when I look at the new projects that have kicked off, we see that things are evolving and strengthening from a revenue profile perspective of these new projects . Many of them are actually moving from a 6 month kind of life to a 12 month with the ability to get transformed over period into enterprise agreements which tend to be a lot more recurring and sticky going beyond one year , recurring year-on-year. And that's the promise and that's the endeavor as we scale that this proportion over period would keep changing from smaller term projects to longer terms to eventually multiyear constructs which are enterprise. So, some of these may actually move from the omnichannel activation segment to the enterprise commercial segment as well. The engagements may start as a project in omnichannel activation and as you know, both are addressing the commercial function or the sales and marketing function at our customer. And that could also be a journey that you would see going forward.

Shiwani: Sure. Thank you. That was helpful. All the best.

Moderator: Thank you. The next question comes from the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil: Thank you for giving me the opportunity, sir. Like as we can see our employee count is reducing and we are expecting a modest recovery in the industry. So how are we planning to add the

employees and what kind of hiring are we doing? Like we are hiring fresher s or lateral hires , can you just highlight that?

Suhas Prabhu : Sure, Nikhil. So, we have been mentioning in the past and even I alluded to briefly in our call earlier today , at Indigene we continue to have initiatives. We are a digital first new age technology led Company . While we have significant domain and industry expertise to make contextualize this and make this come to life. And while doing so, even internally we have initiatives to keep improving on productivity and operating models , our contracts also allow us to do that. We typically have hybrid contracts which are not just time and material or FTE contracts but also output based pricing and which enables us to be involved in this in a much more committed manner. And that keeps showing in the increase in output and more importantly an increase in revenue per employee. Having said that last quarter in November , I would say we have also increased our footprint. We opened a center in Hyderabad in India. We now have close
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to 200 people in Hyderabad and the vicinity. We registered a presence in Spain and we started the journey of recruiting people based in Spain . Again, in November , we expanded our office in London UK to 1800 people capacity office and we actually already have more than those people given its hybrid working model and so on. So, we continue to grow our footprint and build on capacity but at the same time new technologies , GenAI, RPA AI, all of that also contribute to the same and we continue to pursue on both these fronts.

Nikhil: Okay, so that's great to know . Sir. my second question is like as we have added a few clients from their revenue potential is \$2 to \$5 million. So, are we still looking to add client in that range or lower than that? And s ir my second set of question is like we are looking at the acquisition, right? So, what kind of capabilities are we looking to add on and what are the valuation we are ready to pay for those ?

Suhas Prabhu: On the first one actually Manish spoke about. But let me reiterate Nikhil. We have added clients, right? So that is one track we will pursue and add clients. Most of the new logos that we add , given that we already work with pretty much all the top 20 globally ranked pharm

a companies,

the addition that you will see will be in the list that is beyond the top 20. But having said that, what we will continue to pursue and which will show up likely in the mid to longer term would be us getting more deeper within our exist ing clients and many of whom are the globally ranked top 20 customers. But as you would understand, these are large enterprises, you know, \$40-\$50-\$60 billion in revenue, 80 -100 country operations, 50 -60 products and the like s. The change management to adopt new models, to adopt new technology typically takes more time, both from a decision making as well as go live and implementation and the like s. So, in the interim you may see that, you know the earlier track that I mentioned, which is the new customer addition contributing a little more, but over the medium to long term, we believe that both these tracks would continue to have a significant impact on our growth going forward. And Manish if you would like to take the question on the acquisition.

Manish Gupta: Absolutely. So, from an acquisition perspective, we continue to pursue a few tracks. One of them actually I would say it's across bo ard. We are trying to expand our footprint from, let's call it omnichannel perspective , capability perspective. Right. We have some geographical presence. We are trying to expand that globally. That's been driven by the need that as Suh as said, that while some of the omnichannel capabilities combined with enterprise commercial capabilities is what customers are lo king for in terms of transformational stuff they are trying to do. And we are seeing some very good traction over there with our customers to accelerate our build out in multiple geographies, some of the capabilities we are looking at doing acquisitions in this space . Now these are not going to be very large acquisitions. It's more of capabilities and need for doing this fast is what is driving us. But that's one category . We continue to look at business technology I would say . Somebody , we had just asked answered the question about V eevea versus Salesforce as a classic example of one of the capabilities, right. This migration and a bunch of things like that where we continue to get pulled in by our customers opportunistically where they call us and say listen, we are working with these SIs, they don't understand the domain for this piece, you anyway are doing all the value -added work on top of the technology platforms. Can you do this technology part as well? We believe more strategically we can build out th at capability a s
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the adjacent area. We look at analytics, we look at some areas on the regulatory and medical side. So those are broadly the areas we look at from an acquisition perspective. As far as size of these concerned. What we have right now in the pipeline are I wo uld call all of them being sub - \$50-\$60 million revenue all the way from \$2 to \$50 million type of revenue range right now.

And we will be always disciplined in what we pay for these kinds of companies .

Suhas Prabhu: If I may add there , size is not actually the primary criteria. It's not a financial bulk up that we are attempting. It's more acquiring the right credibility and capability in market , in areas that are adjacent or upstream, downstream in what we do. And in some cases, this would even end up being very small. What you would typically categorize as acqui-hire kind of a transaction also.

Nikhil: That's great to hear. So, my last question is like, can you just provide like how is the AC V TCV growing? You said that omnichannel is getting better orders. So, can you highlight the portion of orders on omnichannel like how has it been growing quarter-on-quarter , Y-on-Y?

Suhas Prabhu : So, Nikhil, what I would want to highlight is today the customer, the number of logos that we are working with for the same value , if I were

to index it at say 100, right. We are working

getting the same 100 from fewer customers with longer duration projects. Today we have I would say six to seven logos in omnichannel activation which is getting us give or take a little between 70 % to 80% of the revenues in that segment. And if I dial back, this would have been lower in that 55% ish range which means that we are getting entrenched more and more with customers with higher value and longer duration engagement. So that's how I would measure and that's what we are tracking on this.

Moderator: Thank you. People , in the interest of time, please restrict yourselves to two questions per participant. The next question comes from the line of Pun it Pujara from Helios Capital. Please go ahead.

Punit Pujara: Thanks for taking my question. So, I needed one clarification in the trends that I have been observing over the last few quarters, which is that the overall employees in delivery function have been coming down , at the same time the absolute number of delivery employees with healthcare expertise is going up and this is not like a quarter or two when it's been persisting. So, could you just throw some more light on this trend? That's my first question.

Suhas Prabhu: Sure. So, at this point in time, Pun it, and maybe I will take a small example to help visualize this better. So, initiative on automation using the Gen AI platforms which we have made significant progress in, is HTML code automation . Over period the need for this skill set has reduced in the delivery function, but use of this technology, given the maturity curve that we see on the domain side, which is medical and pharma specific is likely to take longer. The low hanging fruit I would say in this example is the code automation versus say something much more complex from a technology maturity perspective, which is the medical writing or more specifically say regulatory dossier preparation or safety case processing and stuff like that. And therefore, you would see that the proportion of people with the domain knowledge would be increasing, but it's Indegene Limited
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not a significant change . We have been in that 21 .5% to 22.5% with slight mix changes itself given the nature of projects. The 23 point whatever is not a significant shift there.

Manish Gupta: If I may just add on beyond the numbers, some slightly more long-term bit to long term commentary on this. If you think about it as GenAI and AI based technologies will progress, what are customers, how customers thinking about it? Obviously, they want to drive automation, but they are worried about the risk, especially industry like ours. And risk mitigation happens by domain experts who are in charge of these technologies and can drive as far as automation in non-domain stuff. So, across the board more and more non domain stuff, getting automated with the domain people operating these and that's something we are excited about. On the other hand, Suhas spoke about things like medical writing, regulatory writing, bunch of things like that. To build and drive automation over there from a Gen AI perspective requires very , if you want to create an agentic model . It just requires so much more expertise , experiences. A Company like ours which has spent 18 -20 years in figuring out what does good medical writing look like, what is a good entry point , how do you train people , what are the kind of mistakes we make? All those things going into the agentic model and driving automation but still having that layer of a strong reviewer , make sure that you're not 95% correct but 100% correct is what the proposition is. And we believe more and more as you see AI automation happening, the domain expert companies, us and any other people in other domains will be the guys who will drive that agenda.

Nikhil: Sure. And the second question is what has been the trend in

the subcontracting cost, especially

in this quarter and is it the main driver for the higher OPE X in the quarter?

Suhas Prabhu: Punit, right observation. The subcontracting cost has gone up a tad bit, but that is also reflective of the growth I mentioned. One of the contributing factors there is we registered our office in Spain, but people that we took on board have been taken on board ahead of when the registration could be concluded through a third-party service provider. And therefore, there is a marginal uptick in the subcontracting costs. But this would get regularized as those people are moved into our payroll as not just the registration , but the office set up , the payroll setup and all are

concluded in due course. It's not going to be a major movement, but there will be some costs that move from subcontracting to payroll and maybe 10 -12 people getting added to the employee count, but nothing material and that's one of the main contributors.

Nikhil: Out of 4,500 employees, how many would be stationed in the U S?

Suhas Prabhu: US, our employee count is in the region of 500 people. We have about between 83 % and 84% of our workforce in India and the balance outside India, US being the largest, followed by Europe and then China and Japan.

Moderator: Thank you. The next question comes from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Thank you for the opportunity . Manish and Suhas, good to talk to you in the new year. Manish, I had just only one question. There's a lot of anxiety around the drug pricing under the Trump

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administration because apparently the new secretary is going after the big pharma in terms of lowering the very high prices of drugs. You mentioned at the start that drug pricing is actually on a downward trend. Maybe you could elaborate , how do you think this will play out in terms of the S &M spending of the big pharma companies and how it will benefit us or be against us in the near to future term?

Manish Gupta: Hi Abhishek. First of all, good to hear from you. I think our point is we still are waiting for clarity on this administration stance on drug pricing, but never theless, outside of that , we believe that drug pricing will be on a downward pressure. There will be downward pressure because the numbers just don't add up at a higher level. Intensity might vary here or there depending on the government, the stance and these are complex issues, but the pressure will be downward. The reality is that our business, given that we do offer more effectiveness, efficiency and if you call it the inertia of companies to move to these new models is what kind of delays our ramp ups with them over here . With more pressure on drug pricing, typically you don't have an option . You just have to become more efficient, do things more effectively rather than having so many reps on the ground , doing things that are not adding value. You have to drive more efficiency and effectiveness. We typically end up benefiting from that. If I just go way back into history , we used to be a 35 crore s revenue Company in 2010 then the whole so called massive pipeline, the patent expiry happened and pharma was forced to become more efficient , then we had surged. So, we believe that with more pricing pressure on drugs , the need to get more efficient will increase and we will benefit from that. The pace is what needs to be defined by the intensity of the regulation.

Abhishek Bhandari: Got it. Thank you, Manish . My second and last question Suhas is to you. I think a lot of questions were asked to you around this movement in the net headcount. My question is if I think Manish also said we are going to use more automation to lower the dependence on non-core tech stuff. So, should we think this to be a margin tailwind for us going forward? And a related point is,

if

I look at your metrics what you report, your offshore mix is actually on a downward trend. It has almost dropped by 300 basis points last seven to eight quarters whereas onsite is going up. So are you letting go more people in India while the on-site addition is as per the ramp ups?

Suhas Prabhu: Yes. Abhishek let me take the second one first. So, you know two parts. One is if you look at it over a four-quarter period, you'd also recollect we acquired the small business Trilogy entirely on site. So that would have created a bit of movement in the on-site ratio going up. The other is as we also ramp up in the new engagements, whether with existing customers, but a new buying group as well as new logos that we had . The start of the project, it tends to be more on site heavy because there is, as Manish also mentioned earlier, when you're changing the ways of doing work, challenging the status quo and standard. There needs to be a more intense involvement in the client offices in various markets. And you start with the on-site layer being a lot more significant and as things stabilize and you move from that change management and transformation phase to the execution phase, that is when the offshore work tends to scale up at a pace faster than the on-site work. So, I would use that slide to say that it is changing over period. You will also see some of that shifting back to the offshore side. We are not looking at moving the work that Trilogy, small business getting offshore. It's more capability in markets

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that we have acquired. But the joint and integrated go to markets with larger deals, which includes global scale and offshoring would mean that even that would start contributing to higher offshoring numbers as things progress. And we are already seeing some of that playing out already . Coming to the absolute numbers itself. Again, it's a function of the productivity initiatives. It contributes positively to our margins. We had a wage bill impact and as you would

recollect from our last quarter's call was a little north of 2.2% impact from wage bill. And these kind of automation and productivity initiatives help us offset that. And these are continual. It's not a one-time intervention. We see that benefit coming in progressively. Wage bill is an offset. In the longer run would also have to pass on some of these benefits to the customers to remain ahead of the curve in the market and be competitive. So that would be the offset but certainly a net positive to our margins.

Abhishek Bhandari: Thank you, Manish, and thank you Suhas and all the best.

Suhas Prabhu: Thanks Abhishek.

Moderator: Thank you. The next question comes from the line of Satish Kumar from Kotak. Please go ahead.

Satish Kumar: Hi Manish. Congrats on a good quarter. I have a couple of questions. One, is a growth in the top 20 to 100 cohort, is it more driven by first time outsourcing or is it from market share gains from other players? And second is are we continuing to see market share gains in the top 10 customers and is it more broad based against the set of competition or is it more focused on marketing agencies or broad based or BPO providers?

Manish Gupta: First of all, hi Satish. Two things. If I see the 20 to 100 customers, it's a combination of both. It's first-time outsourcing, things they are doing internally, They are figuring out more efficient models. It's also taking share from the others. Some of these models which were done by big pharma of centralization and more efficient operating models, They are implementing those. And now we have created solutions that are much more effective for mid-tier kind of companies other than the larger companies. So that's essentially what is helping in this segment. So, it's a combination of both these things you alluded to. If you go to top 20 customers, what we are seeing

is on one hand some of the customers which are still subscale for us in the top 20, we continue to engage with them on pretty much the first set of operating models. Whereas our existing large customers, now the discussions with them are about taking the model to the next level. I am going to go back to my initial explanation of processes, steps 1 to 10 and we said, you know what we have done steps 5 to 10, centralization, let's say. Now these discussions are about centralizing steps 3 to 5 which are much more high value added. And companies are looking at centralizing those steps, especially on the commercial side. Most of them today sit with agencies and there is a lot of spend, can be done effectively and efficiently and our customers are having discussions about that. Suhas spoke about, alluded to in the earlier discussion about the change management, initial presence, being there, transformation, that is what is going on with these customers. And at some point in time we believe these will start scaling up.

Abhishek Bhandari: Got that.

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Suhas Prabhu: Yes. If I may add that just if I take a segmental view, Satish, in enterprise medical, especially the mid-tier, the non-top 20 pharma, maybe the skew is a little more towards first time outsourcing rather than doing it internally. If I go to the top 20 pharma, most of the discussions and forays are to expand into adjacent upstream or downstream areas where it would tantamount to taking market share from others, largely agencies because agencies are the large players in the commercial. So, the enterprise commercial segment, hopefully that helps make it real in terms of market share versus outsourcing.

Abhishek Bhandari: Got that, sir. Thanks Manish, thanks Suhas for the comprehensive answers.

Manish Gupta: Thank you, Satish.

Moderator: Thank you. Ladies & gentlemen, in the interest of time, that concludes the question-and-answer session. I now hand the conference over to the management for their closing comments.

Suhas Prabhu: Thank you everyone for your participation on this call today and continued interest in Indegene. We have had an exciting quarter and we are hopeful that the financial performance and growth that we have delivered is something that we continue from a momentum perspective into the new calendar year as well. With that, we conclude this call and thank everyone for your participation and look forward to the next earnings call next quarter. Thank you, everyone.

Moderator: On behalf of Indigen Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara,
Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: U73100KA1998PLC102040
INDGN/SE/ 2025-26/13
May 02, 2025
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN
Dear Sir / Madam,
Sub: Transcript of the conference call on financial results for the quarter and year ended March 31, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter and year ended March 31, 2025, held on 29th April 2025.
The above information will be made available on the website of the Company: <https://www.indegene.com/>
This is for your information and records.
Yours Sincerely,
For Indegene Limited
Srishti Ramesh Kaushik
Company Secretary and Compliance Officer
Page 1 of 17

"Indegene Limited
Q4 & FY '25 Earnings Conference Call"
April 29, 2025

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER –
INDEGENE LIMITED
MR. ABHISHEK AGARWAL – HEAD, INVESTOR
RELATIONS – INDEGENE LIMITED

Indegene Limited
April 29, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Indegene Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on your touchtone phone.

I now hand the conference over to Mr. Abhishek Agarwal. Thank you, and over to you, sir.

Abhishek Agarwal : Thank you, moderator. A very good morning to all of you, and thank you for joining us today for Indegene's earnings conference call for the fourth quarter and full year ended financial year 2025. Today, we have with us Mr. Manish Gupta, Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter.

I hope you have gone through our results release and the quarterly investor presentation, which have been uploaded on our website, as well as on the stock exchange website. The transcript of this call will be available in a week's time on the company's web site.

Please note that today's discussion may be forward -looking in nature and must be viewed in relation to risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta : Thank you, Abhishek. Good morning, everyone. Thank you for joining our Q4 earnings call. As we approach the end of our first year as a publicly listed company, we listed on 13th May, I want to express my gratitude for your support and interest in Indegene. After 26 years as a private company, we are excited to continue building Indegene into a leading institution in the health care space, as a public company.

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This is our fifth earnings call and comes on the heels of our Investor Day we held in March in our office, where we showcased our business, and our AI -based platform called Cortex. I hope that most of you understand us well now and are familiar with the business.

Now with that, the saying may you live in interesting times has never been more relevant. In our call, last 3 months, we discussed the industry outlook. Since then, significant policy changes have occurred, and many of you have reached out to understand the impact. On this call, apart from our Q4 and full year performance, we'll give you our perspective on what we are seeing with our U.S. global customers and industry because of the U.S. government policies across the Board.

Let's start with the industry. The broad trends we spoke about last time remain in place and will do so for a long term. Pressure on drug prices and adoption of digital technologies will be a long - term trend. What has changed since the last time is the macro uncertainty brought about by the U.S. tariffs, and it's anyone's guess what direction it will take. Obviously, this is not an industry - specific issue, but threatens to spillover into the broader macro climate. And while pharma and life sciences have much lower direct exposure, they're also not immune to the impact. While we wait for the situation to unfold, what this means in the near term for our customers is juggling of multiple priorities, as they focus on dealing with the tariff issues and its fallout and some of the actions they might want to take. Some of them are working on capital allocations towards investment in U.S. manufacturing and other strategic responses. There have been public announcements that some of the large pharma companies have made around this.

Now none of this has a direct impact on our business. In fact, as we had mentioned

, any pressure

on pharma business economics acts as a tailwind for our business because we are a more efficient partner for the commercialization processes. But one impact we are seeing is a slowdown in decision-making processes in the near term, especially for much larger transformational

initiatives, where some of the senior teams' approval and involvement becomes critical. Now the other impact was significant cut in the FDA staff. On March 27, HHS announced a reduction of nearly 3,500 full-time FDA employees, which is 20% of its workforce, following a recent layoff of 700 staff, as a part of the cost-cutting effort to save a round 1.8 billion annually. This has led to a removal of top scientists across key divisions, including drugs and devices. Although there is uncertainty in how this will play out, discussions with clients and experts suggest potential delays in submission reviews, enhanced submission quality expectations and disruptions in meetings and early engagement, especially for biotech firms. We see this as an opportunity for us in the medium term in multiple ways. Clients may require guidance on adjusting their strategies in the new regulatory environment, they'll have to be much more prepared. Further, they are likely to need enhanced bandwidth to counterbalance the reduction of the FDA. We have an opportunity to use our AI solutions and technology to bridge some of these gaps. As of now, we don't see our big and mid-sized pharmaceutical clients being worried about this in the short term. In the short run, this is a bigger issue for the biotech industry. However, in the medium to long term, this might not be a great thing for innovation in general. Although we are hopeful this will get resolved. It is too critical not to. In an interview just 10, 12 days back, the FDA Chief, in fact, spoke about the game plan for accelerating approvals, Indegene Limited
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especially for rare diseases. He also alluded to the use of AI across the board, right, and make things more efficient.

Now that's on FDA. Let's discuss the next big trend, which a lot of you have been asking us and we have been bullish about. AI. We remain bullish on the opportunities AI offers. During our Investor Day in March, our team showcased our thinking around how GenAI could benefit the industry and demoed some of our solutions that already embed GenAI. Our clients continue to share our excitement and continue to engage with us in deploying this technology to enhance business processes. We also remain cognizant of the fact that our industry will be cautious in the speed of adoption of GenAI given the strict regulatory and compliance guardrails we operate in. And the onus is on domain players like us to have contextualized GenAI for life sciences and bring in our practitioners' lens to ensure our clients get the maximum leverage from GenAI, while complying with all regulatory and compliance needs.

With this in mind, we launched a GenAI platform called Cortex that helps contextualize GenAI for life science industry by bringing 26 years of our operational experience codify to train AI models. This latest developments in GenAI in the form of agentic workflows and also brings a platform approach to GenAI development that makes it easier for our clients to drive governance and compliance checks. Now these are 3 things exactly our clients have been grappling with and asking us. We believe this will help put GenAI in action in the life science industry. We are currently in the process of having our domain and business process experts train GenAI agents in Cortex by leveraging years of data and process expertise that resides within our organization. These GenAI agents are being incorporated in our existing solutions after thorough testing and validation. Meanwhile, we are also building GenAI-first products in the commercial and medical space by reengineering

existing processes. You'll continue to hear more from us on this in the subsequent quarters.

Now with this, let me come down to the business performance. Our Q4 FY '25 revenues came in at INR7,556 million, a growth of 4.9% quarter-on-quarter, driven primarily by higher revenues from the deals won in the last 2 quarters. EBITDA for Q4 came in at INR1,526 million, a growth of 1.7% quarter-on-quarter. We reported Q4 PAT of INR1,176 million, a growth of 7.2% quarter-on-quarter. The total number of active clients for us decreased slightly from 75 to 73, mainly due to some one-time revenue project completions. On the other hand, USD1 million clients grew from 38 to 41 in Q4. More than 95% of our revenues continues to come from the US and EU regions.

For the full year, revenue came in at INR28,393 million, a growth of 9.6% year-on-year. The growth was driven mainly by customers outside of the Top 20. This was a result of growth in existing customers and also new account additions. We grew our active accounts from 63 from last year to 73 this year and grew our USD1 million customers from 35 to 41. Most of these new customers are mid-sized pharma companies, and we continue to find opportunities to deepen our engagement and relationships with them across the board and sell them more solutions. The Top 20 customers grew by 2% year-on-year. We had good traction with many of our key customers, but also had some negative events and impacts in some accounts, which we had shared with you through the year. FY '25 EBITDA came in at INR5,622 million, a growth of 5% year-on-year. Full year PAT came in at INR4,067 million, a growth of 20.8% year-on-year. Indegene Limited

Now with this, if I look at the highlights for FY '25, Post Trilogy - this is an acquisition we made, if you remember, towards the end of March '24 - we've been able to go to the market with this in an integrated way and have been able to have some wins of 2 million -plus ACVs for multiyear engagements.

Another acquisition we had made in 2022, Cult, has been, I would say, a reasonably successful M&A and collaboration for us. We have managed to combine Indegene's medical technology, analytics and global operations capabilities, along with Cult's very significant creative capabilities to offer an integrated creatives offering at the enterprise level and have successfully managed to have some customer successes and pilots here. We expect this to translate into increasing revenues in this year and the future.

We launched our GenAI platform Cortex, which I just spoke about and have made great progress in developing AI use cases and bring them into our solutions, as well as to our clients.

Now going forward in FY '26, we are cautiously optimistic. The positives we spoke about last time, while they remain there, a little tempered by the uncertainty and the hold pattern that we see emerging in the broader macro environment; but we remain optimistic of clarity emerging as we go through the year. We had some good wins in Q4. One USD 5 million plus ACV deal with a Top 10 EU headquartered company. This customer and the deal hold potential for us. And three deals of 1.5 million to 3 million ACV with mid-tier pharma. These should start contributing to revenues later in the year. We have a pipeline of interesting potentially large engagements with a few of our Top 10 accounts as well.

At the same time, there have been some headwinds in some accounts. We faced headwinds in 2 of our top 5 customers in 2024 or FY '25. We've been speaking about it through the last year.

One of them has stabilized, and we believe will start growing this year. The other one, which we believe had stabilized, will see some further reductions in volumes. With our largest customer during renewal due in March, as part of engagements in our medical business, some reconfiguration of the on-site or

offshore mix will result in a lower value and realization. Now

this does not impact our margins as the on-site ratio might impact the value or realization a little bit, but no impact on margins or very low impact on margins. Both these will have approximately 1 million revenue impact each to the rest of 2025, starting towards the end of Q1.

Overall, we continue to pursue strategic and transformational engagements with our customers and focus on building our pipeline and focus on converting the pipeline into wins. But given the macro environment, we are circumspect about the speed of decisions and project kickoffs.

We continue to generate good cash and maintain a healthy cash position. We ended the year with INR1,664 crores in cash and cash equivalents, providing ample liquidity for expansion. We will be prioritizing growth agenda hard. We'll continue to pursue tuck-in acquisitions to enhance, deepen and broaden our capabilities and use our cash for these acquisitions. We also believe that the current emerging macro environment will be conducive for us to be able to find the right deals. The market has been tough over the last few years on the M&A side, but we believe opportunities will start emerging, and that's where we use our cash.

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At the same time, as a prudent company with a very long track record of profitable growth, we believe it is a good practice and rigor to start issuing some dividends even as a young publicly listed company. On that note, I'm happy to share that the Board has approved a 100% dividend, subject to members' consent in the AGM. Now this will be approximately INR48 crores, which is approximately 12% of our PAT, and a tad below 2.9% of our cash. As I said, we'll continue to use our cash for acquisitions moving forward.

With that, I'll pass on this to Suhas.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone, and we appreciate your participation on this call today. Let me start off by getting into the details of the financial performance for the quarter.

The revenues for the quarter came in at INR7,556 million, up 12.3% year-on-year and 4.9% sequentially, driven by growth in all the major segments of our business. The core enterprise businesses, both commercial and medical together growing at a healthy rate of 5.1% and omni-channel activation business at 8.6%. The omni-channel activation segment has seen some wins and growth coming from the brand side of the business.

EBITDA margins for the quarter stood at 20.2%, a drop of 60 basis points sequentially. The drop off in margins is due to a higher wage bill consisting of seasonal trends in vacation accrual and

payroll taxes in the US and also midyear & off-cycle increments applicable to a subset of employees. The PAT margin for the quarter came in at 15.6%, an increase of 30 basis points sequentially. This is on account of a lower tax rate in Q4 due to favorable deferred tax adjustments in the US.

On a full year basis, revenue came in at INR28,393 million, a growth of 9.6% year -on-year. EBITDA came in at INR5,622 million, a growth of 5% year -on-year. EBITDA margin on a full year basis reduced by 90 bps to 19.8%, mainly due to a higher on -site employee mix and certain increases in the non -employee expenses related to technology, both having almost an equal impact on the margin rate drop. PAT came in at INR4,067 million, a growth of 20.8% year -on-year. PAT margin improved by 130 bps to 14.3%, driven by reduction in finance and interest costs and growth also in the interest income.

Our geographical split basis location of origin has seen some changes in Q4. North America revenue share has increased to 71.9% versus 69.3% in Q3 and Europe revenue share is at 24.6% versus 27.9% in Q3. The jump in North America revenue is due to consolidation at our US headquartered customer with the expansion of

the enterprise relationship in the enterprise

commercial segment, which started in the European region to now a larger multi -geographical coverage, including US, and this happened during the renewal in January of 2025.

Our cash position remains strong, and we continue to actively scout for M&A opportunities. We also concluded a small acquisition towards the end of March '25. We acquired MJL

Communications Group, a UK -based digital life sciences agency on a debt -free cash-free basis for an amount not exceeding GBP3.4 million, including earn -outs. There is no impact on our Q4 performance due to this acquisition, as the effective date is end of March 2025.

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This acquisition strengthens our creative presence and capabilities in UK and is in line with one of the stated M&A opportunity areas for us. With that, let me take a pause and move on to the questions that either Manish or I can answer for all of you.

Abhishek Agarwal : Steve, we can open the Q&A.

Moderator: The first question is from the line of Shiwani from Monarch Network Capital.

Shiwani: So I have 2 questions. One is on the segment revenue. So the growth in enterprise commercial segment, which used to be a high -growth segment has come down to low single digits. So I just wanted to understand that what's the underlying reason for the same and when we can expect the growth to pick up?

Manish Gupta : Shiwani, you are right. The growth has come down last year, and that is primarily due to the impact of these 2 customers, which we alluded to in our calls last year. That's -- these 2 customers were large customers for the enterprise commercial segment and the entire hit, or I would say, most of the hit has been for the enterprise commercial segment, right, on this part. We believe that, as I had mentioned, one of these customers has stabilized and will start growing even for enterprise commercial solutions.

The other one might take a little bit more hit. There are some process, which the company was doing, which we will not be doing . But beyond this now, we believe all the new wins will start adding up to growth in this region. Last year, all the new business coming in was going to plug in the revenue leakage with these 2 customers. That's going to reverse this year itself.

Shiwani: Understood. Sir, can we expect the growth to come back in like double -digit?

Manish Gupta: I won't call out the numbers over here, but we expect growth to come back.

Shiwani: Okay. Sure. And the next is on margin. So I think in the first question, you partly answered that why the ECS segment was hit. But at the same time, we are seeing that the margin in omni -channel segment has increased to 13.2% this quarter versus 8% last quarter. And also, on a year -on-year basis, we have seen the improvement in the margin. So what is the driver of this margin? And can we sustain this margin going forward?

Suhas Prabhu : Yes. Thanks, Shiwani. Suhas here. So the omni -channel activation business, and we had provided some commentary in some of our earlier earnings call as well, the increase in margin is a factor of growth in top line. There are certain costs that remain constant irrespective of the volume and at the current scale that is a major driver.

But having said that, deeper engagements, longer -term projects is the other driver, which helps us plan better and utilize our resources better. So I would say between both these factors, we've seen a growth in the margin, and we believe this will be the key drivers in the coming future also for this segment.

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Shiwani: Sure. And just last question, if I can chip in. So I just wanted to understand more on the MJL Communications acquisition, what's the revenue potential? And how can we see its contribution to the overall business in FY '26 and FY '27?

Manish Gup

ta : So first of all, MJL Communications is a very small company. And from our perspective, the reason we have done this deal is that our creative capabilities, which we had established through Cult, we believe that -- and I spoke about it that we are seeing Cult capabilities plus Indegene capabilities together creating a very compelling solution for our customers at an enterprise level . And we are working on that.

Now typically, Cult was till now focused in the United States whereas our deals at the enterprise level are global in nature. We are seeing a need emerge for global deals involving creative and content together. To that extent, we had to increase our execution capabilities in multiple regions, Europe being the highest priority, and MJL contributes at that level.

So from our perspective, the logic is our ability to do larger enterprise deals, which are slightly more upstream than what we have been doing in ECS till now . And that's the rationale for MJL -- the rationale for MJL Communications. And we have spoken about this earlier also.

Moderator: The next question is from the line of Ajay from Blue Argon Capital.

Ajay: Congrats on a good set of numbers given the environment. See I had 2 questions. One is regarding your top 10 versus rest of the business. Your top 10 accounts are declining. Can you give us some color on what's the cause? And when did that decline stop so that we can see better top line growth?

Manish Gupta : Sure, Ajay. Actually, the reason for -- again, this is -- I alluded to that in my earlier comment, right? Just these two customers, two customers have contributed to a significant decline in the total number for us, right? If I just put -- in fact, I have spoken about this earlier, these two customers, what we lost in revenue, right, had impacted our overall growth by somewhere in that region of 6%, right, which is what shows up in the top 10 customers itself.

We believe that's more or less behind us. As I said, apart from the fact of the impact we might have in one of these two customers, right, a little bit negative, which might happen. Overall, things will be better. And some of the -- one of the deals we won, which I spoke about \$5 million ACV, again, is a top 10 customer. Suhas, do you want to add on anything to this?

Suhas Prabhu : Yes. Thanks, Ajay, for your question. And more specifically, I would like to bring -- draw your attention to the quarter-on-quarter contribution of our top 10, which is in line with what we had mentioned during our last earnings call that the decline of those two customers is behind us and have stabilized. And therefore, our -- when you look at our quarter-on-quarter, you can see a marginal increase in the contribution of our top 5 from 56.3 to a 56.4.

Ajay: Just on that part a bit more. So in the company's recent history, the last 5 or 7 years, how many times have you seen a few of the customers decline? And I can -- what's the reason, like did this customer set some line of business like Pfizer, obviously, Pfizer's COVID vaccine, the business might have contracted significantly, and if you're supplying to that, that could have been the Indegene Limited

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reason. But if you can give some color on why these two customers declined and how common was that in the last 5, 7 years of the company's history?

Manish Gupta : It wasn't very common in the last 5 years, if you think about it, because 5 years, at least from 2020 to 2023, right, our growth was very significant. We grew from in dollar terms, approximately \$89 million, \$90 million to \$287 million, right? So pretty much everything was growing.

Now coming back to what is the reason, it's a function of two things, right? On one hand, one of our customers, there they changed their operating methodologies, right, which resulted in broad leakage. They realized that wasn't the right model, right, for them because they were

losing a lot

in that perspective, and they have corrected that, right? Their internal operating model, how they charge centrally versus countries and stuff like that. And we, again, we have alluded to this in our earlier calls.

The second one is a company, which has had multiple internal issues, right, declining revenues, pressures on margins, some products going -- which they had major revenues coming from, they falling off the cliff, right? So those things came together for that customer.

Ajay: If I may, one more question. Is there -- how should one look at your profitability, the line of business the right way? Or is your customer engagement sort of, there is SOWs, are they sort of different lines of business? Or are they combined when you look at profitability of the whole account or that line of business account versus your lines of business? Sir, my question is, should

we look at profitability by large versus small accounts or by your lines of business, if you could talk about that.

Suhas Prabhu : Yes. So Ajay, our profitability for both the large segments, enterprise commercial and enterprise medical are fairly stable. And there, we look at profitability at a customer engagement level, right, and not at a project level. So there will be sometimes projects, which may have lower margins and higher margins, but we look at it at a combined engagement level, right? And there could also be periods, especially when we get into a new engagement when the margins may be lower at the start because you may start with a slightly higher on-site mix and over period ramp that up. But largely stable margins.

Now coming to the other two segments, again, at a gross margin or a unit economics level, these are not priced very different from the other two segments. But having said that, at the current levels of business, right, the certain minimum operating costs, non-billable costs and certain fixed resource costs would mean that the segment margins look different. But at scale, these would also have a similar margin profile, as the rest of our business.

Ajay: Thank you so much.

Moderator: Thank you. The next question is from the line of Abhishek Ranawade from Oaklane Capital. Please go ahead.

Abhishek Ranawade : Thank you for taking my question. Actually, I joined this call a little late. I have one question about the patent cliff and pipeline, which your clients are having. So how long this -- the impact
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of this patent cliff will go on? And like what is the -- first of all, what is the impact of this patent cliff and how long it will go on Patent cliff for the clients, the patents which are like the products which are going off patent for your client, which is reducing their revenue and paying capability.

Manish Gupta : Yes. So by the way, we have spoken about this in the past. If you think about it at the industry level, there is -- over the next 3 years, there are a bunch of patents, which are expiring, but there are also a bunch of new launches that are slated to happen, right? So the expectation is the industry will be overall positive and growing reasonably well, right? That's the broad outlook. Now as far as this -- if you're talking about that one customer, where we had an issue, right, this customer is a customer, which has gone through significant challenges, right, and has a very strong pipeline at the early-stage level, but not such a great one at the late-stage level, right? And they've also done M&A and stuff like that. So I would say this customer might be in somewhat of a doldrums some more time, right, over here. But that's just one customer. Overall, at the industry level, I think we are okay right now.

Abhishek Ranawade : Okay. And do you think there is any pattern that once the patent cliff effect goes down, so there are other players, who try to launch their products, and which create

s a good base for your company that patent cliff creates a good base.

Manish Gupta : No, Abhishek, I think what you need to understand is our business is focused on innovator products, right, when there is science to differentiate. Once a patent expires, the generic companies come in and especially in the United States, and I would say most of Europe, that's sales, which happen to trade, right, trade channels. And that's not the segment, which we operate in. So our involvement will be with patented products.

Abhishek Ranawade : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Surbhi from Bellwether Capital. Please go ahead.

Surbhi: My question is on the Enterprise Medical division. We've seen very strong growth here. Could you throw some light on what are the key factors, which is driving the sales there? And also, if you can allude to what percentage or maybe just qualitatively, what portion of the revenue is more like a onetime engagement with the client versus what portion of revenue is coming from a more longer-term engagement with our clients?

Manish Gupta : So let me start with the latter question. Most of our business in these two segments, I would say, enterprise commercial and enterprise medical are regular recurring type of engagements, right? There's a very small percentage of business, which is onetime type of stuff. That those project-by-project businesses for us typically sit in the omnichannel activation part of our business. But these two segments are fairly robust long-term engagements.

Some of our capabilities on the medical side, we've been able to craft, I would say, a fairly robust joint solution on the medical writing and medical writing across the board with the Trilogy acquisition, right? And that is one thing, which has given a bit of an uptick in revenues. I also spoke about some of the wins we have had with people.

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Trilogy is known in the marketplace, as a very high -end specialized, very high expertise medical writing submission kind of a company. That added with Indegene's operational capability, right, and scale, processes, technology has created a compelling solution, right? And we have won on the back of it. But most of the revenue is recurring. Suhas, you want to add on anything to this? Suhas Prabhu : Yes. As Manish mentioned, maybe providing a bit of numbers context. Typically, in the enterprise businesses, and this would be consistent across both enterprise commercial and enterprise medical, about 75% of our business would be recurring, about another 11%, 12% would be what we would call reoccurring, right? It may not be the same kind of business, but coming from the same customer under the same master service agreement year -on-year. And therefore, it would tend to get into the high 80s percentage as what you would call as the repeatable business, Surbhi.

Surbhi Soni : Okay. And is it fair to assume that the large part of growth is coming beyond top 20 clients in the medical segments.

Suhas Prabhu : No. In the medical segment, the growth is consistent, both in our top 20 as well as if you were to also look at top 20 as globally ranked top 20 as well as beyond, right? So we're seeing traction on both sides. What Manish mentioned earlier in his opening remarks, right, a couple of large deals, which were in the order of about \$2 million ACV in medical, where both from our top 20 -- globally ranked top 20 pharma companies. But at the same time, we've seen good traction and wins with the mid -tier companies, which are beyond the top 20. So we're seeing traction on both sides, especially in enterprise medical.

Moderator: The next question is from the line of Sathish from Kotak Securities.

Sathish: I had a couple of questions. The first one is you had indicated no possibility of decisions being slowed due to macro impact. And did we see

any of that impact in -- impacting revenues in 4Q

and maybe deal wins as well? That's number one. And second is what's the margin outlook for FY '26? I mean, should we expect a margin profile similar to FY '25, excluding other income?

Manish Gupta : Sure. Sathish, I can talk about this. There have been some, I would say, reasonable size engagements and very different engagements, which we were hoping would have closed, right? They're very active, and we're optimistic about them. But they have taken a bit more time to close, right? So that's one of the reasons why we called this out. And so, that's one. I'll pass it on to Suhas for the margin commentary.

Suhas Prabhu : Yes. And Sathish, more specifically for especially one of these larger deals in the pipeline, we have already started incurring some costs, which has had a very small impact in Q4, right, and may also impact in the near future till the engagement goes live and we start realizing revenue. But having said that, I would say that the margin outlook would be fairly stable even in the coming periods, and we will continue to strive to improve this, as we grow because we would get more operating leverage, which should add to the margins. Nothing if you see from a customer pricing or impacting our margins materially as we speak today.

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Sathish: I just had one more follow -up. If I look at the other service line, while the contribution to revenues is not very significant, there is still a significant impact on margins because of the loss in the business. So should we expect a similar loss going ahead? Or do you expect some of those losses to be recouped by better operating leverage?

Suhas Prabhu : Yes. In the other segment, as you rightly pointed out, Sathish, higher volumes would result in better margins given that, as I said, the gross margin profile, pricing and unit economics there is not too different from the rest of the business at Indegene. But however, we -- during our annual exercise, planning exercise, do look at opportunities to look at efficiency and productivity initiatives, which cover those businesses also.

But given the current size, those impacts may not be material. It would largely come out of volume growth and revenue growth in the other business segment, which would impact the gross margins and therefore, margins at a consolidated level also.

Moderator: The next question is from the line of Neha Agarwal from SageOne.

Neha Agarwal : I just had one question pertaining to our new GenAI and LLM -based solutions, which we have been developing and which we introduced over . So is there any initial reaction from clients with respect to those? Any specific new business opportunity that we got on account of it?

Manish Gupta : So it's still early -- is for that, Neha. We have, I would say, a very positive reaction from our clients, and we have multiple conversations going on with our customers right now, right, where these opportunities range all the way from building agents for them to using this as a broader platform for them to outsource some of their work, right, in different areas as well, right? So it's a broad range of conversations, slightly strategic conversations. That's where we are, right? But

apart from the pilots and stuff I spoke about, I wouldn't say that there are any big closures behind this right now.

Neha Agarwal : So can we market them in a way that will this be largely a part of BAU or we expect any material recognizable impact from such solutions in the future?

Manish Gupta : So I would say that we are not going to, unlike other companies, try to break this up because one of our propositions from very early on has been that we bring technology as a big differentiator to deliver superior outcomes, right? Our offering and our value proposition to clients is not FTEs or bodies, it's been always business outcomes on how

we think and technology has been a key driver for that.

And AI has been for a very long period of time, a driver for that. All we are saying is that given that we have been doing this for you for a long period of time and GenAI has come in. So we are the best partners for GenAI also because of X, Y, Z reasons .

Now what GenAI does is offer enables us to do four more things. If I am doing X, Y, Z things for you, now because of GenAI, I can also do A, B, C and add stuff to that. So to that extent, breaking it up separately might we believe is not a great idea.

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Neha Agarwal : Sure. Just one follow-up on the same thing. So in that scenario, I understand there could be a long gestation period for such deals and ideally an impact of such development could take up to a year or so to start coming in.

And by when do you think we can expect some meaningful incremental contribution in terms of maybe expansion in single client contribution itself, single client wallet size increasing from a couple of million to probably north of \$10 million and above. So that kind of an impact because of these developments. Is there a time line for that we have in mind or where we think that impact should come?

Manish Gupta : So your question was more about GenAI impact.

Neha Agarwal : Yes. Impact of basically the new solutions that we have been developing and working on, on the overall single client wallet size or contribution to our revenue.

Suhas Prabhu : Yes. Neha, I would say it's a little too early to call that out because this is also a significant change management for our customers. But having said that, as Manish mentioned, the way we engage with our customers is bringing technology contextualized to the industry, combined with the expertise. And therefore, some of the use cases, while we showcase to our customers for expansion or new customer acquisition would also get embedded into our existing engagements. And, therefore, while that might not necessarily show up as incremental business would still start impacting the way we operate and over period margins from an internal perspective. But at the same time, external validation from a customer acquisition or expansion, I would say it's a little too early to talk.

Neha Agarwal: Understood. That's helpful. Thank you.

Moderator: The next question is from the line of Shahzad Shroff from Demeter Advisors . Please go ahead.

Shahzad Shroff: Yes. Thank you for the opportunity. A couple of questions. Number one, from a medium - to long-term perspective, do you see any risk to our business from GCCs? Do you see companies having more conversations around in-sourcing some of the services that they outsource to us? That was number one.

Number two, possibly we could be in an environment going forward, where the dollar is depreciating. So in that case, that would mean lesser realizations for us. So how does that impact us? Do we adjust our pricing or there will be some impact on our margins? Yes. That's it?

Suhas Prabhu : Yes. So maybe I'll take the latter one first Shahzad. So you're right, depreciating dollar would impact our realizations given that almost 80% of our realizations are in U.S. dollar terms. But having said that, we maintain a healthy hedged position through plain vanilla forwards and range forward. So typically in the range of 75% to 80% on a 12-month forward net realizations are hedged. So we don't anticipate a near-term impact on the -- due to dollar depreciation itself. And I'll pass it on to Manish for the first question on GCCs.

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Manish Gupta : Yes. So as far as GCC is concerned, again, we have spoken about this in the past. What we see is that GCCs are typically being used for slightly more homogeneous capabilities by our clients, but there is a certain type of a skill set in large numbers

. That's where we see our clients drive more in-sourcing and GCCs, tech, some bit of fillers, sometimes analytics, those are areas which we see given the same type of profile.

But if you think about our engagements especially on enterprise commercial and all of them in omni-channel activation is around multiple skill sets coming together across multiple geographies. Those are just not conducive to a pure play offshoring or GCC type of construct. And hence, we see our clients even who are setting up GCC and scaling them up, do both. For example, this \$5 million ACV deal I spoke about, which we won has that potential to scale. That deal is with a client, which has a GCC and is serious about their GCC strategy. Our largest customer, on one hand, pursues a bunch of things in the GCC, but continues to engage with us with slightly more complex global multi-capability engagements. So we would see this playing out in a similar way, we believe.

Shahzad Shroff: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Prakash Kapadia from Spark PMS. Please go ahead.

Prakash Kapadia: A couple of questions from my end. Given the environment, Manish, which you alluded to in the opening comments in terms of some of the FDA-related challenges or issues, which could slow decision-making in terms of AI getting adoption being slower or decision-making being slower. So in this environment, what kind of organic revenue growth could we expect in FY '26? And if you could give some insights into specific geographies, U.S. or Europe, that would be helpful?

Manish Gupta: So all I can say is we are not giving guidance, and we'll stay with that, right? And as I mentioned that we still remain cautiously optimistic, right, in this -- even in this environment. And the reason is the following, that while there are a lot of headlines, right, being created. And our -- we also see that at least right now, right, there is not too much effect on our clients' business and hence, our business, right? That's one part.

Of course, the reason I spoke about the decision-making is that if you're a senior management in some of these largest companies, you are spending a bit of time to figure out what's going out, right, dealing with those uncertainties. And hence, some of the larger engagements are getting essentially or might have the potential to get pushed out a little bit here or there.

Along with that, let's be very clear. The biggest impact, which a company like us or for the industry is really not these tariffs and stuff like that, right? It's going to be the drug pricing, which we have alluded to. And we believe that is going to continue to be under pressure over time in a secular way. And that is what is going to lead to -- lead to pharma companies continue to be more efficient and effective, right? And that's where we step in.

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If you think about even the FDA cuts, right, as a pharma company, you need to be submitting sometimes with as much data, right, being more comprehensive, which means that you need to do a better job, right, and cost effectively, which is the AI and solutions, which we offer are useful. So we remain, I would say, cautiously optimistic in the short term and optimistic in the medium to long term.

Suhas Prabhu: And maybe also adding on to that on the geographical part and if I were to read it more as impact on customers, who are headquartered in Europe versus those in U.S., I would say no significant difference there because end of the day, for the large or mid-sized pharma segments, which is where we derive most of our revenues from. End of the day, the market -- the largest market continues to be U.S., typically 50% for -- some maybe even higher than 50% of revenues irrespective of where they are headquartered. And therefore, we see a similar behaviour and patterns irrespective of

whether it's a European customer or American customer.

Prakash Kapadia: Okay. And what kind of a capex are we planning to do in FY '26? And what could be technology spend, if you could share that number?

Suhas Prabhu: Sure. And I would also request you to look at our RHP as well as past financials. We're not a capex-heavy organization. So from an investment in fixed assets and capital expenditure, I would say we would be in line with what we have -- we had planned and was disclosed in the RHP.

Actually, for the year ending March '25, there's been a little bit of spends, which were under the plan, as per what we had disclosed in the RHP. The spillover of that would potentially get consumed in the current fiscal year. But again, nothing material -- yes. So it's typically in that 1 - odd percent of our revenues, the capital expenditure.

Having said that, technology as investment in terms of our workforce that we -- that works on our internal IP development, what we call the office of the CTO, right? You can call this our R&D team because these are not billable resources.

That continues to be a focus area for us, and that continues to be one of the reasons why our

margins this year came in a little lower because higher non -employee costs also because it's not just the people, but also investment in infrastructure , as well as the tokens and other costs of the GenAI platforms that we use and work with in our IP development. That would that continue to remain.

But consistently over the past 4, 5 years that has been in the vicinity of 2% of our revenue would be in that 1.7%, 1.8% going towards 2%, but would not be materially different from our plan going forward.

Prakash Kapadia: Thank you.

Suhas Prabhu: Thank you.

Moderator: Thank you. The next question is from the line of Rohan Vora from Envision Capital . Please go ahead.

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Rohan Vora: So 2 questions here. So first was after a couple of quarters, we have seen number of employees go up, especially on the delivery side. In addition to this, what we are constantly also seeing is that the specialized employees with the domain expertise that we have, that percentage is going up. So strategically, how does one treat this? This was first question.

And the second question was this year, the clients that are beyond 10 and then beyond 20, those have contributed largely to the growth that we've had. So -- and you also alluded that some of the large deals are taking time. So if this were to continue for this year as well, so what would be the impact of margins given that the tail is contributing to the larger growth? So these are the 2 questions. Thank you.

Manish Gupta : The margin profile is not too different between these customers. So I don't think that's going to be an impact. And we also believe some of the large deals we are talking about, it's not that they're getting pushed out by years, right? It's a matter of months and quarters at the max, right? So that we are not too worried about at least right now.

With that, I'll pass it on to you, Suhas, for any -- the employees.

Suhas Prabhu : Yes. On the employee count, directionally, as we grow, our people count would tend to grow, but there would be an offset , because the technology does play an impact in our operations on a continual basis. And it would not necessarily be pro rata the employee addition would not necessarily be pro rata to the incremental revenue on an ongoing basis.

This year, as I also mentioned during my opening remarks, we have also on -boarded people for a potentially large deal with one of our top 10 customers, but we're still awaiting the closure of that pipeline. The other remark that you had was -- query that you had was on the domain specialized people.

Domain specialization is required across all segments of our business, but there would be a marginally higher impact

if the enterprise medical segment grows at a pace faster than the rest of the business, which has been the case in the fiscal year gone by FY '25.

We have seen a marginally higher growth on the domain -led -- domain enterprise -led employee base. But having said that, around that 21% to 24% would continue to be the domain layer given that it would be slightly varied between the various business segments.

Rohan Vora: Sure, thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for closing comments.

Suhas Prabhu : Thank you, everyone, for your participation and continued interest at Indegene. We also thank you for your participation in March, where you came in, to our offices in Bangalore and participated in the Investor Day. We look forward to your participation in such engagements, as well as the next earnings call. Thanks, and have a good day.

Manish Gupta : Thank you.

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Moderator: Thank you. On behalf of Indegene Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru-
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60 045, Karnataka, India

Phone: +91 80 4674 4567, +91 80 4644 7777

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ear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended June 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended June 30, 2025, held on 01st August 2025.

The above information will be made available on the website of the Company: <https://www.indegene.com/> .

T

his is for your information and records.

Yours Sincerely,

For Indegene Limited

Srishti Ramesh Kaushik

Company Secretary and Compliance Officer

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"Indegene Limited

Q1 FY '26 Earnings Conference Call"

August 01, 2025

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF EXECUTIVE
OFFICER – INDEGENE LIMITED

MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER – INDEGENE
LIMITED

MR. ABHISHEK AGARWAL – HEAD OF INVESTOR RELATIONS -
INDEGENE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Indegene Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Abhishek. Thank you, and over to you, sir.

Abhishek Agarwal: Thank you, moderator. A very good morning to all of you, and thank you for joining us today for Indegene's earnings conference call for the first quarter of the financial year 2026. Today, we have with us Mr. Manish Gupta, Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter. I hope you have gone through our results release and the quarterly investor presentation, which have been uploaded on our website, as well as on the stock exchange website. The transcript of this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone. Thanks for joining our Q1 earnings call. Today, what I'll do in this call, apart from our Q1 results, we'll also touch upon some of the external trends. We spoke about them last time, and so we'll just double-click on what we are seeing. We'll also lay out our FY '26 outlook and strategic priorities.

Now starting on the external perspective, there was some renewed talk about U.S. pharma tariffs in the last few weeks. Now at least what we see from is that this continues to be a nonfactor, not a big thing at all for the innovators. We say this based on all the analyst commentary and more importantly, based on our customer interactions. There have been some other program announcements like the National Priority Voucher program by the FDA that should positively impact drug review time lines and maintain high throughput of drug approvals and launches.

Also, there were the changes at CDC's ACIP, the immunization Advisory Committee, which might have a little negative impact on the vaccine subsegment, but not material.

The bigger item was passing of the -- what has been called the One Big Beautiful Bill Act. There are some positives in it for the pharma industry, a broad exemption for rare disease drugs from the Medicare price negotiation program and preferential tax treatment for R&D expenditure.

Industry and a lot of companies are excited about this development. On the other hand, there was one point of a projected decrease in federal and payer drug spending via Medicaid, this will also be because of increase in the number of uninsured individuals. While this health care spending reduction might have a larger impact on providers which are hospitals, it will only have a very small impact on the pharmaceutical industry. This is because Medicaid only accounts for

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a small portion of many drug makers revenue in the U.S. and even smaller share of their total revenue worldwide. Further, even prior to the changes introduced in the OBBA, which is the Big Beautiful Act, Medicaid has historically reimbursed companies for drugs at lower rates than those in other programs like Medicare or commercial insurance. So the impact is even lower. Even so this dynamic is likely to broadly influence patient access to medications a

nd in turn,

investment decisions related to research and development, M&A strategy, overall sales performance in the pharma and biotech sectors. One way or the other, this is yet another step in line with our strong belief and long-term outlook for the business that innovators will have to accelerate digital first transformation, adoption of AI, advanced analytics across R&D, supply chain and commercial operations to improve speed to market and reduce overhead as a response to a secular pressure on drug pricing, something which we have been saying again and again. Now if I summarize, we see no change in the industry outlook. Directionally, the pressure remains on drug pricing and hence, pharma operations to be more efficient and recent macro news and trends reinforce this pressure as well.

Now if I come to the industry, this year has been going, I would say, reasonably well for the industry so far. Industry is expected to have mixed growth, with most companies growing between low to mid-single digits. There are, of course, some of them, which will be doing extremely well. And they seem to be managing the macro pressure as well. More interestingly, we also see clients now coming back to the table more and more for the next level of evolution of the programs we've been working with them for. While decision-making is not on steroid, it's not very fast. This is a conservative industry, we have said it again. But we clearly see clients actively shaping the direction of their programs now.

Now moving on to our business performance for Q1 FY '26. Revenue came in at INR7,068 million, a growth of 1.8% in USD terms and 0.7% in INR terms. The growth in USD would have been 2.2% quarter-on-quarter but came lower due to a onetime credit given to a customer in settlement of unresolved project expenses. These expenses were in relation to an engagement, which was concluded mid of last fiscal and were already provided for as project expenses. And hence, no material impact on profitability in the current quarter. EBITDA came in at INR1,536

million, a growth of 0.7% quarter -on-quarter. We reported a Q1 PAT of INR1,164 million. At this point, I would like to introduce Tectonic to you. We've been talking to you about this for some time now. These are large transformative conversations we've been having with our large customers. This is now taking shape, and we are calling it Tectonic. This is Indegene's effort to move up the marketing value chain on commercial content creation side and capture more work upstream, which has traditionally been done by AORs or specialized healthcare agency, but this time, by use of our marketing and medical capabilities, global operations and technology, especially AI capabilities, we are making a decent impact in this area. Q1 has seen us make good progress in terms of conversations, which led to paid pilots and eventually full -scale engagements. We have generated more than USD 1 million of revenue from Tectonic in this quarter across 2 customers. Both of them are a top 20, and we'll continue to take this proposition to other customers as well .

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Now we can -- at this point of time, if you just go from a segment reporting perspective, Tectonic will not be reported separately, but will be part of ECS, Enterprise Commercial Solutions. We believe over time, the lines between upstream Tectonic work and the downstream production work that we are currently doing will become part of single larger engagements and that's a strategic direction we are working towards with our customers.

Before I go deeper, given that we spoke about Tectonic and the impact of -- and the reason why we're able to do this well, bringing all our capabilities together, let me also allude to some of the stuff which we are seeing across the board in our solutions as we have incorporated AI and Cortex, as we had a

nnounced earlier . What we have been able to offer are very unique value propositions, differentiated propositions across the value chain, right, in medical affairs, regulatory, safety, commercial, and we see clients being excited. We have multiple conversations going on. We're helping clients think about their few year road maps. However, as we have said earlier, this is a conservative industry. They are careful in terms of adopting some of these things. And hence, they continue to engage with us. We believe that over a medium term, AI will play a very significant role in differentiating us and enabling us to take a larger market share. All our initial engagements make us excited about it. And hence, we are doubling down on our efforts in investing, building the products, tools, which we have been doing and also incorporate them in our solutions.

Now this is a good time to talking about our segmental revenues. Our enterprise segments, ECS and EMS, Enterprise Commercial and Enterprise Medical, which contribute 86.6% of our revenue, grew by 3.5% quarter -on-quarter. We have also renamed Omnichannel Activation now to be called Brand Activation to reflect the distinct nature of the engagement at the customer level in brand commercial segment vis -a-vis the Enterprise Commercial segment. Brand activation had a degrowth of 21.6%. This is due to 2 reasons: First, the project went on hold and revenue got deferred due to a customers' regulatory hurdles impacting launch of its products; and second, the conclusion of a project with a customer. Both were sizable projects. The other segment has grown 16.9% quarter -on-quarter, but contributes only 3.5% of the overall revenue, and hence, will not have a material impact on a consolidation basis.

Coming to client -- our client view. Our largest customer has grown by 4.3% quarter -on-quarter. More importantly, our transformative deal construct with them, which we introduced earlier as Tectonic has started generating revenues and should scale up over the next few quarters. The top 5 accounts have grown by 0.6% quarter -on-quarter, reversing last quarter's trend and also signaling that past year challenges are behind us. Top 20 is business as usual and contributed 76.2% of revenues. Accounts beyond the top 20 continue to have higher growth, growing by 5% quarter -on-quarter in Q1. Existing accounts contributed 92% of this, while new accounts contributed 8% of this. On the existing accounts and engagement side, we do not see any significant challenges with our operations or revenue.

This was a good quarter in terms of new pipeline growth, which also alludes -- referring back to my earlier conversation of clients coming back to the table, thinking about their programs. We also maintained our momentum on deal wins with 2 large deal wins of 3 million plus ACV. One in ECS expected to go live in Q2 itself and the other in brand activation to go live in H2. We

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also had 4 deal wins of call it, in that 1 million to 3 million ACV, 2 in Enterprise Commercial, 1 each in Enterprise Medical Solutions and Brand Activation.

Cash generation continues well, and our cash and cash equivalents investments reached INR17,280 million, crossing \$200 million. We remain committed to utilizing this in the best interest of the shareholders. M&A remains a priority for us, and we have a pretty healthy M&A pipeline at this point in time at different stages, and it's progressing well.

Before I wrap up, I want to touch upon FY '26 initiatives and strategic priorities for Indegene. FY '25 was a somewhat challenging year for Indegene as we had some unexpected client issues, but those look like largely behind us now. Looking at FY '26, our deal pipeline has improved, and we are seeing the results in our improved deal booking data. The progress on Tectonic is another outcome of the same. Revenues from

2 customers, in advanced stages of conversations with 3 more.

I spoke about the traction we are seeing with customers as we incorporate more and more AI into our solutions and the value proposition we can offer because of that. And hence, we continue to double down on that. Operationally, we have done a strategic reorg of our sales function and completed a remapping exercise to drive higher effectiveness and traction and efficiency. We're adding senior leaders to strengthen and drive growth in our sales functions, consulting and capabilities like data analytics, content and medical affairs and regulatory affairs in EMS. These FY '26 initiatives might not have near-term impact, but act as a better off for our medium- to long-term growth.

With this, I'll pass on to Mr. Suhas to get into more details on the financials.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone, and we appreciate your participation on this call today. Let me dive into some more details of the financial performance for the quarter. As Manish mentioned, revenues for the quarter came in at INR7,608 million, which is up a strong 12.5% year-on-year and 0.7% sequentially.

The growth in U.S. dollar terms is 1.8% quarter-on-quarter and 0.4% quarter-on-quarter in constant currency terms. As Manish highlighted, our revenues would have been higher with the USD growth at 2.2% quarter-on-quarter, but for a onetime credit to a customer in settlement of unresolved project expenses. This was for a project for an Indian affiliate of a global customer. And hence, the contribution of the India geographic segment in our revenues has dropped from 0.9% to 0.3% in the current quarter.

Coming to the rest of the geographical segments, 95% of our revenue continues to come from the U.S. and Europe regions. North America revenue share is north of 70% in Q1 and Europe revenue share is at 27.1% in Q1. And this is largely in line with our past trends and expectations for the future. The EBITDA margin for the quarter was stable at 20.2%. And we have spoken about Tectonic and our continued investments in Tectonic, including certain unpaid POCs at this point in time. And at normal rates of charge out, this would have added about 0.3% to our margin. The employee expenses during the quarter were lower by 0.7%, but combined with subcontracting costs, which are a part of our other expenses are higher by 1.2%, which is in line

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with the growth in our revenue. Other income was negative, primarily comprising of exchange loss due to foreign exchange fluctuation due to the weaker U.S. dollar against euro and even INR.

PBT came in at INR1,521 million, a strong growth of 27.1% year-on-year and 1.9% quarter-on-quarter. And finally, PAT came in at INR1,164 million, a growth of 32.7% year-on-year, while it's a degrowth of 1% quarter-on-quarter. The PAT margin for the quarter came in at 15.3%, a reduction of 30 basis points sequentially, with the effective tax rate for quarter 1 recorded at 23.5% versus in the past quarter, it was a lower 21.2%.

With that, let me take a pause and move on to the questions that either Manish or I can answer for you all.

Manish Gupta: Shubham, we're open for Q&A.

Moderator: Thank you very much. The first question comes from the line of Shiwani from Monarch Network. Please go ahead.

Shiwani: Yes. Congratulations on a good set of numbers. Sir, 2 questions. One is if you can touch upon Omnichannel Activation decline both year-on-year and quarter-on-quarter again. I also see the margin is impacted, and it has decreased significantly. So can you please elaborate on this point?

Manish Gupta: Sure. Shiwani, I'll pass it on to Suhas for details, but 2 things. One is you got to think omnichannel activation as a brand-by-brand business, and that's the reason we're also calling in brand activation, v

is-a-vis our other business enterprise solutions, whether it's medical or commercial, which is much more broad-based enterprise-wide engagements. And hence the nature of the business is such that some brand having an FDA issue, right, or engagement getting

over, there is a slight more variability on the business.

However, what we'll also encourage all of you to think about this Brand Activation, along with Enterprise Commercial Solutions. Because I spoke about Tectonic, and we are very excited about where this can go. Tectonic has a capability and offering where we're only able to build because of our presence in brand activation. We have these capabilities in brand activation. We are combining them with our marketing, medical, global operations, technology, AI skills, and are able to create a proposition over here.

So over time, we believe the brand activation capabilities will also help us create a fairly large significant business in Tectonic. So that's the broad strategic overview, I'll pass it on to Suhas to double click on any numbers.

Suhas Prabhu: Sure. Thanks, Manish. And going forward from what Manish explained on the nature of the business, more specifically, during the quarter, we had contracted with a customer for a brand launch program, which has got deferred due to certain regulatory hurdles, FDA requirements in the U.S., which has deferred the launch by -- we anticipate about 3 quarters.

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And hence, the customer has put the project on hold. This meant that revenues in the range of between \$0.7 million to \$0.8 million that we were anticipating from this engagement during the quarter has got deferred by about 3 quarters.

But as you would understand, we continue to incur the cost, and this would have adversely impacted pretty much to the same quantum, the segment margins and the consolidated margins as well. But having said that, the rest of the business, the enterprise segment and others have shown a very positive growth, specifically enterprise segments have grown by 3.5% quarter-on-quarter, and those contribute today to close to 87% of our business.

Shiwani: Sir, is this the reason why we also see the client count decreasing from 73 to 70?

Suhas Prabhu: There would be marginal variations again on a quarter-on-quarter basis, given that there would be project-based revenues from customers, some of which will cross that \$0.25 million level, which is when we consider this to be an active customer count in our list. Yes, there would be a couple from this segment as well. Having said that, holistically, I wouldn't read too much into that. We would look at this over longer tenure. And when you look at this over the past 3, 4, 5 years, also now, you would see that this has grown consistently year-on-year.

Manish Gupta: Yes. If I just double click on the client thing, while obviously, we look at the long-term stuff, but we also feel fairly good that if you will see the numbers towards the end of the year, we'll do better on the client thing. Quarter-on-quarter, client dips from 0.26 million to 0.24 million, the numbers change. It doesn't mean much. But directionally, I think we're moving in the right day over here, even with the client number side.

Shiwani: Sure. That is helpful. And the next question is on margin. So we see that margin remained flattish quarter-on-quarter, which is a good thing because quarter 4 is generally stronger. But what I wanted to understand is that with all the AI investment that we are doing, which will only improve our capability going forward. So how we see margin progression? And how much is the margin expansion scope, if you can throw some light on that?

Suhas Prabhu: Sure. Shiwani, as you rightly pointed out, margins have been stable and growing over the last 3 quarters. So we -- productivity initiatives, both automation, Gen AI-led contribute to

enhancement of margins. And over period is offset basically due to wage bill hikes as well as annual resets of rates. And I shouldn't say every year, but whenever there are renewals for some of the customers, which happen once every 3 to 5 years.

But having said that, today, we are able to offset the incremental investments as well as unpaid projects or POCs that we do for customers as we push aggressively to introduce these new concepts in our client environment. And therefore, in the near term, we believe that we would be able to sustain and be in the region of around 20% at an EBITDA level on a full year basis.

Shiwani: Sure. If I can just chip in one more, which is on M&A. So we have a very strong cash balances, which is INR17 billion. Can we expect more acquisition to happen in the European region because we have been talking about diversification. So is my thinking correct? Or we'll see more of a combination of U.S. and Europe acquisitions going forward?

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Manish Gupta: Shiwani, there are 2 things. Actually, there are a bunch of things over there. Let me unpeel those. That we are looking at acquisitions from a capability perspective, right, of what we can do. So we are looking at -- to that extent, we really are not necessarily focused on any geography.

Wherever we see the capability we do strong and the company offering something, we will be interested in that M&A. So we have a pipeline both in the U.S. and Europe. As far as the cash part goes, I don't think cash has been a deterrent for us to do M&A.

It has been us finding the right target at the right price. Now -- what we are seeing over here is interesting that companies for a very long period of time, well, had unrealistic expectations of value. They were still driven by the '21, '22 euphoria which had happened, right, in the private space.

Deals haven't happened. And we clearly see that expectations coming down, right, and becoming more realistic. And hence, we are more bullish on our ability to probably get M&A done. The engagements are becoming -- and the discussions are becoming much more realistic and getting to value zones, which we are comfortable with.

Moderator: The next question comes from the line of Abhishek Bhandari from Nomura.

Abhishek Bhandari: Manish, I had one very basic question. Of late, we've started shifting to Q -o-Q in terms of talking about numbers. Any reason why you started shifting towards Q -o-Q instead of Y -o-Y? Do you think now the business has become kind of a linear, and we should measure it on a sequential basis?

Manish Gupta: Abhishek, I'm going to give you a very honest answer on this. I still look at the business more yearly, right, nature of our business. But have been guided that everybody, all of you want to see quarter -on-quarter. That's why we have shifted to that. So there is no very well thought -out reason for that. Suhas?

Suhas Prabhu: Yes. But having said that, Abhishek, full year basis, 12.5% on revenue and 27% on PBT, 32% on PAT, I think we would keep referring to that because we believe whatever concerns that we had expressed during our current quarter performance in the last fiscal year versus this, we would want to also highlight that those challenges are behind us and maybe the quarterly commentary is more to emphasize on that.

Manish Gupta: Absolutely.

Abhishek Bhandari: Got it. Second question, Manish, is we have been reading a lot from outside about the uncertainty of what the life sciences or big pharma are going through. Some of them also have been going through C -level changes off late and some of them are of your top accounts as well. So in your discussions with the clients, do you see any hesitation for them to start on certain large projects? Or you think, no, the other thing is actually true that when things are uncertain, we need to reduce cost and

hence, we'll become more relevant. The place I'm coming from is most of the investors still think that our business is tilted towards the discretionary part of the spend of life sciences, it being on S&M. So if you could clarify, that will be helpful.

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Manish Gupta: Okay. So I think, first of all, let me start with the last part. The reality is that our business is nondiscretionary. In fact, it's completely on the other side. If you see any pharma company, broadly, their spends on S&M, regulatory, medical affairs remain in the same ballpark. It is -- and that's why we think about our business more from an annual perspective.

The enterprise business, especially 86.6%, -- that business, not discretionary. As far as the C -level changes are concerned and all the stuff, we see that as a very localized thing, Abhishek -- and a few of our clients, and we have called that out. One of our large clients where we had challenges last year, they went through a lot of those changes. But it's not a broad -based thing. It's 1 or 2 places.

And one of them was a large customer. We had seen that churn. But we also believe that they are also stabilizing now. Finally, and we are having multiple conversations even with those customers now, right, from a pipeline perspective, which was pretty much -- which was a challenge till last year, but we're seeing pipeline grow even in those customers, which went through the C level change. So 2 points, business is nondiscretionary. It is absolutely critical and nondiscretionary. And second thing is we don't see too much of those challenges right now.

Moderator: The next question comes from the line of Naman Bhansali from Nine Rivers Capital.

Naman Bhansali: First question is that some of the IT companies have been talking about pricing pressures from customers and higher competition, which is leading to some sort of margin erosion. So how are we seeing this? And what is your take on this?

Manish Gupta: Okay. Thank you, Naman, for the question. See, there are 2 things. One is that our industry and the kind of work we do, marketing, regulatory, it's not a back -end cost element. It's super critical for our customers. And hence, the propensity to shift or do anything based on a few dollars here or there is really not high. And that is the reason why even some of the AI -based solutions where they can get significant benefits are taking time to even get adopted, right, because of the risk perception. So we don't see that, right, on this part.

Of course, customers are actively looking out what else can they do, right, and from the future.

And especially given the possibility AI offer, but we are not seeing that in our part of the industry.

Naman Bhansali: Got it. Got it. And second question is, what is the split of the organic and inorganic growth? And how is MJL impacted your numbers?

Manish Gupta: MJL is really tiny thing. It's one of those capability acquisitions as a team we have done. And this is -- I've alluded to this many times in our one-on-ones and of course, this whole thing that we are preparing for Tectonic to be scaled up across geographies.

So these tuck-in acquisitions, we do on the agency side will be small acquisitions, which are instead of hiring people beforehand and given that this could scale at some point whenever it scales, right, we want to be prepared for that given the opportunity is present. So it's -- think about these as more as acqui-hires.

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Moderator: The next question comes from the line of Sankara Narayanan from iThought PMS.

Sankara Narayanan: Sir, my first question is regarding the patent cliff and how we are getting benefited from this? So in your experience for the past 15 years, how have you benefited from this patent cliff, sir?

Manish Gupta: Sure. So I would

say that -- and again, there are 2 things. One is patent cliff is there. But on the other hand, new launches are also slated to be very high for the industry. So overall, the industry is going to be okay. Now as far as patent cliff is concerned, we have an offering of providing omnichannel for mature brand categories.

And that's where we see a very active pipeline at this point of time, where companies for mature brands, right, are saying is there a better way to promote -- and our omnichannel business, both on the combination of Enterprise and Brand Activation side kick in to be able to deliver those as a solution. And we see a bunch of that increasing in our pipeline.

Sankara Narayanan: Got it, sir. Sir, my second question is that how are we differentiated from other players like contract sales organizations or generic IT companies in terms of services and capability?

Manish Gupta: Generic IT companies are not even in conversations when -- wherever we are going. They're not part of the mix as well. At least our experience is, if they're getting an RFP, it is essentially to make up the numbers, right, because you have to send it to whatever, 5, 7 people. As far as CSOs, agencies, contract research organizations, those are the ones which are the more credible competition. And there, we are differentiated, let's -- you asked a specific question on CSOs, contract sales organizations. The thing what CSOs do is that they put feet on the ground.

Let's take an example of what you just asked on the mature product. Now if a product is going to go off patent in the next couple of years and pharma company says, you know what, I don't want to spend my field force and marketing organization to manage this. Why don't I just take all these products and give it to a contract sales organization, which will put feet on the ground. Now as Indegene, we are going to the same guys, but with a very different value proposition that we will be able to take your products, right, and reach out to physicians on your behalf, but rather than putting feet on the ground, we'll do it through digital AI. And we can bend your prescription curve. So the tech stack, we have, capabilities we have, we have data on 2 million physicians for their digital propensities. We have algorithms to create what we call shortest path to prescription. That's what we bring to bear, to deliver solutions in this area, right, which is a very unique proposition vis-a-vis the CSOs. Vis-a-vis, let's call it, and I'm just going to complete it, although you didn't ask for it, agencies, what we bring is very significant global operations, combination of medical marketing capabilities, various AI-based platforms to deliver stuff at faster turnaround times, lower cost. And quality and at scale, right, which agencies don't. Hopefully that answers your question?

Sankara Narayanan: Got it. Sir, my last question is, what is the organic revenue growth for the past 3 years, sir?

Suhas Prabhu: So Sankar, again, I would like to emphasize that pretty much a large portion of our growth would be organic. The inorganic acquisitions that we have done in the current year or even the last year

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have been nonmaterial, as Manish mentioned, capability and credibility acquisitions, which are tuck-in and get quickly integrated with the existing business.

And therefore, it's very difficult to carve out what would be organic and inorganic. We would like to emphasize that please look at these as businesses, which get integrated with the existing segments and allocate it holistically.

Moderator: The next question comes from the line of Naman Bhansali from Nine Rivers Capital.

Naman Bhansali: So sir, can you please provide more details on the Tectonic engagement? And what kind of

engagements are these? Maybe what is the outlook here? What scale are we envisaging? And what are the

different capabilities needed here? Maybe how much automation or AI driven is...

Manish Gupta: So if you think about it, I mean, a lot of the work which we have been doing in Enterprise Commercial Solutions is around downstream activities in content creation, for example, content adaptation, localization and execution, running campaigns, data analytics. These are the capabilities which we've been doing.

So essentially, the agencies do a lot of the work upstream, right. Developing the concepts, right, doing the market study, right, based on that, developing the concept, coming with the creative ideas, right, and then starting to develop de novo content.

So we can come in at a later stages, which is where capabilities were getting centralized. Now in -- through Tectonic, what we are doing is things like de novo content, right, taking those content from one channel to the other channel some of the creative -- some of the creative adaptation around that, right, at the higher stages, those are also getting bundled.

Now from an opportunity perspective, to give you a sense, I would say what we were accessing earlier through our Enterprise Commercial Solutions would have been 5% to 15%. And these are approximate numbers, mind you, over here of the marketing budgets.

With Tectonic, we believe that, that 5% to 15% increases to 35% to 50-ish depending on the customer and the situation from a budget perspective. So that's the level of unlock we are talking about. Suhas, do you want to double-click on any of this?

Suhas Prabhu: Yes. And Naman, you also spoke about technology. And that's a key part of what we bring to the table versus agencies, which would throw people-led expertise into the mix, whereas we are able to blend that, combined with the modern technologies and platforms, the new platforms, Gen AI-led platforms that we are contextualizing for this industry is the value that we bring to the table.

The generative element, wherein learning from the creative aspects that are done continually day in, day out, helps us make the content, the campaign, a lot more effective and the entire execution a lot more efficient in relation to what was possible in the past. And harnessing that power is what we bring to the table through Tectonic and that is why we are very excited that this possibility throws up for us in the future.

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And from a revenue perspective, it's already started generating revenue. Manish mentioned earlier in the call, already \$1 million of revenue during the quarter. While we continue to do unpaid POCs to prove the strength and power of this to our customers, and we believe we are well positioned to keep gaining on this front as we make more progress.

Moderator: The next question comes from the line of Mohammed Patel from Edelweiss Public A Its.

Mohammed Patel: Sir, I have 3 questions. So in the near term, how should we think of head count additions and wage hikes?

Suhas Prabhu: Yes. So in the near term, wage hikes for us are effective July 1 in the current quarter. If you would have also seen our past few years of quarterly performance, the wage hikes are impacted.

The larger cycle is July every year. There's a midyear cycle in January, but that has a very small impact. The near-term impact on wage hikes will be seen on the margins in the next quarter.

But having said that, you would have also seen that our head count has remained fairly stable and also marginally degrowing over the past few quarters, while the revenue continued to be stable and growing. But having said that, we would say that in the longer run, the revenue growth and the head count growth would be in the same direction, though the pace of addition of head count versus the pace of growth in revenue need not be at the same rate. And I would say -- so while there is a correlation between the head count growth and revenue

wouldn't necessarily

mean that both are growing at the same pace.

Manish Gupta: Yes. And our revenue per employee is showing that trend. If I look at the last quarter, it was 70s -- 67 point or so (1000 USD) per employee.

Mohammed Patel: Okay. And rate hikes, should we expect high single-digit percentage on an annualized basis?

Suhas Prabhu: So it varies between geographies since we also have more than 16% of our staff outside India.

Country by country, it would vary. But in rupee terms, on a full year basis, wage hikes tend to be in the 6% to 8% range from a full year perspective. And what we have done successfully, as you would see in the quarterly margin rate, is while Q2 tends to be the -- tends to show a dip in the EBITDA margin. It grows through the next 3 quarters. And on a full year basis, we've been fairly stable to growing on an EBITDA margin and, therefore, PAT also.

Mohammed Patel: Okay. And I wanted to understand the operating leverage in the business. So if the revenues grow 15%, should we expect other expenses to grow 50 basis -- 50 to 100 basis points lower?

Suhas Prabhu: Yes, from an operating leverage perspective, but at the same time, what we would guide in the near term is that we would continue to reinvest the incremental dollars that we earn for the future, Tectonic, Gen AI as well as expansion of capabilities organic ally, which will play into the growth over the medium term to even longer term, so 3 years, 5 years down the line. And therefore, we are comfortable to operate at a consolidated basis at the levels that we are at today, Mohammed.

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Manish Gupta: Yes, I think that's an important point because now we are seeing customers coming back, as I said, looking at where they want to go. And in that context, our priority is going to be growth rather than expansion of margins.

Mohammed Patel: Okay, sir. Understood. The last question is, I just wanted to confirm that you are seeing all top 20 client accounts are expected to do well going forward?

Manish Gupta: I would never say all 20, but overall, as a segment, it will grow. Difficult to call out all -- to give a commitment on all each 1 of the 20.

Mohammed Patel: But it shouldn't have an impact like it had last year.

Manish Gupta: Yes, absolutely, absolutely.

Moderator: The next question comes from the line of Rohan Vora from Envision Capital.

Rohan Vora: So the first question was on the -- our journey, and we've been seeing that we want the clients in the 10 million to 25 million buckets to move up to 25 -plus million buckets and then on to 50 million plus. So where are we in that journey? And just a broad idea on that. I know you've been putting efforts in that direction. So that was the first question.

Manish Gupta: Yes. So I think we're progressing well on that, Rohan. I can't call out exactly when you'll start seeing those numbers. But we feel good about it, let's say, call it, a few quarters down the line, our client pyramid is going to start looking stronger. 10 to 25 moving to 25 -plus, fingers crossed. We're also hoping to break the 50 mark, right, having a customer move over there. The number of million -dollar customers should increase. And of course, the number of active customers also should go up. So this whole chain, we believe, good right now from what we see is going to be stronger in a few quarters.

Rohan Vora: Absolutely. So no, I get your point. I'm just say, ballpark, we'll start seeing some of this in a few quarters. So that was what I was trying to get. And second was on the Cortex part, so AI side of it. So how is the traction there? And what can one expect from that probably a year from -- a year from now?

Manish Gupta: See, there are 2 things. One is Cortex as a platform, right, is enabling us to very quickly incorporate AI, right, or Gen AI in a lot of our solutions. And I allu

ded to that, that medical

writing, right, MLR across the board, right, commercial content, right, some of our clinical processes, we are incorporating AI.

And taking the Cortex -based approach, which gives clients a lot of confidence that the whole Gen AI -based approach we are taking is for them derisk. Because our clients are very concerned about many things like security, confidentiality, a bunch of other things, scalability of platforms, how they plug in with other systems they might have invested in.

So on one hand, we are seeing a lot of comfort over there. And hence, these discussions are progressing well. On the other hand, we also see -- while it's still early days. We're also seeing Cortex being customers themselves saying that they would want to use pure -- for their internal

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purposes, Cortex -based platforms and services, right, which are not necessarily incorporated in our operations today, but as a stand -alone offering by itself. So all in all...

Rohan Vora: Absolutely. And will you be able to sometimes in future give a measurable number, the contribution from Cortex or some sort of number in future?

Manish Gupta: We're not sure about that because that's honestly not a very -- that's not a priority for us. The priority is, in fact, transition our offerings to be Gen AI enabled. And we will encourage you. This is a quarter where we also have our Indegene Digital Summit. And I'm hoping that we'll also be able to do a stream of this.

It used to be one of those marquee events in the industry. This year, we're going in person for the event in Philadelphia. I think it's September 24. So we'll send a link to all of you, have a look at what our customers are saying, what industry people are saying.

You'll have a lot of marquee people coming in the conference. Customers will be talking and our CTO also will be presenting a bunch of things on Cortex and where we think Gen AI is

going to be going. So that's on September 23...

Moderator: The next question comes from the line of Omkar Sawant from Marcellus Investment Managers.

Omkar Sawant: Yes. Actually, I had 2 questions, both on Tectonic. So first, Tectonic, how does this complement our CultHealth services because even that was our effort to move up the marketing value chain?

And the second question is that as we are moving up the marketing value chain and competing with these specialized health care marketing agencies, the reason that these marketing agency exists is that they do a lot of customized work.

They have local understanding and local nuance. And for our context, which is global operations, centralized operations, which we cater to, how does that fit in when we compete with these marketing agencies?

Manish Gupta: So that's a great question, Omkar. Now if you think about it -- and as you rightly said, the whole omnichannel brand activation, as we call it now, was meant to go upstream, and we did acquire that capability, right, establish our credentials in this space. And I think we have done well on that. However, that business is a brand-by-brand type of a business. We believe, and our view was -- and that's the reason we have taken the thing is that technology enabled, right, and global operations enabled creation of all this material, right, is the way to go.

Now what we have been able to do using Cult, right, and the capabilities we have had, take some of these capabilities and think about reimagine them on an enterprise basis, right, that if you strip off some of the work which was being done by agencies and consolidate into global operations, how will that look like.

And incorporate -- and pretty much think about it, melded that with Enterprise Commercial Solutions as a capability. It's taken time for us to do that. We acquired Cult in 2022. We made - - I think it took us 1.5, 2 years to get all this sorted out. And

it started resounding with our clients, where they see clear benefits of consistency, cost benefits.

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Obviously, if they have to drive AI across their marketing operations, the only way they can do it is they centralize things, right? If you're working with 20 agencies as a company, there's no way you'll be able to get the benefits of AI. Whereas the central operations enables that. So that is the path we are taking. Now we're not saying agencies won't be there. Agencies will continue to play a role.

They will still be the ideation guys. There will still be the guys who are coming with the creative concepts at least right now. But some of the execution work which they are doing, we have taken out a lot of that earlier, but there are other things which we believe could have been centralized, which is what we've been able to do. Now we got the credibility because of Cult, right, to even have that conversation, and we've used that effectively.

I hope that answers your question.

Omkar Sawant: Yes, yes. It does. And just a follow-up to this. In the Investor Day, you mentioned that for any technology that you launch, you track 3 critical KPIs, right, reduction in time to market, resource optimization and the number of use cases that you address. Can you help me understand how does Tectonic cater to all 3 KPIs? Some color on that?

Manish Gupta: So Tectonic is not -- you have to delink our -- what you heard on the Investor Day on the CTO office, right, all the work which we are doing on AI from Tectonic. Tectonic is very specific to commercial operations. And so think about it as a cross between Enterprise Commercial Solutions and Brand Activation from a capability perspective.

When we are talking about Cortex and the use cases, those are much broad-based. There are multiple use cases of Cortex in Enterprise Commercial Solutions. There are multiple use cases in brand activation as well as clinical and enterprise medical solutions.

Within Enterprise Medical Solutions also, right, the point solutions of which where we are using Cortex and our Gen AI capabilities are a lot. As I said, MLR, various medical writing documents, right, clinical study reports, PSURs, I can go on and on, on that piece. Safety. So we're using Gen AI in a much more broader way. Tectonic is one instance of that. A large one though.

Moderator: The last question of the day comes from the line of Vinit Manek from Karma Capital Advisors.

Vinit Manek: It's good to see the growth coming back, especially from the last difficult year that we had. Just 2 questions from my side. One is pertaining to that. We were at about a high single-digit kind of a USD growth this quarter from a top line perspective. So should we assume that the worst is behind us, and we are seeing that acceleration in the launches and spends from the top clients coming back? Could we accelerate this to an early double-digit kind of growth or mid-teens kind of growth by the end of this year?

And my second question comes to the margins. So as we have upped the efforts on Tectonic and other value-added services. So should we assume that with the portion of this going up in the medium term, it will be more margin accretive from the EBITDA perspective? Or how should

we look at that effort?
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Manish Gupta: Sure, I'll pass it on to Suhas to deep dive, but we don't like giving exact numbers and guidance, but we feel comfortable and good of where we are right now, right, in terms of our engagement pipeline. And we believe we are on the right trajectory as a company from a growth perspective.

So that's one.

Our priority from a reinvestment and investment perspective is also going to be growth. As I said, after the frantic activity during COVID time, right, until 2023, we saw the industry consolidating, custo

mers going slow because of what happened during COVID and also some of the pressures. We see that easing right now. Customers coming back in terms of where they want to go, all this stuff. So in that context, our investment in growth becomes paramount. So that's going to be our priority as a company. But the specifics, I'll pass it on to Suhas to comment on.

Suhas Prabhu: Thanks, Manish. Vinit, again, to reemphasize why we don't give out guidance for the year. The 3 factors that you yourself alluded, the existing customers, our top 5, top 20 customers, stable and growing. Deal wins that we have spoken about, not just this quarter, but I think last few earnings calls, converting to revenue, which you are also seeing in the quarterly numbers now. And the client conversations changing to overall pipeline for us are positive indicators.

And on the margin front, while we scale, there is opportunity to scale margin disproportionately operating leverage kicking in. But having said that, in the near term, we would look at investment doubling down on some of the things, while balancing out the margins. And therefore, I would say margins in the near term in the vicinity of 20% at an EBITDA level. But in the medium term, expansion is certainly a possibility.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to management for closing comments. Thank you, and over to you, sir.

Suhas Prabhu: Thank you, everybody, for your participation and continued interest in Indegene. Value these interactions and conversations with the entire investor community and look forward to continuing this level of engagement. Thanks once again, and have a good day.

Manish Gupta: Thank you.

Moderator: Thank you. On behalf of Indegene Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2025

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru -
560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: L73100KA1998PLC102040

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BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
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Bandra Kurla Complex, Bandra (E),
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Dear Sir / Madam,

Sub: Transcript of the conference call of the Analyst s/Investor s meet

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the Analyst s/Investor s meet held on 6th October 2025 .

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

Thanking you,

Yours Sincerely

For Indegene Limited

Srishti Ramesh Kaushik
Company Secretary and Compliance Officer

Encl: As above

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"Indegene Limited
Corporate Update Conference Cal I"
October 06, 2025

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF EXECUTIVE
OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER – INDEGENE
LIMITED
MR. ABHISHEK AGARWAL – HEAD OF INVESTOR RELATIONS -
INDEGENE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Indegene Limited Corporate Update Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Agarwal : Thank you, moderator. A very good evening to all of you, and thank you for joining us today for Indegene's Business Update Call. Today, we have with us Mr. Manish Gupta , Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of this acquisition. I hope you have gone through the investor presentation, which has been uploaded on the website as well as the stock exchange website.

The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the IR team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good evening, everyone. Thank you for joining our business update call. As you all would be aware, we had some exciting and significant news to share last week. We announced the acquisition of BioPharm, a U.S.-based omnichannel marketing business focused on life sciences industry.

The agenda for this business update is to discuss the acquisition and the implications for our business going forward. Given that we are in a silent period, we would not be discussing anything related to our Q2 performance, and we appreciate your understanding on this matter. Now let me get into some industry context. Within the large \$2 trillion pharma industry, sales and marketing spends are a significant percentage and the largest spend. Within this, spends are shifting to marketing, especially digital engagement, which has been growing and evolving at a pace faster than the industry growth or spend growth. Indegene has a very strong presence in this area of sales and marketing as enterprise partner through our Enterprise Commercial segment and also as a brand partner through our Brand Activation segment.

Starting approximately somewhere in 2010, some of the activities in digital physician engagement started getting centralized. And Indegene with its unique specialized medical commercial creative capabilities, coupled with strong technology capabilities in IP, global operating model and also output-based pricing model could add significant value to what life science industry wanted to achieve, and that enabled us to grow as Indegene from an approximately \$10 million business in 2010 to \$335 million revenue company last March or March 2025.

We believe we are seeing the next level of centralization and change in operating model. This time, the reason is the top-down pressure on the life science industry and what AI could offer.

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As companies adopt and use AI, the only way to drive standardization in a compliant manner while securing high adoption of AI in sales and marketing will be through centralization. The incumbents, which are healthcare agencies will not be best suited for this to deliver the benefits through wide and global usage of AI. We are excited seeing the benefits and the value add we can bring. Hence, we are doubling down on our preparedness for enhancing as well as scaling our capabilities for this next phase of evolution of the life sciences sales and m

arketing model.

This is where this acquisition of BioPharm fits in.

Now let me come down from this 30,000 feet level to closer to the ground. The digital marketing activities has few stages, strategy and planning, creatives, content production and campaign execution. Now while Indegene has had capabilities across all these stages, our acquisition of Cult in 2022 helped strengthen our capabilities on the strategy, planning and creative side. This is what led us to create the Tectonic offering.

With Biopharm, we are now able to strengthen our campaign execution capabilities in a similar way. We solve for upstream content and creative development through Tectonic and the downstream distribution of this content through omnichannel. This allows us to access a larger share of the overall marketing spend. We are and will continue to embed AI in all these capabilities and use our output based pricing model to truly differentiate ourselves.

Now coming to BioPharm and its background. This business was founded in 2005 and is headquartered in Pennsylvania. Steve, who is the President at BioPharm joined the company in 2010. The business was acquired by PE firms in 2012 and then subsequently bought by Omnicom Health Group, where it has since been. BioPharm is a leading provider of hyper -

targeted HCP engagement solutions, HCP stands for health care professionals, solutions on behalf of biopharmaceutical sponsors, both large as well as midsized and a few small and emerging players.

It has deep expertise in omnichannel strategy, end -to-end media journey, spanning strategy, planning and operations and data -driven campaign execution, blending analytics, automation and targeted engagement to deliver turnkey precision marketing solutions.

BioPharm serves 17 of the top 25 global pharma has about 32 plus active customers, approximately 100 full -time employees and has operated marketing campaigns in U.S. for 180 brands since 2023. A significant portion of the business comes from repeat engagements and referrals, reflecting client trust and delivering consistency.

From a financial standpoint, in the calendar year 2024, and mind you, it's a calendar year. It recorded gross revenues of \$38 million, net revenue of \$29.2 million and a healthy EBITDA of \$7.9 million. These numbers, though unaudited, are basis the CY '24 data from the due diligence report.

On the business side, BioPharm has 2 key offerings or segments. One of them actually is called BioPharm. This is not the company, but the segment name itself. And second one is the Addressable Health . The first one, Biopharm is the core offering and the bulk of the business. This offering creates push engagement through programmatic campaigns, Indegene while has

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some of these capabilities and credentials on the enterprise side, Biopharm is adding deeper capabilities and credibility on the brand side. Brand capabilities and credentials will be important for the next level of growth.

The second segment offering is Addressable Health. This creates a pull engagement through precision and zero -waste media programs, primarily targeting medium and small -sized brands and also large brands, especially those that are approaching end of exclusivity to optimize their marketing spends. Addressable Health provides end -to-end omnichannel media agency solutions, takes a unique approach by focusing on known audiences to improve engagement rates and generate higher ROI on marketing spend.

This offering was formed in the last few years and has been a key driver of growth in the recent past and is expected to drive growth going forward as well. This is a very good addition to Indegene's capability set, and we believe over the next couple of years, we would be able to scale this on both brand and enterprise side of the business.

Now both these segments are powered by what is called

Tandem. This is the name of a platform that provides data and insights to drive these hyper -targeted omnichannel capabilities. More on Tandem in just a bit.

Now when we evaluated BioPharm, we recognize the strength that this business has built ; an impressive growth flywheel with advanced tech -driven omnichannel capabilities, a rich data product, deep therapeutic expertise, long -standing client relationships and hel med by a leadership team with 20 -plus years of average industry experience.

This acquisition solves 2 primary strategic imperatives for us. First, BioPharm and Indegene as a combined entity now emerge as a powerful player in the brand activation space, combining the right mix of integrated end -to-end marketing capabilities, credentials, talent and client access , thus becoming a true force in the market. It positions Indegene to be future ready for truly omnichannel engagement and strengthens our ability to deliver full -funnel precision marketing through additional channels and richer data assets for hyper targeted outreach.

More specifically, it deepens penetration across channels and marketing mix. And these -- when I say marketing mix, I call e -mail, programmatic, video, display, social, etcetera. And through Tandem, the data product augments our data play by expanding our healthcare professional data sets from 1.8 million to 3 million. We had spoken to a lot of you about our data sets. We had a product called Invisage which had 1.8 million physicians profile. Now that increases to 3 million.

The data engine has a proprietary scoring and analysis model with these 3 million -plus HCP profiles and a proprietary promotional response data from 20 -plus years of campaigns across 300 million plus exposure events and 15 million -plus engagements. Indegene, as I mentioned, also has a data product called Invisage ; the integrated Invisage and Tandem data IP increases our physician profiling data sets and expand them into areas like oncology, rare diseases and ophthalmology. And by the way, that's where the pipeline has been going. These data sets are converted into insights and high -impact engagement strategies that evolve and grow richer with each HCP engagement.

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The second imperative is financial, revenues and cost synergies. Given the nature of BioPharm's customers and business relationships, there will be now cross-selling opportunities within the combined customer base. The combined entity will be well positioned to expand across more brands and customers, leveraging synergistic channels and data capabilities.

We will do scale media engagements through newer deal constructs for both large and mid-sized pharma clients. Further, there will also be cost synergies arising from consolidation of data purchase and future operational and cost offshoring activities. All the 100 people in biopharma are based in the United States.

Ultimately, this deal unlocks and accelerates the road map for AI-powered use cases, extending newly acquired capabilities to enterprise-level engagements, like Tectonic engagements powered through Cult acquisition. By combining data, tech and AI, Indegene creates a unique and disruptive model for the future.

Before I pass it on to Suhas, just a line on the management team. We acquired a very competent management team. As part of this deal, they are incentivized for the earn-outs, which Suhas will be alluding to. So revenues for the next 5 quarters, next quarter or the coming quarter and calendar year '26 as well as the order book for '27 is covered in this deal, right, which is going to be paid out of this total amount is for the management team.

We will, in the year '27, '28, be creating a performance-linked stock option plan for the management team. So given how the structure is today, the management team has been incentivized to stay on with the business for a reasonable long period of time.

I'll now pass it on to Suhas to take through the financials and transaction details.

Suhas Prabhu : Thank you, Manish. A very good evening to everyone.

Let me give you some more financial perspective on BioPharm's past performance and the transaction itself. BioPharm recorded a gross revenue of \$38.1 million in calendar year 2024. Net revenue for the same period was \$29.2 million.

The difference between gross and net revenue is largely media buying expenses such as digital media, inventory, programmatic and banner ads, EHR and paid services searches, which are pass-through expenses charged to customers at actuals.

On a net revenue basis, employee costs are 53% and other expenses, including data access and technology costs are about 20%, yielding an EBITDA margin of about 27% on net revenue.

From a key metrics perspective, you may have noticed that BioPharm has a much higher revenue per employee and higher margins as well.

Both of these point towards the specialized nature of work that BioPharm does and its use of data and technology to deliver outcomes for the client rather than just operational engagements, providing people-based expertise and measured based on input or on T&M basis.

We believe the business has potential for higher growth rates than it has in the past. We already have customer engagements and opportunity pipeline where we believe by bringing in the

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capabilities BioPharm has, we can increase our odds to win and have a larger share of the outsourced digital sales and marketing spends. We have already identified clients and opportunities where we will be taking this business and our business as well as go-to-market teams are excited about this capability and the team at BioPharm.

Similarly, the BioPharm team is also very bullish on what they have seen at Indegene and believe Indegene is a better home for them, and they can achieve their true potential unlocking higher growth with Indegene.

Moving on to the transaction details. We have acquired a 100% interest in BioPharm Parent Holdings, Inc., along with its two subsidiaries, BioPharm Communications LLC and Addressable Health LLC, collectively referred to as BioPharm for a total purchase price of US \$104 million on a debt-free, cash-free basis plus approximately \$2 million for the excess cash and working capital.

The target working capital, cash and tangible assets are estimated at approximately \$6 million at closing. The purchase price will be paid in multiple tranches. Firstly, a guaranteed payment of US \$77 million, which implies approximately 9.8 multiple of the 2024 EBITDA and a 9.6 multiple of the 2025 EBITDA basis the H1 performance in 2025. This has been divided into 65 million upfront, which has been paid at closing and 12 million as deferred payment to be paid in March 2026.

There are also two earn-outs first one of \$8 million and the second at \$19 million to be paid basis calendar year 2025 and calendar year 2026 performance. We are acquiring the business on an as-is basis, which covers all employees, IP, customer contracts, etcetera. The transaction is being

funded entirely from the cash on the books of Indegene, which includes the internal accruals. We expect the deal to be EPS accretive beyond the first five to six quarters. The transaction expenses, which are estimated at approximately US \$0.8 million and the integration costs for both operations and data, along with incremental go-to-market costs, combined with lower interest income due to the outflow towards the purchase price would be the immediate impacts on our earnings.

In terms of cost synergies, we expect around US \$1 million annually, which should start accruing beyond the integration phase. While we'll be making incremental investments in the business to drive growth, these investments in the business

should be offset by the cost synergies and along with the growth in the combined business should result in a 27% to 28% EBITDA on net revenue in around six quarters, which has been the historical margin rate that BioPharm has operated at. Along with the earn-out payments, we believe this transaction would be valued between 9x to 9.5x EBITDA multiple for us, which we believe is a good deal given the very specialized capability set, combined with the tech and data assets that we have acquired as part of this transaction. Those were some of the transaction details.

With that, we will open the interaction to some Q&A. Back to you, moderator.

Moderator: Our first question comes from the line of Ahmed Madha from Unifi Capital.

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Ahmed Madha : Congratulations to the entire Indegene team. First question was to understand the business mix of BioPharm. Can you give some sense what kind of client concentration does BioPharm have in terms of top five clients, top 10 clients? That's one.

Second, in terms of therapy exposure, what kind of concentration or diversification do they have? And in terms of contract tenures and renewal rates, if you can give some qualitative sense, that will be helpful. That was my first question.

Suhas Prabhu : Thank you, Ahmed. So getting into some of the details on the customer concentration as well as the geographical spread. The business is entirely a US-focused business currently, and therefore, 100% of the revenues are generated from brand engagements with pharma life sciences in the US. The customer concentration itself is about 80% for the top 20 customers, about 60% top 10 customers. And there are a handful of customers in that \$2 million to \$5 million kind of annual business.

The churn rate of customers has been fairly low. Manish already mentioned that the business has multiyear relationships and significant recurring business. And we've seen that most of the customer engagements are running for 4 to 6 years, if not more. But given our access during the diligence, I can say that we've seen many customer relationships spanning across 4 to 6 years currently.

Finally, on the segmental breakup, approximately out of the \$38 million revenue in calendar year 2024 about \$7 million to \$8 million is from Addressable Health and \$29 to \$30 -- close to \$30 million, \$31 million is the BioPharm business, right? The first one being the push business, the other being the pull business.

Ahmed Madha : Yes. Second question was to understand the data moat, which we spoke about, right? So in terms of the data which BioPharm has, how much is this campaigns driven by the first party themselves? And how much is the syndicated data? And how do you see we can utilize that in terms of our business mix?

Manish Gupta : Very difficult to break it out in terms of percentages, this part, right? But it's a combination of both. But the uniqueness over here is that a lot of it is proprietary data, which is coming from the campaigns, BioPharm has been driving for a very long period of time. And the good part is that we were covering, as I said, through Indegene, 1.8 million. They have a 3 million physician set for digital propensity and the channels they cover, right, has been also very complementary to what we had.

We had a couple of channels like e-mail, web, right, whereas BioPharm also had things like programmatic ads, EHR and a bunch of other channels. So our data set becomes very comprehensive over there. BioPharm has also much richer data sets on oncology, rare diseases and ophthalmology, especially oncology and rare diseases is super valuable because that's where a lot of the drug pipeline is. We will be combining these into one data set, which can be used as part of our overall campaigns, which we run for pharma companies. I hope that answers your question.

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Ahmed Madha : Yes, it does. And on the financial side, can you just give some sense of earn -out KPIs, right, CY '25, CY '26, whatever payments you make, what are the KPIs for that, number one. And number two, I missed out the number on amortization. So you said intangible is \$6 million, if I'm not wrong. So how does that get amortized?

I just want to understand when we say EPS accretion few quarters down the line? How are we budgeting the numbers for all the numbers that are -- all the moving parts basically regarding the numbers. So, it's two questions, one on the amortization and EPS accretion, which we spoke about. And second on the earn -out KPIs, how are we deciding the payment amounts?

Suhas Prabhu : Yes. So, Ahmed, firstly, for the amortization, the tangibles are 6 million, not the intangible. And therefore, there would be a significant portion of intangibles that we would carry on the books. Right now, the purchase price allocation is still being worked out and is in a draft stage. So, we'll make the disclosures at the appropriate time as things get finalized.

But we believe that at an EBITDA level, the accretion would be more immediate. As you rightly pointed out, the amortization at -- which would impact the EBIT and therefore, the PAT would be beyond a certain period. But however, we still believe, given the strong margin profile that over a five to six quarter period, the accretion should -- to the EPS should be visible.

Coming to your first question, which is on the earn -outs and the KPIs. The KPIs are linked actually to revenues and the -- from an employee incentive perspective, even to the order book for the calendar year 2027. So, the revenues for 2025 and 2026 and the order book for 2027 would be the benchmark and achievement in the range of 15% to 20% growth year -on-year is what would result in the full payout of the earn -out.

Of course, if the growth rate is lower, the earn -out would be reduced according to the agreed structure. So, we, however, believe that the business is a stable and well -run business. And therefore, those growth rates in revenue should also result in similar growth rates to the margin as well.

Moderator: Our next question comes from the line of Chirag Kachhadiya from Motilal Oswal Financial Services Limited.

Chirag Kachhadiya : Congrats on this acquisition. I just have one question. If we look at the margin profile of BioPharm vis -a-vis our profile for the same as comparable vertical, what cost lever we can reduce going forward in our existing stand -alone business after taking license from this BioPharm. So going forward, the common vertical can enjoy a higher margin profile. Yes.

Manish Gupta : So one is -- I'll let Suhas you double click on this, but there are a couple of things which we see.

One is data purchase itself, right? BioPharm purchase data from third -party, we purchase it. That itself is a lever, which we're going to start working on right away.

Some bit of licensing cost, right? That's the other thing. There are a few roles and roles which we also believe we can combine, right? So those are, I would say, the three broad things which are right away. And then, of course, after that, with growth, we'll start adding more people, right, offshore rather than all of them being in the United States for this business.

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Suhas Prabhu : Yes, Manish already has elaborated. Those would be the four.

Moderator: Our next question comes from the line of Sankaranarayanan S from ithought PMS .

Sankaranarayanan S : Congrats for the acquisition. So, my question was related to the scale and what benefits they have got post acquiring the Omnicom Group in 2016 because they are very big group in advertising across sectors. So, what benefits and what kind of scale they have achieved from there on?

Manish Gupta : That's not a question f

or us to answer at this point of time. That Omnicom will be a better group for answering that. But as you can imagine, the advertising agencies are going through their own struggles, right? And what I can tell you is the management team at Bio Pharm is super excited, right? We did not have to do much of a job in selling Indegene and that this is a better home for them. But what exactly did Omnicom do and other stuff, that's a difficult one.

Sankaranarayanan S : Okay. So, my question was more related to how did they scale like what benefits they got after acquiring by Omnicom. Okay. So, my second question is for the last 3 years, the revenue have been stagnating around \$40 million gross revenue. What is the reason behind that?

Manish Gupta : As I mentioned that, again, what Omnicom did was not a great idea. This business was run primarily for margins, right? And the broader sales and marketing engines, broader tech engines, we believe were not leveraged to really unlock potential in this business. And that is the reason the management team is excited to be working with us, right?

Right at the -- within a few weeks of diligence, we had thesis of where we can take this business, which areas can they be combined with which clients and our sales and marketing teams have

been working with the senior leadership over here.

On the tech side, on the data side, right, we had a bunch of ideas, which we started crystallizing even in the diligence process. I don't think that all stuff has done well, right? And hence, the business was running on its own. With the tailwinds and some of the overall might we can bring as Indigene with our sales and marketing engine, our tech teams, our data teams, right? We think a lot of potential can be unlocked, which was not a great job was done before this.

Sankaranarayanan S : Understood. So, can we assume that our upcoming acquisitions would further accelerate our Tectonic strategy?

Manish Gupta : See, our broader strategy is to be known as the modern digital AI -powered sales and marketing partner to this industry, right? So, on the sales and marketing side, acquisitions will fit into that category.

Moderator: Our next question comes from the line of Mayank from ENAM Asset Management Company.

Mayank : Yes. Congratulations on the acquisition. Could you comment on the overlap between Indegene and BioPharm on the client -side capabilities and offering side please?

Manish Gupta : See, on the client side, what has happened is that most of our business, there's very little overlap because whatever businesses we have on this side is primarily on the enterprise side, right,

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through the centralized part sitting in ECS, whereas Bio Pharm has been working directly with brands. So, to that extent, it's complementary. Do you want to add on anything, Suhas?

Suhas Prabhu : Yes. So Mayank, at a logo level, there is a significant overlap given that 17 of the top 25 pharma are BioPharm customers. Indegene works with all the top 20, maybe 22, 23 of the top 25. So, to that extent, there's a significant overlap. But the buying groups within these customers are where the differences are.

And as Manish mentioned, the customers of Biopharm would be the brand owners in the US, which have their own budgets, whereas most of Indegene's customers would be on the enterprise side, right? As you would already know, Indegene's revenues almost 85% is on the enterprise side and only 12% to 13% is on the brand side. And therefore, it is complementary as far as the budgets within the same customer logos are concerned. But at a logo level, there's significant overlap.

Moderator: Our next question comes from the line of Santhosh from Viansh Ventures Private Limited.

Santhosh: Congratulations on the acquisition. So my question is regarding in the presentation, you mentioned to the strength on BioPharm is omnichann

el marketing, and we also have an omnichannel segment here.

And just want to understand the reason behind this acquisition for acquiring BioPharm is to make the channel even better because we also have this channel in our -- as part of our business. Is it to create synergies in the specific channel or is it to -- or they have some specific technology which can be passed on to our other enterprise solutions? This is my first question?

Manish Gupta : Okay. So again, taking a step back, if you see pharma marketing budgets, they are split between -- and I'm going to focus on digital spend, again, are split between things that are done through a centralized way and the budgets which sit with brands. As we had mentioned earlier many times in the past that today, most of Indegene's revenue, especially on Enterprise Commercial Solutions side, come through budgets that are on the centralized side of business, right?

The larger budgets, though still sit with the brands. Over time, we believe more and more budgets will shift towards the centralized route. But it's a slow process, right, given that how sales and marketing works in pharma, large budgets today sit with brands.

On one hand, BioPharm has very significant capabilities with the brand teams on Omnichannel Activation, right? The way Cult had with the brands, right, and enabled us to create this offering. So that's one part. We've become super credible with brands who have very strong voice, even sometimes in centralized decisions.

Second thing is that they have some proprietary technology, data sets, which enhance our IP in this area very significantly. Third and -- but very importantly, it's a very, very solid team, which has been doing this for a very long period of time. Very difficult to hire this type of a team in the United States.

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Santhosh: Okay. My second question is regarding -- in the previous con call, we have discussed that it is mentioned our omnichannel part has faced some issues because of customer regulatory hurdles, FDA or some contr acts has been deferred and all.

So how does BioPharm coming in here will affect that part of it? So do they also face this kind of issues or because of that, as you mentioned, they have greater technology, wonderful team. Can you reduce this risk further? So how does this play out in the market? Because we have been facing this issue in this segment like previous quarter, it will discuss.

Suhas Prabhu : Yes. So, the brand budgets and therefore, cross -selling as an opportunity would be there across customers that we have on the brand side, whether for Indegene's business or through the acquired business of Cult in the past and now BioPharm, right?

So the customers there would be common, right, not just -- so for example, BioPharm would be contracting on the campaign execution omnichannel engagement side of things versus our existing engagements, which are on brand activation would be more focused on the brand strategy and content creation side of things, creative side of things. So there would be a cross -selling opportunity both ways because the budget owner for both these are typically the same teams.

Now having said that, brand budgets are a little bit more variable by nature compared to the enterprise engagements, right, given that the enterprise engagements cut across the entire portfolio of products with a customer .

However, as we grow in the brand side, we would end up having multiple brands and therefore, even if the contracting is not at a portfolio level, we believe that as we grow larger, we would also start replicating the portfolios at customers because you would end up working across brands, across customers. And the impact of this variability should reduce over period as the revenues in that segment start growing.

However, there will be slightly more variability than the enterprise s

ide of our business on the

brand side, given the nature of the engagements there, which would be exposed to risk in terms of FDA approval or other competitive environment. But end of the day, making those large portfolios by working across a larger set of customers is the way to deal with that.

Moderator: Our next question comes from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija : Congratulations on the acquisition. Just a clarification. The press release mentions that the consolidation or the completion of the process is expected by 1st of October, very close to the date of announcement. Curious, have we secured all the required approvals and processes in this time?

Suhas Prabhu : Thanks, Ruchi. Yes, 1st October was the closing and all the closing formalities have been completed and the transaction is fully closed.

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Ruchi Mukhija : Okay. Secondly, all the 90 employees, which we are inducting with this acquisition are US -based, yet the entity has a better margin than Indegene. Could you help us -- I mean, what drives this superior margin?

Suhas Prabhu : Sure. As Manish already mentioned at the start of the call, right, what we are providing is targeted marketing solutions, which are not based on input services, right? These are not time and material contracts.

These are basically physician engagement solutions in a very targeted manner, which combines data, technology and expertise in multiple areas, therapeutic areas to be more effective on the marketing side. And those solutions done in an efficient manner have resulted in a better margin profile.

And we believe that, that is sustainable, right? And secondly, I would like to also emphasize that these are engagements not driven by cost control or efficiency being the top priority. These are basically revenue augmentation solutions which help drive through HCP engagement, prescription uplift and revenue uptake. So that's the reason why we believe that these are better margin profile solutions.

Manish Gupta : Just to add, just to be slightly charitable to ourselves as Indegene, we also make investments for the next many, many years in sales and marketing and the company is designed for growth. Our investments in sales and marketing, Tech, IT, HR, compliance, right, across the Board are much higher.

Ruchi Mukhija : Okay. You did mention that under the previous owner, the sales investments were slightly lower than what would have been desired. Do we expect the sales investment to increase or you expect the existing Indegene investments given the overlap -- significant overlap of our client, the existing Indegene sales investment would be sufficient -- more than sufficient to derive the growth synergies?

Manish Gupta : We'll be doing both. We will be obviously leveraging Indegene sales and marketing engine, but we believe there are a couple of roles which we want to add on over the next few quarters to unlock value over there, which is what I think Suhas alluded to in his conversation that we will be making more investments in this business.

And we believe over the next 4 to 6 quarters, these investments which we make will be offset by 2 things. One is the synergies we get on the cost side. And the second thing is the overall growth, right? And the margins will stabilize at the levels they are in, but there will be a bit dip in this period of 4 to 6 quarters.

Moderator: Our next follow -up question comes from the line of Chirag Kachhadiya from Motilal Oswal Financial Services Limited.

Chirag Kachhadiya: Just want a follow -up. From cross -sell point of view, the clients which are common in both this entity, are we going to increase the service umbrella in those accounts? If you provide some more detail qualitative comment on that?

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Manish Gupta : See, there are a f

ew clients where -- let me give you an example of a place is very strong on the enterprise side, and this company is doing some work on the brand side. And there are, by the way, a few customers like that. We already have had outreach from those clients saying this is very interesting. We want to understand what it means, right?

And the pitch we are taking to them is that you have this mature product portfolio, right? Think about a digital outreach model for physicians across the board for your portfolio, right?

BioPharm alone was not credible to do that, right? And Indegene obviously had the scale and thing, but the brand relationships were not that strong.

With that coming together, the overall story becomes so much more credible. So that's one type of a pitch. The other side of pitch is that we are present at the centralized level, but BioPharm is not present in those places at all. So we are going to take BioPharm to those customers, right, and pitch at a brand level. Some of the places -- and the places we have identified is that we have a bit of in with the brands, right?

Now, we are strongly penetrated, but we have some relationships. We believe we can take them over there, right? So that's -- I'm talking about the first level of prioritization we are doing from an account perspective.

Now BioPharm has a bunch of accounts where they have relationships and they are going to these customers and saying, listen, we have a much more scaled partner and platform on which we can do much larger programs. And that list is, of course, pretty large, right, or pretty much, I would say, most of their top 10 , 15 clients.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. I now hand the conference over to the management for closing comments.

Suhas Prabhu : Yes. Thank you, everybody, for your time today, and thanks for your continued support and interest at Indegene. We will conclude the call today. Thanks for your wishes, and we will see you again at the earnings call towards the end of the month.

Manish Gupta : Thank you.

Moderator: Thank you. On behalf of Indegene Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru -
560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: L73100KA1998PLC102040

INDGN/SE/ 2025-26/79

November 3, 2025

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended September 30, 2025, held on 31st October 2025.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

Yours Sincerely,
For Indegene Limited

Srishti Ramesh Kaushik
Company Secretary and Compliance Officer

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"Indegene Limited
Q2 FY '26 Earnings Conference Call "
October 31, 2025

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF EXECUTIVE
OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER – INDEGENE
LIMITED
MR. ABHISHEK AGARWAL – HEAD, INVESTOR RELATIONS –
INDEGENE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Indegene Limited Q2 F Y '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing start then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal from Indegene. Thank you, and over to you, Mr. Agarwal.

Abhishek Agarwal: Thank you, moderator. A very good morning to all of you and thank you for joining us today for Indegene's earnings conference call for the second quarter and half year ended financial year 2026. Today, we have with us Mr. Manish Gupta, Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter.

I hope you have gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website.

Please note that today's discussion will be forward-looking in nature and must be viewed in relation to risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone, and thank you for joining our Q2 earnings call. The past few months have been very action-packed both externally, the external environment and internally at Indegene as well. And I hope to try and cover as many of these in much detail as is practical on this call today.

Let's start with the external factors, especially the evolving U.S. policy matters that impact the life science industry and have been in the news quite a lot. The big headline for the industry has been the most favored nation or MFN pricing. On September 30th, President Trump and Pfizer announced the first deal on this matter. The agreement provides every state Medicaid program in the country access to MFN drug prices on Pfizer products and requires Pfizer to offer medicines at a deep discount of the list price when selling directly to American patients. There is also a plan to offer many drugs at significant discounts through a new federally operated DTC platform called TrumpRx.gov. Finally, this agreement also grants Pfizer a grace period of 3 years from any Section 232 pharma tariffs provided the company continues to invest in U.S. manufacturing.

While this deal does have an adverse impact on drug pricing, the terms and scope of the agreement is seen as positive for Pfizer and for the pharma industry in general. Most companies have limited exposure to Medicaid and prices are already significantly lower in this channel compared to the rest of the market.

The federally operated DTC platform, TrumpRx.gov will also have minimal impact as most patients do not pay out of pocket. Finally, it's likely companies will sidestep MFN restrictions

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by delaying launches in other geographies, while keeping prices high in the U.S. Also, it's likely that the prices for drugs in non-U.S. markets are increased to minimize the impact of MFN-related price reductions in the U.S.

Overall, this has been a big relief for the industry because it takes away the regulatory overhang and provides a template for moving forward in a way that is not significantly disruptive for the industry. As per analysts, top 30 life science companies registered approximately USD 440 billion in value during the last month. So you can see

how this development is considered as not disruptive to the industry.

Companies have started announcing drug launches at significant discounts, which are applicable only for the limited DTC market and also overseas new drug launches are at -- some of them have been at higher prices, in line with the U.S. prices.

Now the other big announcement in the recent past was the application of tariffs on pharmaceutical imports into the U.S., which were initially kept outside the purview of tariffs. Beginning October 1, pharmaceutical manufacturers would face 100% tariffs on all branded or patented drugs imported to the U.S. However, there were notable exemptions. Manufacturers could avoid these tariffs by building manufacturing facilities in the U.S., defining building as either breaking ground or under construction.

Apart from this, the existing trade agreements would be also honored, including recent EU and Japanese compacts that limit pharmaceutical tariffs to 15%. Most companies have announced significant investments towards R&D and manufacturing in the U.S., thus blunting the impact

of any tariff threat. It also seems that administration may look at MFN or tariffs as a combined tool rather than separate tools, so companies could use a mix of these 2 approaches as part of their negotiations.

Taking a step back, one can see a sort of trend here. The U.S. administration seems to be creating regulations, which were initially perceived as drastic and disruptive. However, the outcomes seem to indicate limited pressure in the immediate term, while also providing a possibility to a way out with any significant negative impact on the industry even in the longer term. With the MFN and tariff issue now having a potential resolution, there do not seem to be any other imminent clouds on the horizon for the industry as of now.

Now the other announcement of some relevance or some way connected to Indegene was the move against DTC marketing. To be clear, it's not a ban against DTC marketing, but action and tighter enforcement against disruptive or misleading DTC marketing. Essentially, the U.S. administration has tightened the regulations around DTC marketing, which may limit their activities on traditional DTC channels such as TV, print and related media advertising. and drive more engagements through newer channels such as digital, social media, et cetera.

This development has no impact on Indegene, as we do not have any significant engagements using traditional media for the DTC segment. However, we likely benefit from the shift to digital channels or spend diverted to segments such as HCP or market access, et cetera.

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Now with some of these having spoken about, let's come to the other action the U.S. administration announced. This was not specific to the life science or pharma industry. This was the fees for new H1B visa applications and the evolving landscape there with exemptions and clarifications on limiting the applicability of the fees. This is a broader regulation that impacts all businesses, but more specifically outsourcing services businesses, which depute large number of employees from India to the U.S. every year. This has practically no impact on Indegene. Currently, Indegene employs around 550 people in the U.S., out of which 45 people, approximately 8% are on H1B visas. Every year, we depute only 5 to 8 employees on H1B to the U.S., and this content can be easily managed through multiple routes, nearshoring, passing on the additional cost to our customers, especially in large engagements, where they won't be material.

The reason for the low quantum of U.S. personnel on H1B is because Indegene is not a staffing business and a labour cost arbitrage is not the core of the business model at Indegene. As part of our business model, we hire talent who have deep local market expertise, be it reg

ulatory

expertise in each country, deep understanding of health care practices, channel preferences, pharma marketing or medical practices, which vary country by country. And this talent is, of course, available only locally.

Our customer engagements need us to operate in multiple countries across the globe for large regions with a complex multi-location hybrid delivery system, which combines multi-country local operations working seamlessly with nearshoring and offshoring capabilities with multi-skilled personnel having deep domain expertise working together in a global operating model. This is also very clearly visible in the higher revenue per employee metric at Indegene, which clearly is market leading.

Before we move ahead, to summarize my commentary on the U.S. policy changes and the administration action, the industry continues to face pressure on drug pricing and margins, whether it was through IRA in the past or MFN negotiations or tariff announcements now. And this is something which we've been alluding to, speaking about from our, I would say, very early earnings call. However, the likely adverse impact to the industry is limited. And the positive news for the industry is that actions taken in this regard clear any uncertainty on policy overhang and should aid decision-making moving forward. Calendar year 2025, Q3 performance for the industry is expected to be in line with the industry forecast and market expectations, and there do not seem to be any major industry headwinds that we see as of now.

Now with this, let's come closer to home. We continue to see clients now actively building on some of the earlier digital and centralization theme. This, we believe, is driven by some of the top-down pressures the industry faces and the fact that we see AI as a way to get more efficient and effective. We believe this will be the next level of driver for digital adoption, centralization and embedding of AI in key medical and sales marketing processes.

Our offering Tectonic has been based on this theme, and we continue to make progress on that. While it's still early, we are highly encouraged to have clocked approximately \$2 million in H1

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revenue in Tectonic from 4 customers. This is up from 2 customers we had in Q1. We have initiated multiple conversations in this area and the pipeline is shaping up well.

Given some of the things I saw and I spoke about and the commentary we have been sharing with you for a long time, we continue to strengthen our GenAI -based capabilities centered around our proprietary Cortex platform. We are increasingly seeing evidence that supports our hypothesis that real value addition from GenAI will come from contextualizing the technology for the domain.

With Cortex, our focus, therefore, has been on qualifying 26 years of our life science regulatory and business process -specific knowledge that we then use to train agents across the value chain. We continue to build business applications on top of this knowledge engineering -led agentic layer in Cortex.

We are building applications across key areas like digital content with use cases for our agency business, Tectonic as well as commercial content creation and adaptation. All this has been on the commercial side of the business, sales and marketing side of the business, if you would call it out.

On the medical side, we have built applications for medical legal review, regulatory writing and submissions and a few others. We are taking a platform approach versus a point solution approach to building these GenAI applications because otherwise, we feel that the industry is very soon going to run into the problem of managing hundreds of business process agents and driving governance for them.

Further, our end -to-end content engine called Content Super App is being built as a single platform for brand managers as

well as global commercial operations. Multiple agents that drive different aspects of development, such as ideation, concepting, localization, personalization and regulatory approval of content, however, all via a single platform.

Similarly, with our medical writing platform, we are automating authoring of all regulatory reports right from protocol authoring to clinical study report to ongoing filings post approval on a single platform. We continue to add regional use cases on this platform based on the client's need.

As we see our clients' needs getting crystallized and pipeline generation improving, increased activity levels in customer organizations due to growth in revenue in new launches or cost efficiency and modernization / GenAI initiatives with some customers resulting in new opportunities , we have decided to strengthen our go -to-market engine in multiple ways

- We have increased the strength of our business development teams on both fronts, increased customer coverage and deeper penetration with existing customers.
- We have added capacity and capabilities in consulting, data and technology, including GenAI. This has been done in the U.S. and Europe. And we'll continue to strengthen this as we make progress with customers on new engagements for enhancing the scope of current engagements.

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- We have and continue to deepen our partnerships with some of the hyperscalers and other technology product companies that have and are getting traction in our industry.
- We have also acquired 2 businesses, BioPharm, which we had spoken about earlier in the call, a U.S. -based omnichannel marketing company focused on targeted HCP or health care professional engagement. And a very recent one, WARN, a U.K. -based boutique consulting firm, having people with significant experience in change management, transformation consulting and digital and technology areas for pharma. Both these acquisitions were done in October. We'll have more commentary on these acquisitions a bit later.

Now we believe these investments will help us to capitalize on the market opportunity that we see in front of us. These ahead of the curve investments should accelerate our growth progressively over 6 to 8 quarters, but with EBITDA margins compression in the near term by about 1.5%.

I'm getting into our results now. We had a good quarter on both execution front and new business generation front. Q2 revenue came in at INR8,042 million, growing 17.1% year -on-year and 5.7% quarter -on-quarter.

Among the significant wins during the quarter, there were 2 large deals of 3 million -plus ACV, both in the ECS segment, first one with a big pharma to manage their global omnichannel for health care professional campaign operations for a few years. And the second engagement with a top 5 customer of Indegene with increased scope in existing global commercial operations.

Both these are start expected to start in Q3 and ramp up over the next 3, 4 quarters. Additionally, we had 4 deal wins in the 1 million to 3 million ACV range. One in Enterprise Commercial segment with an upcoming biotech company for various transformations and business tech implementation projects. Revenues for this start again in Q3. The other 3 deals were in the Enterprise Medical segment. First one with a medical device company for pharmacovigilance with a 3-year tenure to start in Q4. The next in the top 10 pharma company with scope expansion in existing medical operations. And the last with a mid-sized small pharma for supporting medical writing and submissions for biological license application for a slightly shorter duration, both of which will start in Q3. Finally, we also continue to have a healthy and growing pipeline with a higher proportion of potentially large deals greater than 3 million ACV. Just a few weeks back, we also hosted Indegene Digital Summit. IDS 20

25, which is our flagship event. This was done in September 2025 in Philadelphia in the U.S. We returned to an in-person format after 5 years. Since the start of COVID, we had gone digital. This in-person event was a huge success. It was attended by senior leaders from the industry, from our customers as well as regulators.

While AI took center stage in all conversations, almost every one of them also stressed how important context is to make the most of AI, a revalidation of what Indegene has been saying. We gained valuable insights on why organizations across industries are struggling to derive meaningful ROI, turning pilots into full-scale production and challenge in reengineering

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processes and upskilling talent for an AI-first world. This, we believe, is an opportunity for Indegene, and we continue to focus on this.

Finally, some details on the BioPharm acquisition that we announced early this month. The integration is underway at full speed and support functions like finance, HR, IT, legal, et cetera, will be transitioned in 2 quarters, while business operations and go-to-market will likely take about 6 quarters to complete.

We are excited about the potential of this business in its current form as aligned to brand activation with the brand-by-brand business, where we shall invest to increase the business development activity in the U.S. as well as the integrated omnichannel campaign offering, which is a part of the ECS segment to scale up globally with some of the engagements cutting across brands.

This point bears some further context. Many of you are aware, Tectonic is our effort to go upstream towards the creative processes within the marketing activities. as an enterprise commercial engagement cutting across multiple or all brands in a customer, either globally or for a large region than a brand-by-brand engagement at a country level. This offering is a combination of Indegene's content campaign and data capabilities, along with the creative capabilities acquired through Cult acquisition a couple of years back and monetize through the enterprise-wide engagements rather than the brand-by-brand engagements, which also cuts across multiple countries or regions.

We believe that BioPharm will provide a similar opportunity for us to expand our capabilities on the downstream omnichannel campaign execution capabilities and take these to our customers in an enterprise format rather than just a brand-by-brand format. That's a broad update. With this now, I'll pass it on to Suhas for further details on the financial performance as well as financial perspective of the acquisitions.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to all, and we appreciate your participation on this call today.

Let me begin by getting into the details of the financial performance for the quarter. Revenues for the quarter came in at INR8,042 million, up 17.1% year-on-year and 5.7% sequentially. The growth in U.S. dollar terms is 12.4% year-on-year and 3.6% sequentially. The EBITDA margin adjusted for onetime nonrecurring M&A costs for the quarter came in at 18.2%, down by 2% sequentially, almost entirely due to the annual wage hike, which was effective July of 2025. The EBITDA margin net of the M&A costs is 17.6%. The favorable impact of productivity and efficiency initiatives was offset by an increase in our marketing expense due to the IDS 2025 Event, as also higher technology costs due to infrastructure and subscription for cloud and GenAI requirements.

With the rupee depreciating against the dollar, the impact of exchange gain was favorable, but this was also offset by the mark-to-market charge on the forwards that were outstanding at the end of the quarter.

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Finally, the interest income was down by about 22.5%,

primarily due to the decrease in yields

on investments in both the U.S. and India with the progressively reducing Fed and repo rates.

Thus PBT came in at INR1,331 million, a growth of 7.3% year -on-year and PAT came in at

INR1,021 million, a growth of 11.4% year -on-year.

The PAT margin for the quarter is 12.7%, a reduction of 2.6% sequentially in line with the reduction in EBITDA. And thus the ETR, the effective tax rate for Q2 was relatively stable at 23.3% versus 23.5% for the previous quarter.

Moving to the segmental results, our Enterprise segment, Enterprise Commercial and Enterprise Medical Solutions, which contribute to 88.5% of our revenue, grew by a healthy 8.1% quarter -on-quarter, partially offset by the degrowth in Brand Activation segment, which degrew by 15.8%.

The geographical mix continues to be steady with more than 96% of revenue coming from the U.S. and Europe region. North America revenue share is at 69.6% in Q2 versus 70.2% in Q1 and Europe revenue share is at 27% in Q2 versus 27.1% in Q1.

Coming to the customers, our top 5 customers have grown 4.5% quarter -on-quarter despite a degrowth in our largest customer, which was anticipated with the change in the onsite offshore mix during the past renewal, which we had highlighted during one of our past earnings calls .

The top 20 customer contribution remained steady at 75.2%, while the accounts beyond the top 20 grew at a faster pace, growing by 10.3% quarter -on-quarter, combined with our active customer base increasing to 76 active customers from 70 in the last quarter .

Coming to the M&A side of things, the acquisition of Biopharm was completed effective October 1st, 2025. The BioPharm financials will form part of our consolidated financials from October 1st, 2025 onwards, which is the next quarter onwards. Given the size of the acquisition, we'll be reporting both organic and inorganic growth and corresponding revenue in the coming couple of quarters. Please refer to the Investor Relations website for further details of the transaction, including the deal value and the deal structure.

The payment at closing to complete the transaction was approximately USD 65 million and was placed in an escrow account as at 30th September 2025, while the transfer to the sellers was done on October 1st. And hence, this reflects as restricted cash under other current assets as at September 30th, 2025. Including the restricted cash, our cash balances, cash equivalents and investments were a healthy USD 210 million versus USD 200 million as at June 30th, 2025. The DSOs, net of unearned and unbilled revenue remained a steady 71 days.

Further, on October 16, 2025, we also completed the acquisition of WARN & CO, a boutique U.K. -based consulting business for upfront consideration of GBP 2 million plus future performance -linked payout. This is not likely to have any material impact on the financial results of the company on a consolidated basis. However, Manish has already mentioned earlier how this fits into our investments focused on future growth, which includes the consulting capabilities that we have acquired through the -- through WAR N & CO.

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With that, let me take a pause and move on to the questions that either Manish or I can address for you today. Back to you Moderator .

Moderator: Thank you. The first question comes from the line of Ahmed Madha with Unifi Capital. Please go ahead.

Ahmed Madha: Trying to understand the P&L better, both for the Q2 and the comment you mentioned about 1.5% margin reduction, right? So in Q2, even adjusted for M&A expenses, the opex , other expenses rate is quite higher compared to historical rate and there has been an increase. So you can give some granular sense what explains the increase in the expenses. That's first. And second, in terms of employee cost front, you can give some sense

of the hikes, which we

have taken post June, which is reflecting in Q2. And coming to the comment you mentioned about 1.5% margin reduction, can you give some sense next 2 or 3 years, how do you see the margins range changing and what all initiatives we'll be taking, which is reflecting in your margin guidance?

Manish Gupta: I'll let Suhas handle it, but let me just start with the last one. The margin reduction in the very near term, let's call it, next quarter, is primarily because of these investments we have made, and we believe in the next 6 to 8 quarters, we should get it back to the levels, which we've been operating at. With that, Suhas, I'll pass it on to you to break it down to some more details.

Suhas Prabhu: Sure, Manish. Thanks, Ahmed, for your question. So the other expenses that have increased have

largely 3 components of increase, one which I already mentioned earlier, which was approximately USD 0.5 million of M&A expenses, which are largely diligence fees, legal fees and the like, which were incurred in relation to work that was completed by 30th September for the 2 acquisitions that we concluded eventually in October.

The other major component was the IDS or the marketing event that we had in Philadelphia in September. In physical form and approximately \$0.5 million of expense in the event combined with a little around, say, \$0.1 million of travel cost was the other component.

And finally, about \$0.25 million of technology costs, which increased quarter-on-quarter given higher investments, especially in the GenAI subscriptions and the related cloud infrastructure, all of which that I mentioned is part of the other expenses.

Now coming to your next question, which is on the increment. At Indegene, our annual increment is effective July every year and this year also, so effective 1st of July 2025. The increments in the past have resulted in a 2.1%, 2.2% per dilution in margin rate from -- on a sequential basis. And even in the current year, this is in the similar range, around 2.1% is the impact of the wage bill increase.

And what we typically see is that progressively, the margins tend to increase here on. But every year, again, in that July period, given that it's an annual increment cycle would see a decline in margins. But this is nothing out of ordinary for Indegene if you look back into our past. So I hope that clarifies the questions that you had, Mr. Ahmed.

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Ahmed Madha: Yes. I get the sense. Second question was to understand the business mix in terms of top clients, right? I mean, the commentary in last quarter or so was that the pain in the largest client is behind us, but it seems there has been some degrowth again in Q 2. So you can give some sense how is the conversation with your top 1 or 2 clients? And how do you see those clients coming back with either new orders or the contract renewals?

Suhas Prabhu: Yes. So Ahmed, our top 5 customers, what we have seen in the past, our largest customer has been steady to growing in the last 6 quarters. A couple of earnings calls ago, we had mentioned that our largest customer, one of the contracts that was renewed had a change in the mix from onsite to offshore for certain roles. And therefore, we would anticipate a reduction in the revenue, while it would actually be in the longer run positive from a margin perspective. And therefore, that's the only major impact.

And this is not related to any challenges that we had seen with a couple of other customers. And as you observe in the current quarter, the top 5 has actually grown by 4.6% sequentially, which is consistent with what we had mentioned that we see that the pain that we had with a couple of customers is largely behind us and things are back on track and growing.

Manish Gupta: I also want to emphasize that as to us in large 5 -- top 5 customers, we don't see any broad

headwinds. The largest customer, this engagement was called out in our, I think, end of Q4, if I'm not wrong. However, in our largest customer, we see -- we have a pretty strong pipeline, and we are very bullish about growth in the, I would say, near to midterm itself.

Ahmed Madha: Last question from my side. In terms of headcount addition, how do you see the trend in the near to medium term, considering we have made a lot of investment in terms of productivity, AI and stuff, right? So how does that sort of transition into headcount addition? We have been seeing last, I think, 3-odd quarters, there have been incremental addition. After I think FY '24, there was headcount cut and then in the first half of '25 also, there wasn't much addition. In last 3, 4 quarters, we have seen the trend of headcount addition. So how do you see that number panning out in terms of increasing headcount?

Manish Gupta: So I'll again comment and then pass it on to Suhas. We believe our revenue per employee, which is -- I would guess that it's highest in the industry. We believe securely, it will inch higher, right, which means that we will add employees, but obviously not at the same rate as our growth rate. So Suhas you want to get slightly more specific?

Suhas Prabhu: So continuing on what Manish mentioned, yes, we would continue to see a growth in the number of employees, but the rate of growth of the number of employees would typically be lesser than the rate of growth of the revenue, and we should see that reflecting in a higher realization at employee level.

One of the things that we are doing actively is also investing in talent ahead of the curve given the kind of activity that we are seeing in the deal wins as well as the pipeline that is building out and using this opportunity to onboard people and train them ahead of when we anticipate the revenues to come in.

Moderator: Next question comes from the line of Divyansh Agarwal with Ionic Asset Managers.
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Divyansh Agarwal: Just wanted to get a note on the incremental growth that the company might get, say, in the coming Q3, Q4 and, say, in FY '27? And how much growth are we anticipating from the 2 new acquisitions that we have made? This is my first question.

And secondly -- and the second question on the margin compression. So we will be facing around 1% to 1.5% of margin compression. So are we taking any steps to ensure that maybe, say, in the couple of next quarters, the margin reduction that we'll have, we can make up a bit of that. So that was from my end.

Manish Gupta: Let me start with the last one and go in reverse way. The reason we are making these investments is that we see a market opportunity right now. We believe that while there are -- these investments are being made a bit of ahead of the curve, by growth itself, most of the margins will come back on track.

Beyond that, we obviously continue to rationalize across the board, right? And this is something we have done many times in the past that when we see the market shifting right into positively, then we invest to capitalize on this opportunity. So we believe margins will come back, as I said, in the 6 to 8 quarters. Suhas, do you want to again double click or anything?

Suhas Prabhu: Manish, you have already mentioned, as we have done in the past, while we invest, we also relook at areas that we can optimize while we continue our initiatives on productivity and efficiency. And given our engagement model, which is a hybrid construct of time and material, but a larger construct of catalog pricing or output-based pricing, we believe that we have sufficient levers to be able to impact productivity, which results in better margins for us. And that would be the other lever to get us back into the range that we have been operating in the past, which is around 20% and a little north of that.

That I understand.

Divyansh Agarwal: And sir, just last question, if I could ask is for the coming quarters and maybe for the next year, what kind of growth are you anticipating for the overall business?

Manish Gupta: We don't give guidance. That's something which we have carried on. All I can share with you is that we are seeing the market open up, right, at this point of time. But guidance is something which we don't do. Again, Suhas, do you want to comment on this?

Suhas Prabhu: You mentioned Manish -- Divyansh, again, we won't get specific as we don't give guidance. But we certainly are looking forward to a growth rate, which is higher than what we saw in the past year and even the start of this year.

Moderator: Next question comes from the line of Sameer Dosani with ICICI Prudential AMC.

Sameer Dosani: Just to clarify on this margin piece again. So last year, we did 19.5%, closer to 19.5% margin. So one should think 1.5% decline or there are offsets like this is the gross impact and there will be offsetting cost measures that can help the margin? That is my question number one. And also, -- yes, so this is first question.

Manish Gupta: Suhas, do you want to go ahead.

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Suhas Prabhu: Yes, Sameer, thanks for your question. As I already responded to Divyansh, there are opportunities to offset and we will be acting on those as well. And therefore, there will be potentially some offset, but that would also be progressively through the quarters. It wouldn't -- there's unlikely that the offset would be achieved within 1 or 2 quarters.

Sameer Dosani: And I should take it from FY '25 base, not from Q2 numbers, right?

Suhas Prabhu: From the current quarter, these would be likely impacting us on a go-forward basis rather than maybe the cumulative.

Sameer Dosani: Sorry, like, so the FY '26 margin ballpark guidance...

Suhas Prabhu: For H2 and not on a full year basis.

Sameer Dosani: So H1, we have already done, if I add back the M&A, 19.2%, then one should take 1.5% impact on this 19.2%, which is 17.7%. Second is when you consolidate this BioPharm, right, would you be taking net revenues or gross revenues because that -- yes. And thirdly, I couldn't understand this ACV remark. So 4 deals in 1 million to 3 million range. But 3 million, how many deals have you signed, 3 million plus ACV?

Suhas Prabhu: So the \$3 million plus, it was 2 deals and \$1 million to \$3 million were 4 deals. Hopefully, that clarifies. And Sameer, what was your other question?

Sameer Dosani: Whether we will take net revenues of BioPharm or gross revenues because the net revenues are around lower end?

Suhas Prabhu: Yes. We would -- as per accounting standards, we would have to report gross revenues. However, we would also be disclosing the net revenue.

Sameer Dosani: And lastly, like what you have seen in the past is on the growth side, right, H2 is seasonally

stronger for us in terms of organic growth. So does that things plays out? And also, I think this -- the deal that you disclosed and when I calculate this ACV is around 14 million at least, right? So how does this compare with maybe last year we have done 14 million each in Q1 and Q2. How does this compare versus the last year?

Suhas Prabhu: Versus the previous year, this year has been an increase in the deal closures. It is quite similar to the deals that we closed in Q1, maybe marginally higher.

Sameer Dosani: And seasonally, H2 will be stronger in terms of growth versus H1, that is what you have seen normally and we would be commenting on. So should we see a similar phenomenon this year as well.

Suhas Prabhu: Again, the business doesn't have any specific seasonality, which is material. But having said that, unlike if we were to look at IT services, given our engagement model, we are not impacted adversely by furloughs or lesser number of working days in February and the like. And therefore,

we believe that there's nothing -- and also given the deal pipeline and so on, we don't believe that there'll be anything outside of what we have seen in the past as well.

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Moderator: Next question comes from the line of Deep Shah with B&K Securities.

Deep Shah: So we've seen some growth assumption this quarter. And if I hear Manish comments at the start of the call, it seems that some of the disruption or some of the uncertainties, which are keeping brands on the fence are getting gradually resolved. Now what I understand is whenever there is some disruption, it is that time when we gain the most, at least that's how history has been?

But it, of course, comes with some lag. So if -- I don't expect guidance, but if you could give a slightly qualitative answer about how historically has that conversion been? And do you foresee some of it to come by, say, in 12 months or in 24 months? Some qualitative understanding around this could be useful.

Secondly, as a subtext to this question, the kind of disruption that we've seen in the past, these ones would be pretty small compared to them. Would that be a right assessment? Or these disruptions and these solutions are also materially large enough to change the trajectory for us?

Manish Gupta: I can take a shot at answering this. First of all, typically, what happens is the reason we -- and you should look at our comments holistically. One is about the industry in general, the macro environment, which I spoke about and the very specific things which we are seeing related to our space, right?

The reason we gave this commentary is that there is so much announcements around the pharma industry, right? And of course, if there is massive disruption, right, in at least the short term things come to a freeze, right, in many of these companies. And which is what we wanted to call out that doesn't seem to be the case, that dust is settling down.

Now combine that with a comment I've been making for a very long period of time in our calls that we believe that drug prices are secularly under -- going to be under pressure. right? We made this comment much before any of this thing has started.

And what you are seeing is a validation of that, right? If drug prices are going to be secularly under pressure, companies will have to continue to become more efficient and effective. That plays squarely into our positioning, right? That's where we step in where companies are saying that we will have to decide that they have to run their medical and commercial operations in a much more efficient way, and that's what we offer.

Now tie this to what I'm saying is that we see customers who are slightly -- who are obviously after the huge COVID wave consolidating, they're coming back now to the table in terms of saying how can they move us upstream, how can they get it laid downstream, right?

In IDS, we heard themes like no rep launches, right, all kinds of things. So we're seeing customers now opening up and thinking about where do they take their various strategic digital initiatives in. And of course, AI is becoming another big driver for that because they believe that much more can be done using AI. I hope that answers your question.

Deep Shah: So it gives some context, but I'll probably take it late.

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Moderator: Next question comes from the line of Vijay Menon with Monarch Capital.

Vinay Menon: Just a few things. One is on Tectonic, you had mentioned in Q1, we had closed \$1 million deal. So any progress on that? And have we been able to get more deals on that?

Manish Gupta: Suhas, do you want to take it?

Suhas Prabhu: Yes, Manish. Yes. Certainly. Thanks, Vinay, for your question. So Tectonic even in the current

quarter has clocked close to \$1 million in revenue. And

therefore, for the first half, we've clocked \$2 million in revenue.

The encouraging part with Tectonic has been that in the current quarter, 2 more customers have become paid -- paying customers, though at a very small level at this point in time, but the encouraging part is that from unpaid pilots, we managed to convert 2 more customers into paid projects, but it's still very early with them, but that's an encouraging sign.

And having said that, the pipeline with the 2 customers that we were already having revenues in Tectonic starting last quarter. The pipeline is building up very fast. It's looking very promising. And we are hopeful that in the current quarter, we would be able to close a lot of that pipeline given that a lot of this planning especially for longer -term engagements tend to happen with the planning cycle of our customers.

And in this case, also is Jan to December planning cycle. We are hopeful of those conversions happening by the end of December, if not maybe early January, but for this renewal cycle, these should be the incremental scope of work that we've signed.

Vinay Menon: And one more thing. I just want to ask on the brand activation part. So in Q1, you had mentioned that there was some project deferral and a large project also closed. So any strategy to revive this segment or...

Suhas Prabhu: Yes, Vinay, and the impact of that was partial in the last quarter and continued the full quarter impact in the current quarter as well. But having said that, there's a significant effort on new engagements and so on and we have a good pipeline that has been built up. Unfortunately, has taken more time to close than we anticipated, but there's a healthy pipeline, and we are hopeful to see those convert in the current quarter.

One other thing that I would want to refer to is in the last quarter, we had also mentioned that there was a win for the Brand Activation segment, which has just taken off in the current quarter, but a significant ramp -up will be there in quarter 3, which would partially fill in the degrowth that we are seeing from the project that ended in Q1.

Moderator: Next question comes from the line of Prakash Kapadia with Kapadia Financial Services.

Prakash Kapadia: I just had one question. If I look at the H1 operating cash flow, it has actually improved from INR1.35 billion to INR2 billion. Receivables have come off in first half, and they've been declining as a trend over the last 2, 3 years. So what is leading to this decline? And can they further decline as we move towards the second half and beyond?

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Suhas Prabhu: Thanks, Prakash, for your question. As far as cash flows and more importantly, the AR levels are concerned, there's a bit of a seasonality in our business. Typically, in December, we have a peak in terms of invoices that we send out and that results in a higher DSO, higher AR levels in December. It comes down a little in March, given that a lot of that converts to cash flow with a 60- to 90 -day credit period.

But 90 days sometimes moves into beyond March from a collection perspective and tends to be a little more elevated levels of AR in March, while typically June and September quarters are when these are not as elevated as the other 2 quarters. That's a bit of seasonality on the invoicing and related cash flow that we have experienced in the past.

Prakash Kapadia: But you mentioned typically like the IT companies, you don't see a seasonality as far as revenues go. So why does that seasonality happen in terms of the billing cycle?

Suhas Prabhu: Yes. So to further clarify, while our revenue doesn't get impacted -- from an invoicing perspective, we see a bit of slowness in the July, August period, which is summer vacations in Europe and U.S. And what we have as a practice at Indegene is to get customer consents before we send out the invoices. And th

ese holidays tend to delay it.

But at the same time, there's an acceleration in the invoicing in the quarter ending December.

Many of our customers in December want us to send invoices ahead of their year -end rather than in normal course, which would have gone, say, the first week of the next month, and that tends to elevate or increase the level of AR in December, whereas the reverse happens in the quarter ending September, given that there are more holidays and unavailability of the customer tends to delay the invoicing cycle by a bit .

But that has no impact on the revenue. So there's no impact on the revenue from a seasonality perspective, but there would be an impact on the invoicing and related due dates, which impacts the cash flow.

Moderator: Next question comes from the line of Chirag Kachhadiya with Motilal Oswal Financial Services Limited.

Chirag Kachhadiya: I have just one question. Considering the challenging environment for the pharma sector in the

U.S. and whatever we have witnessed in past 1 year, can you share some qualitative insight, the type of conversations, which are ongoing with the client and the type of solutions, which they are asking and which they were asking a year back or 2 years back? Any change in the behavior in this client pattern or if you share some qualitative insight that would be useful.

Manish Gupta: Sure. So I can start off with that. Actually, the earlier part of my commentary was that there have been a lot of headlines announcements. But over the last few, I would say, months, right? But in general, the uncertainty now on the pharma industry seems to be -- seems to have reduced, right, very significantly. So companies continue to progress with their regular plans.

What has changed is pharma had a super active period for a couple of years during COVID, right, in terms of drug launches, various other things, obviously, digital acceleration. And they

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took -- after that, they went into a phase of slow growth in 2023, if I'm not '23 and a little bit of '24, but they are also doing consolidation of all the activities they had done.

What we see is that phase seems to be over, and they are back in terms of figuring out, seeing and expanding the scope of their centralization and digital initiatives they had taken at a central level, right? Tectonic as a result of that, we see multiple other things happening similar to that level.

We also see companies exploring the potential of AI -driven broader initiatives, right, much more than what we were seeing, let's say, call it, 12 months back. But it's still early days and this industry will be circumspect, but we're seeing many of those conversations. So overall, we see from a demand perspective or quality of engagement perspective, the environment to be much stronger than it was 12 to 18 months back.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Suhas Prabhu: Thank you, moderator. We thank all the participants for attending this call and spending your precious time with us. We also appreciate your continued interest in Indegene and such interactions with you. We hope to continue that in the future. And with that, we'll close this call today. Thanks, and have a great day.

Manish Gupta: Thank you...

Suhas Prabhu: Thank you.

Moderator: Thank you. On behalf of Indegene Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru-
560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: L73100KA1998PLC102040

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BSE Limited,
Phiroze Jeejeebhoy Towers,
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Dear Sir / Madam,

Sub: Transcript of the earnings conference call on financial results for the quarter ended December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended December 31, 2025, held on January 30, 2026.

The above information will be made available on the website of the Company: <https://www.indegene.com/>
This is for your information and records.

Yours Sincerely,
For Indegene Limited

Srishti Ramesh Kaushik
Company Secretary and Compliance Officer

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"Indegene Limited
Q3 FY26 Earnings Conference Call"
January 30, 2026

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF EXECUTIVE OFFICER
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER
MR. ABHISHEK AGARWAL – HEAD OF INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good morning, and welcome to the Indegene Limited Q3 FY26 Earnings

Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “ * ” then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Ag arwal from Indegene Limited. Thank you, and over to you, sir.

Abhishek Agarwal: Thank you, moderator. A very good morning to all of you and thank you for joining us today for Indegene's earnings call conference for the third quarter and 9 months ended financial year 2026. Today, we have with us Mr. Manish Gupta, Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter.

I hope you have gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion will be forward -looking in nature and must be viewed in relation to risk pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek, and good morning, everyone. Thank you for joining our Q3 earnings call. It was a good quarter for Indegene. We grew revenue by 30.8% year -on-year and 17.1% quarter -on-quarter. Even if I exclude BioPharm, which was acquired effective October 2025, the growth was 18.3% year -on-year and 5.9% quarter -on-quarter. We delivered an Adjusted EBITDA margin of 18.5%. Our top 5 customers grew by 3.1% quarter -on-quarter, and 3 out of these top 5 customers are now \$25 million -plus accounts.

We continued deepening and broadening our relationships with our customers. The \$1 million -plus customers grew by 12 and now are 52. Our active customers grew by 10 and now are 86.

Our revenue per employee e now has crossed \$70,000 annual mark. This is, by far, the highest in the industry, underscoring the tangible impact of technology and AI and the very specialized nature of work we do. This is also a good quarter on new business generation front. We also had a marquee deal wins with large and small customers and performed well on the renewal front as well.

We won seven large deals exceeding \$1 million ACV each across three accounts in Q3.

(i) For a top 10 pharma company, we have secured omnichannel orchestration for the whole of U.S. for a multiproduct portfolio on the back of Indegene Invisage and BioPharm Tandem, combining AI to boost prescription without reliance on on -the-ground sales team. This engagement is expected to yield \$10 million -plus annual revenues with a 2.5 quarter lag post go-live, which means revenues will start accruing from Q2 FY27. We also secured a change management engagement for omnichannel operations from the same customer, the value exceeding \$1 million ACV.

(ii) A young emerging pharma, has entrusted Indegene with a product launch covering various aspects of both commercial and medical services, consisting of three work orders also aggregating over \$10 million.

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(iii) Finally, we won a \$20 million TCV business consisting of two work orders for being an end -to-end commercialization partner to a mid-sized biotech company. Gen AI is a key part of this partnership, and this engagement is expected to yield \$5 million of revenues in the first 12 months.

All these deals h

ave been won on the back of highly specialized resources and our AI -based platforms coming together to deliver very compelling value propositions for our clients.

Outside of these deals, there are other places where we increased our footprint as a strategic partner to our customers, again, using our domain expertise, specialized skills, technology expertise and Gen AI platforms to help transform our customers' operations across both commercial and medical ops. I am going to share some of the success es with you today.

- For a large medical device customer, we are managing global pharmacovigilance workflows using AI -driven automation, significantly reducing manual case processing and accelerating aggregate reporting. This is a multiyear \$7.5 million TCV deal, which has gone live effective January 2026.

- For a mid-sized pharma customer, we are reimagining their R&D operations through Gen AI and setting up a global innovation centre for them. We are deploying our AI -assisted NEXT Medical Writing Platform within the customer's private cloud AWS environment for regulatory use case as a start with many other document authoring expansion possibilities.

- Beyond some of these examples, we are also very actively engaging with our existing and prospective clients with what we are calling agency -less model, where AI -led modular solutions replace traditional fragmented agency structures.

Gen AI is creating productivity gains across our commercial and medical segments. We have been

expanding our catalogues to convert productivity into volume expansion by enabling our customers to do more. This has enabled us to deliver more for the same while also adding higher complexity work to our catalog, which helps penetrate deeper in adjacent spend areas.

The scale and mix of wins as also the pipeline and discussions reflect improving industry sentiment, faster customer decision cycles and the strength of Indegene's GTM approach combining Gen AI with domain expertise. All this points to strong momentum in the industry given the near to midterm outlook, impact of policy changes and increasing adoption of Gen AI.

With that, let me move to developments impacting the life science industry and its outlook. The bio pharma and life science industry remain resilient led by 20, 25 large companies that have consistently shaped the market over the last few decades. Despite a year filled with policy driven headlines - pharma tariffs, MFN pricing, H-1B visa discussions - the actual impact to the industry and consequently to Indegene has been minimal. Although MFN pricing has generated attention, its near-term impact remains limited.

All the pharma majors have now inked deals with the U.S. administration in return for pharma tariff reprieve and expedited drug application reviews, while conceding on pricing, impacting a very small segment of consumers, limiting the adverse impact. Further price increases to other segments are expected to offset the price reduction.

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The pharma industry enters 2026 with a stable growth outlook, strong innovation momentum and significant operational pressures and is expected to grow 5% -8% CAGR through 2029. While patent expiry and pricing pressures will persist, the order trends, M&A activity, increased access, strong innovation pipeline support the industry's growth outlook.

Importantly, as revenue for approved drugs steadily declines, pharma companies are under pressure to improve efficiency, expedite launches and modernize commercial operations. This creates a structural demand for Indegene's offering across content, medical, regulatory, safety and omnichannel operations with accelerated adoption of digital and AI-led transformation.

Now, having talked about the industry, let's spend some time diving slightly deeper in everyone's favourite theme and topic, AI. One

of the big benefits Gen AI should accrue and would accrue to the health care and life science industry is using Gen AI to accelerate discovery and hence more drugs getting into clinical trials, clinical trials being made more effective and efficient, more specialized and effective drugs being marketed and reaching patients. That's what Gen AI could enable. And this vision, of course, will require per unit cost of trials, compliance, sales and marketing to come down over time as volume of drugs increase. This is what we, at Indegene, are excited about, the role we can play in this industry.

At Indegene, given our scale, nature of engagement, specialized talents and very strategically thought to platform approach of Gen AI products. We are positioning ourselves and getting recognized as a strategic cutting-edge partner to deliver superior outcomes and not a point solution or a legacy provider stitching partnerships with point solutions to stay relevant. Our platform approach enables us to help clients reimagining their value chains, shifting from isolated productivity wins to holistic transformation. At this point in time, it's also useful to throw light on our three Gen AI platform approach, which helps us to reengineer and reimagine the entire process in three key areas.

1. Content Super App, which integrates agency of record, Tectonic, content production and MLR workflows. As an example, a top 20 pharma customer adopted our replicator module, which is a part of the Content Super App, for a few markets in Europe for two assets in a channel. As we successfully complete this deployment, we also have the ability to scale seamlessly across additional content formats and channels in global markets.
2. I already alluded to our NEXT Medical Writing Platform getting implemented with a mid-sized company. This is an enterprise-level engagement.
3. Audience Intelligence Platform powers omni-channel operations and analytics with modular AI components, where we are combining the power of Tandem IP acquired through BioPharm with our Invisage.

Now let me move to an update on the progress made with BioPharm post the acquisition effective October 1. On the integration of BioPharm, specifically transition of services such as IT, HR and finance from the seller to Indegene is on track for completion by March 31, 2026. BioPharm has seen no disruption in active engagements. Client response has been positive with many exploring combined Indegene-BioPharm capabilities. Employee integration is progressing well with a strong retention across the organization. Technology IT integration is progressing as planned and will conclude by year-end. Joint business development has begun delivering results, including two omnichannel wins with large

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Indegene customers, integrating BioPharm capabilities. Cost synergy totalling to around \$1 million per annum is expected to accrue progressively in FY27 and have been identified for action.

Now finally, let me talk about the segment integration which we've gone ahead and done. In our previous earnings calls, we had mentioned that BioPharm is integrated within Enterprise Commercial Solutions . Also Tectonic, which is a combination of enterprise commercial with capabilities acquired through CultHealth , is part of Enterprise Commercial Segment. There is an inevitable blurring of lines across the Enterprise Commercial segment and Brand Activation segment. Many capabilities and engagement start off as brand specific, but morph into enterprise segments or capabilities. We also are very clear that in the long run, the enterprise part of the business will continue to scale, and that's a very robust business. Reflecting this reality, we have integrated Brand Activation and BioPharm into Enterprise Commercial Segment. Going forward, the company will report results under three segments:

Enterprise Commercial,
Enterprise Medical and Others.

I will now hand over to Suhas for a deeper dive into financial performance. On to you, Suhas.

Suhas Prabhu: Thank you, Manish. And once again, a very good morning to everyone. Let me walk you through the key financial highlights for the quarter. Q3 was a strong quarter with revenue rising to INR9,421 million, reflecting a robust 30.8% year -on-year growth and 17.1% quarter -on-quarter growth.

Our growth in USD terms remained solid with revenue up 24.4% year -on-year and 15.1% quarter -on-quarter. Even excluding BioPharm, which we acquired during the quarter, we continued to deliver healthy progress, achieving 3.9% sequential growth in U SD. EBITDA , adjusted for onetime expenses , came in at INR1,747 million, marking 15.7% year -on-year and 19.6% quarter -on-quarter increase. Notably, our adjusted EBITDA margins expanded to 18.5%, an improvement of 30 bps quarter -on-quarter.

One-time non -operational expenses related to the three acquisition transactions executed during the quarter and restructuring was INR105 million or \$1.2 million. During our last earnings call, we had outlined 150 basis points of impact due to planned investments towards enhancing our go -to-market capabilities and supporting business expansion beginning Quarter 3.

In addition to these planned investments, Quarter 3 also witnessed elevated costs related to upfront investments and go -live costs in large deals won in the recent past, which has been already mentioned on this call. As indicated in the previous call, we continue to expect EBITDA margin to return approximately to 20% over the next 6 to 8 quarters. EBITDA is expected to begin sequential improvement from Quarter 1 of FY27.

Moving on to PAT. PAT for the quarter was INR1,026 million, reflecting 0.5% sequential increase and 6.5% decline year -on-year with a PAT margin of 10.9%. Adjusting for onetime expenses, net of tax, PAT margin would have been 11.7%. Beyond these onetime items, PAT performance was primarily impacted by

1. Lower interest income given the \$65 million reduction in investment and surpluses in the U.S. following the BioPharm acquisition, also coupled with lower yields due to declining interest rates in both India and U.S.

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2. Higher Depreciation and Amortization as non-cash charges, increased from INR234 million in Quarter 2 to INR396 million in Quarter 3, reflecting amortization of the intangibles from the recent acquisition. Amortization is expected to remain elevated for the next 3 quarters before reducing by INR50 million per quarter starting Quarter 3 of FY27 and a further approximate INR25 million per quarter decline beginning Quarter 3 of FY28. We have presented additional details in the investor presentation uploaded on our website.

Both these impacted about 205 basis points at a PBT level and 156 basis points at the PAT level. With BioPharm integration -related synergies beginning to take shape, M&A -related costs tapering off and the underlying business momentum remaining strong, we expect PAT to strengthen and support EPS expansion.

The geographic mix of the business remains stable with 97% of contribution continuing to come from the U.S. and European markets. North America more specifically accounted for 71.8% and Europe 25.5% of our revenues. These numbers have moved up specifically for the Commercial Segment and North America following the impact of the acquisition of BioPharm, which is entirely a U.S. -based business.

Moving to renewals. Most of our annuity business and work orders are renewed in this period as most customers have a Jan to December fiscal. While formal documentation is underway for a few, we have closed or nearly closed terms with most contracts which are due for renewal. During this cycle, we

identified pockets of customers where, depending on

the centralization maturity of the client, we proactively approach them with our Gen AI -enabled solutions and have been successful in offering certain benefits on price in lieu of volume or scope expansion. Overall, the renewals were stable in value terms with these Gen AI -led forays expected to yield positive results as volumes for the new deliverables included in our work orders ramp up through the period.

Overall, we head into 2026 from a position of strength with stable renewals, significant deal wins that Manish has already mentioned . Both of these providing confidence and momentum for the year ahead. With that, I'll pause here and move to your questions. Happy to take them along with Manish. Back to you, moderator.

Moderator: Thank you very much. We have first question from the line of Vinay from Monarch Capital. Please go ahead.

Vinay: A few questions from my side. One, we've added about 7 to 8 clients in the \$1 million in this quarter, and that is organically. Anything which helped this and what kind of momentum can we see going ahead?

Manish Gupta: Hi Vinay. So, first of all, our teams are in place and now , after a bit of consolidation in the industry, we see clients are back on the table . Everybody is now thinking about what next to do, what to be implemented.

And I would say that at least in the smaller companies, the decision -making cycles are also more agile and shorter . That whole trend, coupled with the fact that we've got a solid team executing on the ground, has helped this. Suhas, do you want to add on anything?

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Suhas Prabhu: Yes. Vinay, thanks for the question. This has always been our approach at Indegene to get the breakthrough, expand, get into the doors, get into larger projects. And as we transform those projects from one -off projects to larger annuity businesses and enterprise deals, we see our customers growing into that \$1 million and beyond. And the success of those forays is what reflects in the increase in our \$1 million -plus customers.

Vinay: Okay. And on the BioPharm side, how are we looking at that? Because in the last few years, in terms of growth -wise, it was a little tepid. So, are we seeing some good momentum on BioPharm post the acquisition?

Manish Gupta: It's just a quarter, but the customer conversations have been very positive. We have been taking them to our customers, and they are excited about the joint proposition. The pipeline is building up. We also had done shows with their customers . And there, the acceptance was very high .

Everyone was super thrilled that a company like Indegene has become the new home for BioPharm, which has much more specialized capabilities. We're going to see how this plays out. But overall, we are very bullish about what we can do with this business.

Suhas Prabhu: To add on to that, BioPharm, during the quarter, did \$10.3 million of revenue on a stand -alone basis. And this does not include certain pass -through costs, which are the media buying costs and are reimbursed by our customers. While typically the calendar quarter 4 is a strong quarter for BioPharm, we feel encouraged by a couple of deals that we have won which include BioPharm capabilities.

Manish already mentioned in his commentary the Tandem IP getting integrated and being offered as a single offering to our customers. And its early days on transforming the brand engagements to enterprise engagements, but we are having very serious and exciting conversations with our customers, both at BioPharm and Indegene customers.

Vinay: Okay. And just one last question. We've always kind of given the guidance of mid -teens growth. But this quarter, even apart from BioPharm, you did about 18% plus growth. So, are we looking at a stronger market ahead? And would we look at maybe growing at higher teens instead of mid -teens going ahead?
Suhas

Prabhu: Vinay, we would refrain from giving out any guidance going into the future. But having said that, our performance quarter -on-quarter has increased as you saw last quarter as well as in Quarter 3. And the deal win pipeline , that Manish already mentioned , has been robust. So, we believe that this would be steady and increase hereon.

Moderator: We have the next question from the line of Sathishkumar from Kotak Securities.

Sathishkumar : A couple of questions. One is now with the brand business, acquisition of Cult and BioPharm becoming significant for Indegene, I mean, we have seen the growth in the brand businesses more than the enterprise business. So, any risk of drag on growth from these business in the near term? And second is what is the outlook for growth in the top accounts? And has the pipeline normalized for some of the accounts which were impacted earlier?

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Manish Gupta: Yes. Let me start with the last point. Our pipeline in the large accounts is robust. It's just the conversion has taken more time than what we expected it to. So overall, we believe that over the next few quarters, you'll start seeing growth in top accounts overall.

Even some of the customers where we had issues, we are gaining momentum, and we're getting back in those businesses. So that part of the equation, right now, looks robust.

Now as far as brand and enterprise is concerned, we don't see a risk of drag on growth. Because strategically, Indegene has grown from the enterprise route. But now with Gen AI, with more centralization as a theme, which is also driven by Gen AI and the pressures on the industry, we clearly see an opportunity of moving upstream, downstream from a centralization perspective.

A lot of the upstream processes are with the brands. That's where centralization will play out. It's super critical to have credibility with the brand teams. And we have acquired those capabilities, build those capabilities. Using that, we drive centralization theme at an enterprise level.

And that is clearly how customers are thinking. It's still early days. A few customers have moved on that, and that's where we are seeing traction. But given what we have seen in the industry, over time, these things become a trend. And we will be benefiting from this trend. And if you think about it, there's nobody who will be able to bring capabilities the way we do from an enterprise and brand perspective.

Moderator: We have the next question from the line of Chirag Kachhadiya from Motilal Oswal Financial Services Limited.

Chirag Kachhadiya: A couple of questions. So, you mentioned that the current phase of renewal cycle from calendar year's perspective. So, can you shed some light like what volume increase we are witnessing from the existing top accounts? And second, also from the new logos, what volume increase we are witnessing on YoY front? Also, from the pricing point of view, what are the trends at the moment?

Suhas Prabhu: Thanks, Chirag, for your questions. So firstly, as I mentioned, renewals have been fairly stable. And on value terms, we're seeing this net-net to be in line with our expectation of what we started the year from an order book. And on top of it, we have added new customers where the 6-month, 3-month kind of engagements have now converted to an annual annuity business, and that is the volume increase or net value increase that we are seeing on the renewals.

Now more specifically, on the pricing front, we're not seeing any specific trends. What I would mention here is that there have been more customers where our cost-of-living adjustments have been accepted and very few where there were negotiations. And the net impact from a cost-of-living adjustment is positive.

But this impacts a very small portion of our business, given that this applies only on the time and material part

of the business and a larger business is the catalogue pricing or the fixed price contracts.

And further, as I had already mentioned in the call earlier, there are pockets where we have proactively gone ahead and offered certain benefits to our customers coming largely out of sharing the Gen AI-led productivity benefits that we anticipate.

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And we have expanded the scope by way of adding new deliverables that we would also start witnessing in the future. Now those volumes need to crystallize in the future. So, there would not be an ability to put a hard number on that at this point in time. Hopefully, that clarifies on both your questions, Chirag.

Manish Gupta: I want to probably just take a minute to explain this because this is fairly important, what Suhas explained. If you got to think about it, brands and marketing gets budget, Gen AI is enabling more to be done at a per-unit level. Any savings, the brand doesn't pass it on back to enterprise because they are not incentivized to do that. They are incentivized to hit revenue targets. They come back to us and say, what else can I do. And that is what we are seeing with the increased catalogue, moving upstream, downstream over here.

Chirag Kachhadiya: One last question. At BioPharm, in your other expenses line item, anything onetime gain during this quarter, which earlier not mentioned?

Suhas Prabhu: Yes, as you rightly observed, what we earlier mentioned, these were one-time expenses which are the legal fees, diligence fees and the like that we pay to the advisers and therefore, the 3 transactions that we did and certain associated restructuring. This was \$1.2 million in dollar terms. These are transient costs and not expected to recur going forward.

Moderator: We have the next question from the line of Sucrit D. Patil from Eyesight Fintrade Pvt Ltd.

Sucrit D. Patil: I have two following questions. My first question to Mr. Gupta is, as global life science companies increasingly emphasize on digital engagement, data-driven commercialization and AI-enabled solutions, how is Indegene positioning its platform and service offerings to deepen client relationships and expand its role across the pharma value chain?

In addition to this, how are you balancing scaling newer digital capabilities while maintaining execution excellence and long-term differentiation in the competitive space? That's my first question? I'll ask my

second question after this.

Manish Gupta: I could talk about your first question for half an hour. It's a very broad question. But listen, we are very excited about this what's going on in the industry at this point of time. While we started the company 27 years back, it's almost that we were waiting for this moment.

Our broader positioning right from day 1 when we started the company was that we integrate deep medical expertise, health care expertise with technology expertise. And we continued on that part. Technologies evolved over time. From early days, we are working on mobile. I keep on giving the example of PalmPilot to SCOM -based platforms, digital, mobile. And AI is something which we have been engaging with from the last 9 years. In 2016, I remember setting up the office of CTO and saying we're going to take machine learning, computer vision and NLP and start driving productivity across the board and effectively.

So that's our broad positioning as a company which brings domain expertise and technology, knows how to deploy technology and also reduces the risk of any noncompliance and customers spending much more time in educating their partner given the specialized nature of work we do.

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Today, we are positioning ourselves in the market and what we are building is a next-generation company, which enables this global ph

arma industry to take a drug from the lab right to a patient's hands. And whatever needs to be done for that, whether it's sales and marketing, patient engagement, regulatory services, medical affairs and parts of clinical trials. Those are the areas in which we are changing how they are done using Gen AI. And customers are seeing that happen. Now, as far as your thing about how we maintain scale and operational excellence. I think that's, as Indegene, we've been pretty good at that. The operational track record over so many years, how we have grown customers, how we have maintained ESAT, CSAT, while preserving margin. That DNA is pretty strong in the company, and we continue to invest in that. Now there are multiple other things which we are doing. We're implementing a Malcolm Baldrige Model in the company to strengthen our processes. We are automating a lot of our internal processes. We have upskilling for our employees. We have Gen AI for all as an initiative for our employees. It can go on and on across the board on some of these internal initiatives, which is something which we have been traditionally very good at.

Suhas, do you want to double click on anything?

Suhas Prabhu: Yes. Let me probably try and put some financial metrics out there in relation to this. The office of the CTO or our investments in these kind of forays that Manish already mentioned, in financial terms, is in the region of 1.8% of revenues, and this has been fairly steady over the last 3, 4 years now. So, this continues.

And on top of it, we mentioned, 1.5% or 150 bps investment for enhancing growth in future, a significant portion or a major portion of that is towards some of the acceleration initiatives in Gen AI. And therefore, we don't see any significant change in our margins hereon because we are already investing and our financials already factor these costs in our past performance.

Sucrit D. Patil: That answers my second question also. Best luck for the next quarter.

Manish Gupta: Thank you.

Moderator: We have the next question from the line of Kawaljeet Saluja from Kotak Securities.

Kawaljeet Saluja: Manish, I have a couple of questions. First is that from your presentation and initial comments, it seems like AI will augment and accelerate your growth rate rather than acting as a headwind, which is the case for the rest of the industry. Is that understanding correct? And if yes, can you just lay out in simple terms as to how AI will augment or assist your growth rate?

Manish Gupta: You're absolutely correct. We are very clear that AI is going to be a positive tailwind for us. And here is why we believe AI is going to be a positive tailwind. Let me start with a very specific thing of sales and marketing, which is where we get a significant portion of our revenues from. Enterprise Commercial Solutions was the largest segment, and we won a lot in that area.

Enterprise Commercial Segments came into existence over the last 15 years because of a few things: as digital started happening, complexity & the content volume increased many times, which was getting pumped to doctors and patients.

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The tech stack complexity increased for customers, and the compliance risk increased. So, companies had to do more centralization and start taking as a theme. Some processes got centralized and we took a share of that.

Now with AI, customers are saying that I could do much more. And AI is not going to be done in a decentralized way. You think about a large pharma company with operations in 50 countries, 25-30

brands . They can't be having all their brand managers trained and requesting them to do AI. They will have to drive more centralization. That's what we are seeing with some of the early companies. And they are driving more centralization and more processes, upstream, downstream, many more high va

lue -

added processes. And when that is happening, we are positioned very well to take a large share of that.

As I said, the specialized skill sets and the internal tech stack, which we have built. Now I can extrapolate the same marketing example I gave to regulatory, to safety and, over time, to clinical trials.

Kawaljeet Saluja: Okay, that's reasonably clear. Just a couple of questions for Suhas. Suhas, first is that cash is back to where it was on a YoY comparison despite cash outflow for acquisitions. Have you taken on debt on your books? Or is that basically just an indication of strong underlying free cash generation? And what would be your OCF to PAT conversion given that there's a fairly high amount of non -cash charge in your P&L?

Suhas Prabhu: Yes. Thanks, Kawal, and a very important observation. Thanks for bringing this up. So, cash flows have been significant, and we continue to generate significant cash. The balance is back to the past year levels despite the \$65 million for BioPharm and a little more for W arn.

The OCF to PAT ratio is 154%, given that there is significant non -cash charge, as you would understand, that the intangibles on the book need to be amortized over the period, but this doesn't obviously impact cash flows. Our cash flow to adjusted EBITDA is also a very healthy 90% during the quarter. And this enhanced ratio would continue given that the non -cash charge has increased in the P&L.

Kawaljeet Saluja: Noted. The third question is that Suhas, and actually for Manish as well, when you look at acquisitions, they can be fairly expensive when it comes to P&L hit due to amor tization and the consequent earnings dilution that it causes. So, when you look at acquisitions, is that a consideration? And if yes, how do you embed that into your decision making on whether to go ahead with an acquisition or not?

Manish Gupta: Kawal, when we look at acquisitions, the first thing which we look at it is what value does it add to our customer stack or the solution stack . Can we take whatever we are buying and combine with what we have and take a larger market share ? So that's the primary objective.

And then subsequent to that, we are also very disciplined in terms of what we are willing to pay for an acquisition, which is what you saw. This is a deal which will be sub -10 EBITDA multiple . And a company which has IP, has technology platforms. So, we are very disciplined on the overall price we are paying. That's t he next filter after the strategic filter.

And after that we spend time in terms of how the goodwill , amortization, all the stuff will play out and what will be the impact. And we try to do the best over there. But we're also very clear that we are being slightly more conservative, from an accounting standard perspective. We're not going very aggressive as we have seen some other companies do . So, we have been conservative on that. But Suhas, on the last point, do you want to double click on and give your approach?

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Suhas Prabhu: Sure. And Kawal, we have also provided some additional colour even in the investor presentation on the amortization, including how these would ramp down over a period. We understand that in the short term, there might be some non -cash impact, which impacts the PAT margin. But as this is a transaction for the long term, we have consciously provide d you and the street with how this would impact the margins going forward.

And the ramp down in the amortization over the next 4 quarters and then the 8 quarters should get it back to the sub 1.5% kind of a charge on our P&L. While in the near term, this might be having a higher impact on the PAT. But our cash flows will not get impacted, and we will continue to accumulate cash profits and go stronger on the balance sheet despite the non -cash charge.

Manish Gupta: As you

would see from the amortization schedule, FY28 itself, you start seeing bumps because of the lower amortization. And of course, FY29, it gets more or less normalized.

Kawaljeet Saluja: Right. That's clear. And let me just sneak in a couple of more questions, if you permit. The first one is that, of course, the focus is always on the long term, but you have to balance that with, let's say, n ear-term considerations as well?

And I think one of the areas where there is basically some apprehension is on EBITDA margin because that seem to have declined. So, let's say, if you are an investor, how do you get that comfort that, let's say, if you have to lay out a trajectory on profitability, how would that shape out over the next 1, 2, 3, 4 quarters?

So, if you can just provide some broad direction, that's the first question. And second, can you detail out or flesh out your hedging policy? And does that need a relook in the context of the sharp currency moves here?

Manish Gupta: I'll kick it off and then pass it on to Suhas. As an investor, if you look at our track record, in FY22, we took a hit on our margins to take more market share and then bought back the margins within a few quarters . And we have very clearly laid down that in the next 6 to 8 quarters, we will get our margins

back to the levels we were at . And we have an internal game plan to that . Some bit of it is volume driven, but also, we see pockets where we can drive efficiency over the next few quarters. Between me and Suhas, we are very actively tracking that and executing on that. We have laid that out. And going back, I would also see that there is track record of doing that as recently as a few years back. Suhas, you want to double click and give more details?

Suhas Prabhu: Sure. And margins at an EBITDA level, we believe will hold and start improving going forward. Kawal, and as Manish already mentioned, there would be certain transient costs with higher growth rates, meaning higher upfront or setup costs, but these would get normalized progressively through the quarters going forward.

Coming to the second part, hedging policy. These are reviewed periodically. We had done a review 6 months ago, where we looked at the hedge accounting versus the mark -to-market accounting. We've been doing that again in the current quarter.

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We'll seek input from experts. We'll have currency experts who are advisers to us on retainers as well as people from the industry and review our practices to keep it consistent with what the industry does, but also importantly, what that means for us as a business.

We believe that our policies have resulted in our financial performance is not getting impacted adversely. This is a risk management policy, and therefore, adversely, whether positively or negatively, given the drastic variations, and we believe that objective has been met. But having said that, we do review this on a periodic basis.

Moderator: We have the next question from the line of Seema Nayak from ICICI Securities.

Seema Nayak: My first question is on the change in classification. What's the reasoning behind merging Omnichannel with ECS? And second is on the margin impact, which has been very sharp. So how has the absence of wage hikes and one -time costs not resulted in material tailwinds for us? That's it from me.

Manish Gupta: Sure. Seema, as far as the merging of these segments are concerned, Omnichannel Brand Activation was single digit as a percentage of our revenues . It was around 8 -ish percent of revenues last quarter.

And on top of that, what we are seeing is the line between these blocks were blurring . As I mentioned, we have Tectonic and a lot of our Enterprise Commercial Solutions is moving upstream is on the back of all the capabilities that reside in brand activation .

We have an omnichannel business sitting in En

terprise Commercial Solutions. We also believe it's going

to significantly benefit from lot of the deep BioPharm capabilities that exist at a brand level . So, these lines were blurring, and we believe that these distinctions no longer actually held .

Over time, you would see larger deals happening in the Enterprise space. That's the direction we are heading into because we also believe that when change happens, enterprise wins . And we leverage the capability of brand activation. So that was , strategically , how we see the business growing, and that's why we colla psed these segments. Suhas, do you want to again give commentary on the margins?

Suhas Prabhu: Sure. Thanks, Seema. If I understood your question correctly, the wage hikes that we had in Quarter 2, why is there no impact of that in Quarter 3? Actually, the EBITDA margins on a consolidated basis has increased by 30 bps from the last quarter, which saw the wage hike.

So, this quarter specifically, there has been no additional wage hike. And the one -time costs, which is adjusted in the EBITDA has caused a 110-bps impact on the EBITDA margins. And therefore, the reported EBITDA would be 17.4%. And maybe you're also alluding to the labour code impact on our financials. Actually, there has been no material impact from the new labour code regulations of India, which has result ed in salary component cha nges, given the higher gratuity and leave encashment for many companies.

However, at Indegene, our comp structures have been such that we meet the threshold of 50% of our base pay being part of the total comp of our employees. And therefore, for the past many years now, our gratuity and leave encashment provisions have been at an enhanced level, exceeding 50%. And if there are further changes, we don't anticipate that to be material.

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Moderator: We have the next question from the line of Sid from Fidelity.

Siddharth : One question I had on the margins and EBITDA. So, I think in your initial comments, you mentioned that EBITDA is expected to begin sequential improvement from Quarter 1 of FY27. So, are we expecting some EBITDA decline in the next quarter? Or am I getting it wrong? Or I just wanted to understand that.

Suhas Prabhu : Yes. So, Siddharth, we expect the next quarter to be fairly stable and increasing thereafter. As we have mentioned in the past, there are certain seasonalit y on margins. Our January to March quarter has the

midyear wage hikes, which are typically minimal. The main wage hikes are in the July quarter, which is already behind us.

And in the U.S., we have the payroll taxes and benefits reset. And a significant presence in the U.S., about 700 employees, would enhance cost in the coming quarter. While the rest of the operational costs, we believe, would actually improve. These would offset some of those gains. And therefore, Quarter 1 would be where the increase is anticipated.

Also, the integration benefits, the cost synergies that we mentioned earlier in the call, have been actioned in this quarter, the benefits of which will also be seen in the coming quarter, which is Quarter 1 of FY27.

Manish Gupta: The short answer is you'll see a steady earning. It's not declining, and then the increase will start from Q1.

Moderator: We have the next question from the line of Shirish Pardeshi from Motilal Oswal Financial Services Limited.

Shirish Pardeshi: Manish, you gave a little depth on the Gen AI strategy. So, my reference slide is number 10. So, I'm more inquisitive that if I look back 7 to 3 clients or maybe top 5 and 10 clients, this scale up or the implementation or execution or inquiries, to what percentage of client it would have happened in top 5?

Manish Gupta: So Shirish, in our clients, Gen AI and AI-based products are being used. It's a very core part of our proposition. It's not a shift which is h

appening. Again, if you think about it, all our revenues were digital

earlier. And by the way, our pricing was per unit. That's a very important part. Our commercial construct was that from day 1, we were incentivized to drive automation, drive efficiency and effectiveness. And hence, we have been investing and deploying AI-based solutions earlier which, over time, became Gen AI-based solutions in pretty much all our engagements. It's a very integral part of our operating model.

Shirish Pardeshi: And if I split ECS and EMS, where do you see this aggressive demand or maybe use cases ramping up from the client side?

Manish Gupta: Suhas, do you want to talk about it?

Suhas Prabhu: Yes. So, I wouldn't say that there is any specific trend on the demand side, Shirish. But what we are witnessing is that the pace of adoption or change in the current or the near term is higher on the Commercial side. Typically, in our past experience, it is faster in some of these initiatives compared to the Enterprise Medical side, wherein a lot is also risk management, compliance management functions, which tend to be a little bit more conservative or very deliberate and calculated in the adoption journey. Indegene Limited

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But on the demand side, I would say there's no specific trend. Both places we are seeing conversations, pipeline and demand shaping up with Gen AI embedded.

Manish Gupta: And if you just peel the deals which I spoke about, they are in both commercial and medical space.

Moderator: In the interest of time, we will take the last question from the line of Mohammed Patel from Edelweiss Public Alternatives.

Mohammed Patel: I only have one question. So, I wanted to have clarity on the investments that we are doing. So, we said EBITDA margin compression of 1.5% due to this investment. So, I wanted to understand what exactly is the nature of this investment?

Manish Gupta: So, we have hired a bunch of senior folks in our go-to-market teams, people who are solutioning, domain experts in Enterprise Commercial Solutions and Enterprise Medical Solutions, both. We have hired senior talent with some very specialized skill sets in markets. So that's some of the large investments which are there.

And of course, as Suhas alluded, in Q3, we also had some costs associated with projects which started, where we signed up orders and we started incurring costs where the revenue ramp-up will happen later.

Suhas, do you want to double-click on this?

Suhas Prabhu: Yes. Thanks, Mohammed. I would also request you to go through our Q2 commentary where we have provided the breakup of the impact, the 150 bps that we mentioned. But to again emphasize on that, these were on three vectors.

Manish already mentioned the go-to-market. The second was capabilities. Senior folks who work with both the operations and the go-to-market to provide the right solution, bringing in new technologies into these solutions. And finally, the Gen AI licensing, cloud infrastructure and security costs that have been enhanced to ensure that there are the right infrastructure and controls and checks mechanisms as we start making more and more investments in this foray. We can't be left behind on those fronts. And to again make it clear, at the cost of repetition, these have already impacted us in Q3. These are not costs that will enhance in the future. This is already in the past. We had already provided that as the likely impact in Quarter 3, the full quarter impact, and that is already behind us.

Moderator: Thank you, ladies and gentlemen. That concludes the question-and-answer session. I now hand the conference over to the management for the closing comments.

Suhas Prabhu: Thank you once again for your active participation and continued interest in Indegene. We look forward to your participation in the earnings calls and such opportunities go

ing forward. Appreciate all your
questions once again. Thank you and have a nice day.

Manish Gupta: Thank you, everyone. Thank you.

Moderator: Thank you, management members. On behalf of Indegene Limited, that concludes this conference.

Thank you for joining with us today, and you may now disconnect your lines.

(This document has been edited for readability and is not a verbatim record)

Call: May 2026

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru -
560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: L73100KA1998PLC102040

INDGN/SE/2026 -27/17

May 06, 2026

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter and year ended March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter and year ended March 31, 2026, held on 30th April 2026.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

Yours Sincerely,
For Indegene Limited

Srishti Ramesh Kaushik
Company Secretary and Compliance Officer

Encl: As above
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"Indegene Limited
Q4 and Annual FY26 Earnings Conference Call "
April 30, 2026

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF EXECUTIVE OFFICER
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER
MR. ABHISHEK AGARWAL – HEAD OF INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day, and welcome to the Indegene Limited Q4 and Annual FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Abhishek Agarwal, Head of Investor Relations, Indegene Limited. Thank you, and over to you, sir.

Abhishek Agarwal: Thank you, moderator. A very good morning to all of you and thank you for joining us today for Indegene's Earnings Conference Call for the fourth quarter and full year ended financial year 2026. Today, we have with us Mr. Manish Gupta, Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter.

I hope you have gone through our results release and the investor presentation, which have been uploaded on the website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion will be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out with the Investor Relations team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone, and welcome to Indegene's Q4 FY26 earnings call. I want to start by acknowledging what this quarter and the fiscal year represents and not just in numbers, but also in strategic progress. FY26 was a milestone year for Indegene on 2 fronts, Q4 FY26 was the first ever quarter in our history where our revenues exceeded ₹1,000 crores. And for the full year, our revenues crossed ₹3,500 crores. This is another first. Two thresholds crossed in a single quarter.

More importantly, these are not isolated milestones. These are culmination of deliberate compounding work across our customer portfolio, our domain capabilities, our technology stack and our people. I will cover 4 topics today - our customer portfolio performance, our GenAI-led innovation wins, our competitive differentiator and our forward outlook.

My colleague Suhas will take you through the financial details. So, let's get into the financial snapshot. As I said, Q4 was our first INR1,000 crores-plus quarter. FY26, our revenues came in at ₹35,105 million, which is our first more than ₹3,500 crores year. Our growth for the year in INR terms was 23.6% and in dollar terms 18.2% YoY. Now let's talk about our customer depth and relationships.

I'm going to start off with the top 20. Across 27 years in life sciences and as an operating partner to all 20 of the 20 global pharma companies, we have built a kind of relationship density that compounds over decades not quarters.

For our top 20 customers, FY26 was a year of strategic deepening. We expanded significantly with several of our top 20 accounts.

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1. Let me start with our largest customer. The customer is broadly stable in FY26. There was a bit of a hold due to a delay in a highly anticipated breakthrough as we continue to invest in the relationship.

The breakthrough came at the year-end. We won a significant Tectonic engagement starting with Germany and Suhas is going to talk about this later when he talks about the deals in the quarter. Now this then matters not just in its own right, but a very important beachhead with early results demonstrating value.

We are now actively in conversations with additional markets. The potential

here is pretty

significant. And FY27 is where we expect it to convert into visible growth and we are hoping this customer is going to cross over and become our first \$50 million-plus customer.

2. A third customer account this year crossed the \$25 million revenue threshold reinforcing the depth and stickiness of our relationship.

3. Finally, in Q3 of this year we closed a multiyear omnichannel deal exceeding \$10 million in ACV. This was a fairly strategic deal. This is going to be a template for the industry with a very large company and has positioned us very strategically in this time. The latter half of FY27 will see this deal converting to revenue.

Across the top 20 as a group, revenue grew from ₹22,082 million to ₹25,200 million in FY26, steady, compounding expansion driven by portfolio breadth and recurring engagements.

With that, let me move to beyond 20. This has been faster growth on an expanding base, and this is where I want to spend a moment. Because the growth beyond our top 20 tells an important story about Indegene's scalability. Our total active customer base grew from 73 to 91 during the

year.

The number of customers contributing more than \$1 million in annual revenue grew from 41 to 53, an approx. 30% increase. Growth in this cohort outpaced the top 20 on a percentage basis, demonstrating that our land and expand model is working further down the customer pyramid. Several of these newer relationships have already scaled to \$5 million ACV engagements. The message here is clear. Indegene is not just a top-heavy business dependent on a handful of accounts, we are building a diversified durable portfolio with accelerating momentum at every tier. This is the engine that compounds. The outside top 20 cohort is where today's \$1 million relationships become tomorrow's \$25 million relationships.

And FY26 already saw multiple new customers cross the \$5 million ACV threshold. The progression we ran inside the top 20 over the last decade is now playing out one tier down and it is doing so faster because of a few things. One is our own credibility and scale as a company and also because GenAI compresses the time to value.

Now let's talk about some of our AI-led solutions - where one of our values, innovation, is truly in motion. AI has been at the core of Indegene strategy for a decade. I remember setting up the office of CTO more than 10 years back and started investing heavily just in AI. The tangible

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proof of our ability to leverage AI is visible in our industry-leading revenue per employee, now at approximately USD75,000 per annum, up from USD 56,000, 3 years back.

This is a step change in productivity driven by embedding technology and AI into how we deliver, coupled with our predominant managed-outcome pricing model. And we have not stopped.

We have a program called Transform AI inside the company. This program is targeting a further step change in adjusted revenue per employee as we continue to win upstream in adjacent areas and new revenue pools opening due to AI. All this stuff while we reengineer our own processes from the ground up.

This is what gives us confidence not only in our competitiveness, but also on the operating leverage in the coming years. What has changed in FY26 is pace of customer adoption and the size of the mandates we are winning on the back of GenAI-led solutions.

I will talk you through some specific wins, each demonstrating a different dimension of our capability.

Let me again talk about the GenAI-powered omnichannel orchestration deal with a top 5 customer, which I alluded to in our customer segment just a few minutes back. This customer selected Indegene for omnichannel orchestration using our Invisage platform and Tandem data capabilities acquired through BioPharm. The mandate covers personalized GenAI targeting across a multip

roduct U.S. portfolio, which is north of \$1 billion, approaching patent expiry. We are deploying on an outcome-focused commercial model, maximizing the profitability window of mature assets. This is GenAI embedded directly into revenue outcomes of this client.

With that, let me move to another one. Now this is end-to-end commercialization for a mid-sized biotech firm. A mid-sized biotech firm chose Indegene as a sole commercialization partner entrusting us with full life cycle: CRM implementation, global marketing content creation, and multichannel deployment. This is an integrated model that differentiates Indegene as a single partner capable of running the entire commercial engine.

Here, the client actually said, while we are doing CRM implementation, it's not just a technology implementation. It's a business transformation project and engagement, and we need somebody who understands our business well.

Let me talk about another one, an emerging pharma company for a complete product launch. An emerging pharma engaged Indegene to manage an end-to-end product launch across both commercial and medical functions. This is a replicable blueprint for hundreds of mid-tier and specialty pharma companies entering commercialization, a segment we are deliberately targeting as a high growth opportunity.

Let me move to the fourth one. AI-driven pharmacovigilance for safety. For large medical devices client, we are now managing global pharmacovigilance workflows using our proprietary NAEM (Next Adverse Event Management) technology, which is all AI based. This has significantly reduced manual-based processing volumes and accelerated aggregate reporting

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timelines. The win demonstrates our AI-led innovation extends into medical and regulatory

domain, not just commercial.

Let me talk now about one on the regulatory side after having spoken about safety. We set up a global innovation center model for a very fast -growing company, with more than \$100 billion market cap. Within our enterprises medical services segment, we piloted a global innovation center where we are reimagining R&D operations from the ground up. We are using GenAI to accelerate FDA submissions and compress molecules speed -to-market. If this scale is as anticipated, it represents a structural change in how pharma companies approach R&D operations. You think about it - you're cutting down the cycle time from a couple of months to a few weeks and that is unlocking significant value for companies and for patients, and Indegene is the one partner enabling it.

The next one I'm talking about is super exciting, although it's a pilot in very early days, but it has the potential to truly transform the industry. Agency -led AOR : 3 months to 3 days. 3 months to 3 days. This is what we demonstrated in a top 20 company for a very strategic upstream brand work. We piloted an Agency -of-record model without the agency. Working with a large pharma customer, we demonstrated the ability to create scientific briefs, creatives and near final concepts in 3 days with our Content Super App agents. This is what an agency -of-record in the United States, Europe typically does in a few months and is a very expensive process. This included doing a quick voice of the customer research, primary research using synthetic KOLs, using our proprietary Invisage and Tandem products. This was achieved through live co -creation workshops with the clients, replacing isolated agency processes with real -time technology enabled operating model.

This pilot along with global innovation model has genuine industry transformation potential. We are watching adoption signals closely and are very confident these pilots will succeed and get into real engagement in this financial year.

Given the strategic nature of these engagements, we continue to over invest in them

. We're

already seeing significant interest in this engagement in the industry overall and we are talking about them with all the clients and people are very open and receptive to learn from these. And we believe this has the potential to position us very strongly for the future.

I also want to talk about what specifics set us apart when we win these deals and what we learned in FY26 because it shapes everything we do.

GenAI equalizes access to technology. It does not equal access to knowledge. Every service firm now has the same foundation models, the same APIs, the same coding copilots. What separates winners from the rest is the depth of domain knowledge they bring on top and how systematically they convert it into agentic human in the loop workflows to deliver real business outcomes. For Indegene, with 27 years of life science expertise and a third of our workforce in deep-domain roles - medical (within medical, different therapy areas, different specializations), brand, creative, digital, analytics and tech- experiences of nuances of all the regulated and critical workflows, our own proprietary data. are not just relevant in the AI world, they are absolutely essential.

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These six wins are not isolated. They roll up into five next generation operating models we are now actively running in the market : One-Click submissions, Human -less Medical Legal Review processes, Agentic AOR, AI-embedded engagement, and Intelligent R&D operations. Each one of these replaces a manual fragmented industry process with a platform -driven, AI-embedded one. Each is a category we believe Indegene will define in years to come.

With that, let me move to another important thing which we have been grappling with for some time, and it's important that we talk about this very directly - Our category. We are a strategic partner for life sciences. And the most common mistake we see how we are analyzed is the one we want to correct today. Indegene is not an IT services company that happens to serve life sciences. Indegene is the strategic operating partner for the life science industry, purpose built over 27 years to design and run complex regulated commercial, medical and R&D operating models that define how this very important industry works. This distinction is not semantic. It is structural and it changes everything about how AI affects our business.

This isn't a claim. It's a pattern. Every decade, one force has reshaped life sciences. In the 1990s, it was globalization. Unfortunately, for the industry, we were not there as a company at that point in time. In the 2000s, it was move to digital. We are the ones who built digital field engagements very early on. In 2010s, it was content at scale, automated MLR ; we built platform -driven content operations. Now as AI is at work, we already have and continue to run embedded AI operations at scale, and we've been doing this for a decade. When the industry transforms, Indegene leads. We don't react. We're already running the new model. And as I mentioned, and I'm going to say again, we started a decade back.

Four structural differences define our position and let me unpack each of these. This is fairly critical.

1. We are a revenue partner, not a cost partner. We are embedded in the commercial and medical functions that generate revenue for our customers. Our primary stakeholders in client organizations are Chief Marketing Officers, the brand heads, the therapy heads, Chief Medical Officers on the medical affairs side, regulatory, safety teams. These customers don't come to us to cut costs, they come to grow their revenue, accelerate launches, improve pipeline success, manage compliance and risk for them. AI is a growth enabler for our clients, not a signal to reduce spend on partners like Indegene.

2. The next one, and fairly important. Do

main-led judgement intensive work, the work we do

includes therapeutic content strategy, regulatory submissions, pharmacovigilance, omnichannel orchestration across the globe and very different markets, requires deep domain judgement that AI augments, but is not replacing. =I want to emphasize these are in very regulated areas. This is fundamentally different from coding or infrastructure where AI reception is far more direct.

3. The third one and something which I remember talking with a lot of whom we met during our road shows in '23. Our outcome alliance commercial model. In an AI-enabled world, effort-based pricing is breaking down. Clients now don't pay for hours that AI does in seconds. Outcomes are becoming the new currency, and we've been operating on output and outcome-based contracts for years. We did not have to convert. We are the ones who rolled this playbook.

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4. Let me take a step back and look at who plays in our space, who are the competitors. Strategic advisors bring frameworks but exit before execution. Global integrators bring scale but lack life sciences depth. IT offshore scalars compete on volume efficiency, but that is a fundamentally different category from ours. Sector boutiques have depth but lack platform leverage (tech and operating model). Indegene is the only player in life sciences that combines deep domain expertise, embedded AI platforms and outcome ownership at enterprise scale. Our true competition is agencies and CRO, and we are taking share from them accelerated by GenAI. And the pie itself is growing. As we run the themes I just spoke about, we are absorbing spend pools that did not previously sit with service partners like us - agency budgets, CRO clinical operations, internal regulatory costs. GenAI is not just shifting share, it grows our addressable market.

With that, let me come back to FY26. It was not just financial milestones. We delivered 4 strategic achievements that set up Indegene's next chapter, not only for FY27 but beyond.

1. We made 3 acquisitions. BioPharm strengthened our omnichannel data and targeting capabilities in the commercial segment. Warn and Cake Communications are not new market entries, they are strategic additions of people with deep expertise and local market knowledge in key European geographies. This matters because as we take our global delivery model in Europe, credibility and relationships on the ground are decisive. We just spoke about our Tectonic engagement with our largest client in Germany. And now you can understand why we did Cake as an acquisition. These teams give us the ability to expand engagement from regional to global with local legitimacy.

2. Tectonic at scale is the next one. Tectonic is our transformation model that combines GenAI with deep creative expertise to disrupt the traditional agency approach of developing creative through effort intensive cycles that stretch over months. At year end we have secured 5 customers, 2 of them have already transitioned from pilot projects to long-term engagements. Crucially, the Q4 win in Germany with our largest customers provides strong momentum heading into FY27 with additional markets are actively in conversation, Tectonic is on track to become a material growth driver for enterprise commercial in FY27.

3. Third one and we spoke to you about in our Q2 earnings call. We recruited senior leadership talent and thought leaders across our commercial medical leadership, strengthening our ability to engage at the C-suite level and we are having more and more of those conversations as we pursue more complex, larger transformation mandates for our clients.

4. Last but not least, technology leadership. We maintained our innovation edge by embedding GenAI across the platform. Our next-generation Content Super App and Medical Writing Platform, both b

uilt by reimagining end-to-end customer workflows, are now in active deployment. Cortex is continuing to scale and get embedded in all the stuff we do. These are not incremental upgrades, they are category-defining products.

Together, these 4 moves - Inorganic depth in Europe, Tectonic at scale, Senior go-to-market bench, and category-defining platforms - are what gives us conviction in growth in FY27 and

With that, let me pass it over to Suhas.

Suhas Prabhu: Thank you, Manish. Good morning, everyone. Let me dive straight into the financial performance for the quarter and the year. Quarter 4 revenue came in about ₹10,000 million, the first quarter in Indegene's history to cross this threshold, growing 6.5% quarter -on-quarter and a strong 32.8% year -over-year. For the full year, the revenue was ₹35,105 million, reflecting a 23.6% growth in INR terms and 18.2% in USD terms, ahead of FY25 on both measures. Moving over to profitability. Our Q4 adjusted EBITDA came in at ₹1,889 million, growing 23.2% year -over-year. The full year adjusted EBITDA totalled ₹6,793 million, up 20.8% year -on-year.

Effective Jan 2026, we have categorized our forward contracts as cash flow hedges under Ind AS 109 and the adjustment to the EBITDA is made to reflect the impact on profitability if the contracts that were contracted between April 2025 and December 2025 were also considered as cash flow hedges effective start of the year. We had indicated this matter to be under consideration in our earlier call.

The high volatility in exchange rates, especially the depreciating INR against USD towards the closing days of the quarter has resulted in an incremental charge of ₹241 million in Q4 on the unexpired forward contracts. And therefore, this is the adjustment that we have done in the EBITDA from a like -to-like comparison. Considering this charge, the reported EBITDA would be lower at ₹1,648 million.

Moving ahead to PAT. We had a lower interest income due to lower yields and a higher amortization, as was mentioned in our Q3 earnings effective the acquisitions that we concluded in the recent past. Further, we have provided ₹203 million towards the estimated cost of settling the U.S. class action lawsuit filed in 2020 alleging breach of TCPA. I will delve more on this matter a little while later. This is a one -time non -recurring provision reflected as an exceptional item, and this impacts the PAT for Q4 and FY26 adversely. Hence, the Q4 PAT came in at ₹797 million and the full year PAT of ₹4,011 million, a 1.4% decline.

Excluding these non -operational onetime expenses and factoring retroactive adoption of the cash flow hedge accounting from the start year, PAT would be higher at ₹4,583 million, growing 12.7% year -on-year. On an adjusted basis, the underlying profitability of the business is meaningfully stronger than the reported figures suggest, and the year -on-year trajectory is firmly positive. I would request you to refer Slide 15 of the investor deck for more details.

Coming back to the exceptional item and the provision of ₹203 million. This is pertaining to a long outstanding matter, a U.S. class action lawsuit in 2020 relating breach of the Telephone Consumer Protection Act, which we had disclosed in our DRHP/RHP and provided updates as the case made slow progress over the year in our subsequent financials. In January 2026, both parties commenced a mediation process as was recommended by the court.

With multiple rounds of negotiations over the last 3 months facilitated by the court appointed mediator, we believe that we have now reached a stage of potential settlement and the ability to quantify the liability basis the terms laid by the mediator. As of today, the mediation process is

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close to completion with the terms being drafted

while the court approval is still awaited. Hence, we are making this provision basis such terms and the ₹203 million is the provision of the anticipated settlement.

Further, the origin of this case relates to an engagement in FY19-20 where we used fax as a channel for outreach. Faxes were rarely used prior to this engagement, and this is no longer an active channel for outreach.

And hence, we do not believe that there are any further such liability exposures beyond the one instance that we had in 2020. With that, I would want to spend a moment on the strong cash position. Cash generation is also another way to assess the operating health of the business and not just PAT. On that measure, FY26 was a standout year. Operating cash flows were ₹6,508 million versus ₹4,419 million in the prior year, which is a 162% ratio on PAT.

This is, of course, higher due to the higher non -cash expenses and amortization charges, but also an improvement in the DSOs to 63 days from 72 days in the past year. Free cash flows were a strong ₹6,065 million versus ₹4,119 million in the past year.

Our balance sheet at the year -end reflects this trend. We closed FY26 with a cash and investment

position of approximately ₹15,385 million, just ₹1,258 million lower than FY25 despite ₹7,253 million of outflows towards the acquisitions that we made during the year.

With this, let me move on to the dividend announcement. Consistent with this cash strength and reflecting the Board's confidence in the business, we have proposed a final dividend of ₹2.25 per equity share for FY26. This compares to ₹2 per share last year, a 12.5% increase. This recommendation is subject to shareholders' approval at the upcoming AGM and reflects both the strength of our FY26 earnings and our commitment to delivering consistent returns to shareholders alongside continued investments.

Moving further to the segmental performance, both Enterprise Commercial (ex-BioPharm) and EMS grew by approximately 17% and 16% year-on-year, respectively. Even BioPharm acquired in October 2025 grew by 15% sequentially in Q4.

Our geographical mix remains stable with North America at 71.6%, Europe at 25.5% and the Rest of the World at 2.9%, with North America contribution increasing marginally by approximately 2% due to BioPharm, which is entirely a U.S. focused business.

Importantly, the pace of customer conversations and AI-driven innovation is now distributed across both medical and commercial segments, and this gives us confidence that both enterprise commercial and enterprise medical will be meaningful growth contributors heading into FY27.

Finally, coming into our Q4 deal activity. Our Q4 bookings reflect sustained deal momentum.

We closed 1 deal of \$3 million plus ACV in our clinical business with a new customer. Further, we closed 7 deals of \$1 million plus ACV during the quarter, 4 of which are from our top 20 customers adding to the Enterprise Commercial Segment, including the Tectonic engagement for Germany with our largest customer.

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Further, there is an expansion of an existing Omnichannel project with a mid-sized pharma company. We signed 2 engagements with new customers - an engagement with a biotech player providing Med Info services, which is part of our Enterprise Medical Segment, and an engagement to operationalize core digital commercial capabilities for an upcoming pharma company's new launch drug's pre and post launch activities. These wins confirm that our go-to-market investments are translating into consistent new pipeline generation and conversion. These wins, combined with earlier wins provide revenue growth momentum heading into FY27. Further, you will also recollect the investments that we made, resulting in 150 basis points impact on our EBITDA margins, that we mentioned 2 quarters ago. With the growth momentum, we believe that we

are on track to improve our profitability and EBITDA margins in FY27 and the second half of FY27 will see us revert to the earlier levels of higher margins with these investments getting fully absorbed and delivering growth.

Further, we will also see a positive impact of the interest income with high cash balance and stable yields. Amortization stabilizing and coming off towards the latter half of FY27 and the impact of the one-off and exceptional items fading away, we believe that PAT in FY27 will see a significant upward movement.

With that, let me pass it on back to Manish for the outlook.

Manish Gupta: Thank you again, Suhas. 12 months ago, as we entered FY26, I used the phrase cautiously optimistic. I would be precise about how I would characterize the mood entering FY27 and why it is meaningfully different.

The 3 concerns that warranted caution a year ago - new U.S. administrative uncertainty, regulatory policy overhang and macro volatility have largely been resolved. The pharma industry demonstrated resilience and strategic importance through calendar year 2025 with the industry growth of 9% versus 6.4% in CY 2024.

Looking ahead, the industry is positioned to grow at a healthy 5% to 8% CAGR from 2026 to 2028. This is our customer base - stable, funded and growing.

Against that backdrop, our own pipeline entering FY27 stands stronger & higher than last year, with balanced strength across both our top 20 customers and outside top 20 cohort. The diversification of our pipeline is as important as its size. It means we're not dependent on a handful of renewals or 1 large deal closing.

I want to be direct, we're not providing formal revenue guidance. What I will say is this. Our customer portfolio is growing in both depth and breadth, and the outside top 20 segment is growing faster. Our GenAI-led solution wins span across every customer segment and both business lines, commercial and medical, and it is gaining significant traction. Tectonic has customer validation and is set to generate meaningful FY27 revenues. Our pipeline is larger, more balanced and better qualified than at any prior year end.

Our competitive position is strengthening significantly in context of AI industry trends. In an AI-led world, the competitive structure of a market is being rewritten in our favour - agency, RO,

and CRO spend is consolidating into specialized technology-led partners, and Indegene is the most credible such partner in life sciences.

And this trajectory extends well beyond FY27. We believe Tectonic, AI-led Omnichannel deals, AI-embedded medical operating models, Top 20 cohort, and Outside Top 20 cohort, all will continue to mint new \$25 million-plus relationships and have the potential to drive multiyear growth.

With that, I would say we enter FY27 not cautiously optimistic but excited and confident.

Confident to convert pilots into platforms, platforms into operating models and operating models into the industry's new default. This has been Indegene's pattern across every prior inflection in life sciences. And it is the pattern we are running now: from promise to performance. That is what we believe, FY27 and the years beyond will demonstrate.

That's all I had. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session.

Moderator: We will take the first question is from the line of Prakash Kapadia from Kapadia Financial Services.

Prakash Kapadia: I had 2 questions. The revenue per employee has increased to around \$75,000 from \$67,000 last year. Is it just the on-site mix increase or there is something else or any other metrics which you can highlight?

And secondly, if I look at more than \$10 million revenues, there are 10 clients which are same as compared to last year. So, is there a product life cycle for larger clients, which

is showing up

there because we've not seen any increase in number of clients in that cohort? So, these are my 2 questions.

Manish Gupta: I'll start off with latter one and pass it on to Suhas. We hear that cohort is stable. It's also a function that at least one of our clients was just tad below that \$10 million. And from a categorization perspective, \$9.9 million something falls into the other bucket.

And these customers are taking a bit more time to change their operating model, adopt some of the platforms and discussions we've been having with them. Having said that, we are very bullish that this cohort also will increase. It's just a matter of cycle times and when they do change management internally. Suhas?

Suhas Prabhu: Thank you, Manish. And moving to the first question on the revenue per employee in our fact sheet, the KPIs, you'll observe that our on-site offshore mix has remained fairly stable over the past many years, actually on-site increasing marginally over the last couple of years. But having said that, I would like to highlight that over the last 5 years, our RPEs have consistently grown from \$51,000 to close to \$75,000 today and also from \$66,000 to \$75,000 on a year-on-year basis.

So, there is a sustained effort to increase this in combination with the technology impacting our operations positively, combined with the outcome or output-based pricing model in our engagement, which help us retain the benefits of the productivity increase without being dependent on timesheet-based or input prices.

Manish Gupta: I would add one more line. As I said earlier, in this world, the competitive structure of the market is being rewritten and right now all the directions, it looks like that's being written in our favour.

And hence, the quality of the kind of engagements we are running with our customers are much more strategic, which also is resulting in the kind of contracts we write.

Prakash Kapadia: Sure. And lastly, Suhas is it fair to assume debtor days will be more or less stable at these levels and we can have growth also or any major change envisaged going forward?

Suhas Prabhu: So, debtors have reduced significantly, resulting in higher cash flows. And we are seeing a trend reducing from mid-80s about 5 years ago to the 60s as we speak. But having said that, I would guide towards mid-60s to 70 days on a steady basis.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu: Just 2 questions from my side. One is on this AI initiative that you have talked about. Now what I gather is that what works in our favour is the domain knowledge and the regulatory aspect of the industry in which we deal with. Just wanted your thoughts on how defensible are these moats, so to say? Don't you think that over the period of time, maybe this domain knowledge can also be commoditized by some of the large LLM players like they have been doing in other industry. Why do you think that cannot happen in our industry? So that's my first question on

the AI side.

And the second question is on the margin, where you have talked about some of the investments that you are making and you coming back to your previous high sometime in the second half of FY27. My question here is that what is the risk that this could probably catch up to stay relevant in the AI world? We continue our investment part and not bear the fruits of that operating leverage that we are envisaging. So yes, pretty much the questions are more on a medium-term outlook and to do with AI?

Manish Gupta: That's a fair question. So let me start with the first one. Our real moat over here, which we continue to invest and solidify every day is domain expertise. And domain expertise is just not a very broad term. For example, when I spoke about "the 3 months to 3 days" thing that

is required

therapeutic area expertise, that required medical expertise, that required creative expertise, very market nuanced expertise for different markets. It also used our own proprietary data sources. So along with domain expertise, we are also bringing in our proprietary data sources.

Most of the cases, we see whenever we're building our tech product, LLMs on their own are not solving for the problem. We are using all the LLMs, all the frontier models. We are working with AI labs, names which you might not have heard of, but have cutting-edge labs in different parts of the world. But we have to bring a couple of them together along with our technologies to start to solve different problems.

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And the reason why we are able to articulate that well is again the domain expertise. So at least in the medium term, call it 3 to 5 years, we don't see LLMs having the ability to do this. LLMs still don't have the reliability when you're talking about in operating grade. So, the human in loop is going to be even more important. There has been an FDA call out to one of the companies in just last 2 weeks a warning letter that looks AI generated.

Now what happens in the medium to long term, that jury is still out. But domain expertise and data, embedded in these platforms, which are going to be a combination of multi platforms is the approach we are taking, and we believe that's fairly defensible in the medium term.

And the second question was the AI investment. You're absolutely right. The reason why you see us talking about our margins recovering over a couple of quarters is because we continue to invest. We have baked in a bunch of investments. This year, our R&D cost as we call it, has gone up. It's about 2% of our revenues.

We're making those investments. We have made GTM investments. We are increasing those investments as well and a bunch of areas in the domain expertise because customers also need much more handholding when they're going through this turn. So those investments have been factored in.

And one reason why we're not saying that our margins will expand beyond what they used to be, while there might be leverage over there, is because we believe that anything above that range we are operating in, we are going to reinvest in the business. Maintaining this broad range is very doable as we see it today.

Moderator: The next question is from the line of Raghav Maheshwari from Kam Akhya Wealth Management Private Limited.

Raghav Maheshwari: Congratulations on good top-line work. Sir, my first question building up on the question that the last participant had, I just wanted to get a bit of a technicality here. Sir, we talk about Generative AI, we talk about Cortex AI. Just wanted to understand what kind of AI that is. Is it like an in-house trained element or it is like a wrapper with proper role defined by your domain expertise? So just wanted to understand what kind of AI we are into.

Manish Gupta: So, what we are doing is let's think about it, there are frontier models, and there are lots of them.

There are obviously, the large language ones, there are much more specialized ones. We are using those along with a bunch of very specialized things, for example, computer vision. We partner with large action models. That's another category. So, I can go on and on. There are a bunch of these very specialized things along with the large frontier models. We are partnering a bunch of those things. We have our own engineering team, which is building various stuff. Those are the platforms which we are integrating from a pure tech perspective, and we realize different combinations work well for different use cases. Now what is Cortex? Cortex is a knowledge engineering platform which is meant for developing agentic workflows with all the security, enterprise security, scalability, mean

ing for life sciences. That enables us to build agents quickly

using a knowledge engineering approach. We have also decoupled the domain layer from the technology layer so that we can very quickly scale up many use cases, which is what Cortex has

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enabled . So that's the broad approach. Now we continue to build agents , and agents is just one part of it. How do you reconfigure workflows? How do you think about skills in context of those workflows ? All that stuff is up for change . So those new skill sets, new workflows along with these agents . That's the direction the industry is moving in. And of course, the agents are using the platforms I spoke about.

Raghav Maheshwari: Right. That was good information. And sir, second thing which I wanted to ask a little bit if you can throw light on FY27. What are some of the growth drivers for the year? And what kind of revenue trajectory are we looking for? And most important thing is what are we planning to do differently than what we did in FY26?

Manish Gupta: FY27 is going to be more a year of scaling what we did in FY26. In FY26, we did a bunch of things different. We made investment in talent, we crystallized on solutions with bunch of our clients across the board . We won some very marquee engagements I spoke about earlier. So, we are not in a mode to do anything different from a scale perspective . Everything we started on FY26, we feel vindicated that we are moving in the right direction, and FY27 is going to be doubling, tripling down in them to scale, whether it's on the customer side, engagement side, revenue, rejigging our own internal locks and ways of doing things. You want to add on , Suhas? Suhas Prabhu: Maybe to put a little more colour to that . What Manish mentioned on the GenAI -led wins. Our customer engagements which have moved from experimentation to POCs to hard dollars and long-term engagements and commitments.

That combined with Tectonic investments we have been doing over the past many quarters , now getting crystallized with 2 customers moving into long -term engagements . Specifically , our largest customer signing up with Germany as a region , but also active and very high probable pipeline for many other regions with the same customer.

And finally, I would add the consistent \$1 million -plus wins that we have been talking about for the past few quarters give us the confidence of the strength of the revenue visibility, combined with the strong pipeline that we continue to generate and carry as we speak.

One last final comment - that \$10 million win that we had mentioned in quarter 3, while it has kicked off and started . From a revenue recognition perspective, it is deferred because this is an outcome -based pricing model and will be entirely recognized in FY27. So, these are some of the specifics of why we feel confident as we move into FY27.

Moderator: The next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan : Few questions from my side. I understand that we work with top innovator companies. Just want to understand what kind of solutions we have for generic companies or even small size companies. They may find it difficult to offer the 70 K+ revenue per person. Is there a market that exists or do you intend to expand through either generic companies as well as small or mid-sized companies into pharma?

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Manish Gupta: Mid-sized and small companies is something which we are expanding rapidly. We are seeing significant traction. In fact, I spoke about some of the deals where we are launching a product for a small biotech . And our model of launch is becoming the way to go for a lot of these companies.

We have a customer talking about in public domain that they were planning to hire a lot of reps, but then we showed up and they

had to add only 25 reps and getting everything amplified by our omnichannel engagement.

There's another customer where we are doing end-to-end medical and commercial functions. So, the whole biotech, and smaller segment, is attractive segment for us and we believe we will scale over there. That segment also seems to be getting tailwinds in general . The biotech in the U.S. had become very tough from a funding environment . It's coming up now and been on the upswing. So that is one part.

As far as generics are concerned , we do some work with them . We have some revenues coming from generics. But if I just contrast the opportunity we have with innovative pharma companies, where , as I mentioned earlier that we believe we will have \$100 million clients in some years versus the other part . So, we want to prioritize the resources accordingly.

Moderator: The next question is from the line of Yash Mehta from AART Ventures .

Yash Mehta: Sir, I wanted to ask what has been the organic growth in constant currency terms in Q4 FY26?

Suhas Prabhu: Constant currency terms year -on-year growth has been 12% organic and a little north of 3% QoQ . You can look at even our financial disclosures in the investor presentation where we have

provided the ex-BioPharm pro forma financials and that provides more details beyond the revenue .

Yash Mehta: And sir, how does the margins span out in FY27 considering the integration with BioPharm?

Suhas Prabhu: So, the integration of BioPharm was successfully completed ahead of schedule towards the end of February. The transition services from the seller was originally planned to get concluded end of March. This completion of the transition would be adding to basically synergies on the G&A side.

But as we speak, we are also looking at synergies on the data subscriptions , on the business operations , and eventually go -to-market. And we would progressively start impacting us through the quarters in FY27 more positively. But G&A would be the immediate impact that we anticipate to see coming in the next quarter itself.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Manish Gupta for closing comments.

Manish Gupta: Thank you. I want to close by thanking all our 5,000 plus colleagues globally whose dedication and expertise make every one of these wins possible. I also want to thank our customers for the

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trust they have placed in Indegene. And, of course, our investors and analysts for their continuous engagement and support. Thank you so much.

Moderator: Thank you, members of the management. On behalf of Indegene Limited, that concludes this conference. Thank you all for joining with us today. And you may now disconnect your lines.

Thank you.

(This document has been edited for readability and is not a verbatim record)